

VERIFICATION REPORT FOR THE DARKWOODS FOREST CARBON PROJECT



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Summary

This report describes the verification audit of the Darkwoods Forest Carbon Project (“the project”), a “Logged to Protected Forest (LtPF)” project located in British Columbia, Canada, that was conducted by SCS. The purposes of the verification audit were (1) to conduct, in accordance with the VCS rules, an ex-post independent assessment of the GHG emission reductions and removals that have occurred as a result of the project during the monitoring period and (2) to conduct, in accordance with the CCB rules, an ex-post independent assessment of the climate, community and biodiversity impacts that have occurred or are on track to occur as a result of the project during the monitoring period. The verification audit was performed through a combination of document review, interviews with relevant personnel and on-site inspections. A total of 61 findings were issued during the verification process. The project complies with all of the verification criteria, and the assessment team has no restrictions or uncertainties with respect to the compliance of the project with the verification criteria.

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1 INTRODUCTION

1.1 Objective

The objectives of the verification engagement were set out as follows.

1.1.1 Verification Objectives Under the Verified Carbon Standard

In accordance with Section 5.1.1 of the VCS Standard (see Section 1.2.2 below for full reference), SCS carried out an ex-post independent assessment of the GHG emission reductions and removals that have occurred as a result of the project during the monitoring period, conducted in accordance with the VCS rules. In accordance with Section 2.1.2 of the VCS Validation & Verification Manual, V3.1, the objectives of the verification engagement were to evaluate the monitoring report and assess the following:

- The extent to which methods and procedures, including monitoring procedures, have been implemented in accordance with the validated project description. This includes ensuring conformance with the monitoring plan.
- The extent to which GHG emission reductions and removals reported in the monitoring report are materially accurate.

The other objective of the verification engagement was to assess the non-permanence risk analysis.

1.1.2 Verification Objective Under the Climate, Community & Biodiversity Standards

In accordance with Section 4.1 of the CCB Program Rules (see reference in Section 1.3 below), SCS carried out an ex-post independent assessment of the climate, community and biodiversity impacts that have occurred or are on track to occur as a result of the project during the monitoring period, conducted in accordance with the CCB rules.

1.2 Scope and Criteria

1.2.1 Scope

In accordance with Section 4.3.4 of ISO 14064-3:2006, the scope was defined as follows:

- The project and, where relevant, its baseline scenarios
- The physical infrastructure, activities, technologies and processes of the project
- The GHG sources, sinks and/or reservoirs that are applicable to the project
- The types of GHGs that are applicable to the project
- The monitoring period, as discussed in Section 5 of this report

1.2.2 Criteria Under the Verified Carbon Standard

In accordance with Section 5.3.1 of the VCS Standard (see below for full reference), the criteria for verification was the VCS Version 3, including the following documents:

- VCS Program Guide, V3.7
- VCS Standard, V3.7
- VCS AFOLU Requirements, V3.6
- VCS Non-Permanence Risk Tool, V3.3

- The VCS-approved methodology VM0012, V1.0 (“the methodology”), as applied to the project

1.2.3 Criteria Under the Climate, Community & Biodiversity Standards

In accordance with Section 1.1 of the CCB Program Rules (see below for full reference) the criteria for verification was established as follows:

- The most recent validated project description using the same edition of the Climate, Community & Biodiversity Standards (in this case, the second edition) that was used for that validation
- All CCB Version 3 program documents other than the third edition of the Climate, Community & Biodiversity Standards, including the following:
 - CCB Standards Rules, V3.1
 - CCB Program Definitions, V3.0

1.3 Level of Assurance

1.3.1 Level of Assurance Under the Verified Carbon Standard

In accordance with Section 5.3.1 of the VCS Standard, the level of assurance of this report, insofar as it describes work performed under the Verified Carbon Standard, is reasonable.

1.3.2 Level of Assurance Under the Climate, Community & Biodiversity Standards

The concept of “level of assurance” was not relevant to work performed under the Climate, Community & Biodiversity Standards.

1.4 Summary Description of the Project

The project is described as follows in Section 1.7 of the project description under the Verified Carbon Standard (“VCS PD”):

“The Darkwoods carbon project will create GHG emission reductions by avoiding the release of carbon associated with timber harvesting, road building, other forestry operations in the baseline scenario.”

2 VERIFICATION PROCESS

2.1 Audit Team Composition (*Rules 4.3.1*)

A table indicating how the audit team meets each of the requirements of the CCB Standards Rules is below.

Area of required expertise	Individual(s) on audit team containing required expertise	Summary of relevant qualifications
Proficiency in a relevant local or regional language for the project location	Not applicable; the only language relevant to the project location is the English language, which is the native language by all individuals on the audit team	
Relevant agriculture, forestry and/or other land use experience in the project country or region	Tyson Ehlers	Mr. Ehlers is an ecologist with over 20 years of experience in research and natural resources management in British Columbia, focusing on forestry, freshwater ecology and species at risk

Relevant social and cultural expertise	Tyson Ehlers	Mr. Ehlers has extensive experience working in forest resource management in the immediate vicinity of the project area, having worked as a forestry consultant there for over 20 years
Relevant ecological and biodiversity expertise	Tyson Ehlers	Mr. Ehlers is a Registered Professional Biologist credentialed in the province of British Columbia, Canada

2.2 Method and Criteria

The verification was performed through a combination of document review and interviews with relevant personnel, as discussed in Sections 2.3 through 2.5 of this report. At all times, the monitoring report and non-permanence risk analysis were assessed for conformance to the criteria described in Section 1.2 of this report. As discussed in Section 2.6, findings were issued to ensure conformance to all requirements.

The audit team created a sampling plan following a proprietary sampling plan workbook developed by SCS. Per Section 4.4.3 of ISO 14064-3:2006, the audit team identified possible risks of errors, omissions and misrepresentations with respect to the verification criteria. For each identified risk, the audit team assessed the likelihood of the material discrepancy occurring, the likelihood of the material discrepancy not being prevented or detected by the controls of the project and the likelihood of the material discrepancy not being detected by the audit team. Sampling and data testing activities were planned to address any risk where the likelihood of a material discrepancy not being detected by the audit team was judged to be unacceptably high. The audit team then created a verification plan that took the sampling plan into account.

2.3 Document Review

The monitoring report (version 1.9 dated 1 March 2018; "MR") and non-permanence risk report (version 2 dated 01-Nov-2017; "NPRR") were carefully reviewed for conformance to the verification criteria. The following additional documentation, provided by project personnel in support of the aforementioned documents, was also reviewed by the audit team:

Document	File Name	Ref.
KML file showing project area	KML_607	/1/
Project description document under the Climate, Community & Biodiversity Standards ("CCBS PDD")	CCB_PROJ_DESC_ENG_607_06JUN2014	/2/
Validation report under the Climate, Community & Biodiversity Standards	CCB_VALID_REP_ENG_607_26JUN2014	/3/
Project description under the Verified Carbon Standard ("VCS PD")	PROJ_DESC_607_21APR2011	/4/
Validation report under the Verified Carbon Standard ("VCS validation report")	VALID_REP_607_21APR2011	/5/
Monitoring report for period 1 April 2008-31 December 2010	MONIT_REP_607_01APR2008_31DEC2010	/6/
Verification report for period 1 April 2008-31 December 2010	VERIF_REP_607_01APR2008_31DEC2010	/7/

Document	File Name	Ref.
Monitoring report for period 1 January 2011-31 December 2012	MONIT_REP_607_01JAN2011_31DEC2012	/8/
Verification report for period 1 January 2011-31 December 2012	VERIF_REP_607_01JAN2011_31DEC2012	/9/
Current carbon model workbook	Darkwoods Carbon Model 2013-16 v1.0	/10/
Plot data workbook	Darkwoods plot data Jun 2017 v1.4	/11/
"Project Scenario Projection" workbook	Project Scenario Projection	/12/
Workbook containing information on forestlands over which NCC has ownership, management, or legally sanctioned rights of use	NCC_Properties_with_Forest	/13/
Map showing forestlands over which NCC has ownership, management, or legally sanctioned rights of use in central region	NCC_Forestlands_Labels_Central	/14/
Map showing forestlands over which NCC has ownership, management, or legally sanctioned rights of use in central west region	NCC_Forestlands_Labels_Central_West	/15/
Map showing forestlands over which NCC has ownership, management, or legally sanctioned rights of use in east region	NCC_Forestlands_Labels_East	/16/
Map showing forestlands over which NCC has ownership, management, or legally sanctioned rights of use in west region	NCC_Forestlands_Labels_West	/17/
Independent Contract Services Agreement (dated 20 June 2017)	Services Contract - Verification - VCS and CCBA - 06-28-17	/18/
Management plan for property ON-982 (Bell, Halcyone)	Bell Bushlot_PMP 2015-2019_CURRENT-162385	/19/
Management plan for property MB-627 (Swan Lake Wetlands-Parklands Complex)	Swan Lake PMP-187600	/20/
Management plan for property BC-400 (Ogilvie Nature Sanctuary)	Ogilvie_PMP_2016-2021-204155	/21/
Management plan for property PE-1200 (Governor's Island)	Governor's Island Stewardship Project Property Management Plan -72550	/22/
Management plan for Darkwoods property	Darkwoods Property Management Plan 2016-199774	/23/
Scaling report for 2013	2013 DetailedScalingReportDW	/24/
Scaling report for 2015	2015 DetailedScalingReportDW	/25/
Scaling report for 2016	2016 DetailedScalingReportDW	/26/
Title search for parcel identifier 007-608-349	TITLE-LB302249-PID-007-608-349	/27/
Title search for parcel identifier 007-608-594	TITLE-LB302254-PID-007-608-594	/28/
Title search for parcel identifier 007-608-446	TITLE-LB302253-PID-007-608-446	/29/
Title search for parcel identifier 026-235-927	TITLE-LB302250-PID-026-235-927	/30/
"Break-even" analysis	Item 4(a) re Break Even Analysis - Carbon Project Profitability - Final For SCS Audit - September 20, 2017.xls	/31/

Document	File Name	Ref.
Summary of GHG credit sales	Auditor - Sales Summary - September 11, 2017.xls	/32/
Audited 2014-2015 financial statements	financials2015EN-FINAL	/33/
Audited 2015-2016 financial statements	NCCFinancials2015-16	/34/
Audited 2016-2017 financial statements	Audited-financials-2016-2017	/35/
"Agreement for the Sale and Purchase of Verified Carbon Units" (1 April 2015)	[file name redacted for confidentiality purposes]	/36/
Evidence of receipt of revenue in exchange for VCUs	[file name redacted for confidentiality purposes]	/37/
"Business Receipt and Letter" (10 June 2015)	Business Receipt and Letter - June 10, 2015	/38/
Wildfire Response Agreement (11 February 2016)	Nature Conservancy of Canada 2016 Agreement	/39/
"Vegetation Resource Inventory and Terrestrial Ecosystem Mapping for the Darkwoods Property, British Columbia" (Final Report dated April 2012)	Darkwoods_VRIEM_Ecora2012	/40/
"Level 4 Terrestrial Ecosystem Mapping for the Darkwoods Property: Map Legend" (April 2012)	Darkwoods_VRIEM_Map_Legends_Ecora2012	/41/
Evidence of stakeholder communication 1	Item 7. FW Archived message RE darkwoods	/42/
Evidence of stakeholder communication 2	17a	/43/
Evidence of stakeholder communication 3	17b	/44/
Evidence of stakeholder communication 4	23c	/45/
Evidence of stakeholder communication 5	FW Darkwoods fire situation	/46/
Evidence of stakeholder communication 6	item 6	/47/
Template for working with contractors	Agreement for Services Template	/48/
Road maintenance contract 1	executed Custom dozing Contract \$26,964	/49/
Road maintenance contract 2	Fully Executed Custom Dozing \$48,667.50 - 15Jun16 - 30Nov16	/50/
"Chainsaw Safety Awareness & Maintenance" guidebook, as evidence of training offered by College of the Rockies	[file not provided digitally, reviewed on-site]	/51/
Evidence of Qualification to Render Level 1 First Aid (expires 24 May 2019)	Adrian_Level1FirstAid	/52/
Certification of Training in S100 (Fire Suppression WHMIS) and S185 (Fire Entrapment), 28-29 May 2016	AdrianWHMIS_FireSuppression_FireEntrapmentT raining	/53/
Certificate of Completion for Occupational Health and Safety Awareness Training for Workers General Overview for All Jurisdictions (21 February 2017)	Certificates_Adrian_H+S Trianing	/54/
Certificate of Completion for Preventing Workplace Bullying, Harassment and Violence (British Columbia) Training (6 March 2017)	Certificates_Adrian_Harassment Trianing	/55/
Documentation (data sheets) of measurement of plot 103-18	Darkwoods carbon plot 103-18 raw datasheets (see pp 12-13)	/56/

Document	File Name	Ref.
Documentation (data sheets) of re-measurement of plots for QA/QC purposes	Darkwoods carbon QAQC2017 raw datasheets	/57/
Calculations to confirm that check plots were within thresholds set out in Section 13.4 of methodology	QAQC 2017 Verification	/58/
Link to an email newsletter with the Kootenay Conservation Program (dated February 2015) wherein the "Nature Conservancy of Canada South Selkirk Natural Area Project Manager" position was advertised	#10	/59/
Human resources policies (authorized 11 December 2012)	8. NCC HR Policies - M - 2 - 2009	/60/
Darkwoods Occupational Health & Safety Program (draft dated June 2012)	8. Darkwoods Safety Program 2012 draft-97471	/61/
Resume for Adrian Leslie	Item 2. Adrian_Leslie_NCC SouthSelkirks Resume	/62/
Evidence of stakeholder communication 7	2014%20%20Lakes%20Tye%20Cabin-140868	/63/
"VRI Resultant" database	Darkwoods_VRI_Resultant_Jul2017	/64/
Financial model	NCC Financial Model - NPV Valuation 2017 update v3	/65/
More legible version of Table 23 of CCBS PDD	Summary of Effectiveness Monitoring 2013	/66/
Effectiveness monitoring results for 2012	14. Darkwoods Effectiveness Monitoring_2012 data	/67/
Effectiveness monitoring results for 2013	14. Effectiveness Monitoring_2013 data	/68/
Effectiveness monitoring results for 2014-2015	14. Darkwoods_Effectiveness_Monitoring_2014-2015 data	/69/
Attestations of legal compliance by project management	Attestations Wilson Swann Leslie	/70/

2.4 Interviews

2.4.1 Interviews of Project Personnel

The process used in interviewing project personnel was a process wherein the audit team elicited information from project personnel regarding (1) the work products provided to the audit team in support of the MR and NPRR, (2) actions undertaken to ensure conformance with various requirements and (3) implementation status of the project activity.

The following personnel associated with NCC and/or implementing partner were interviewed.

Individual	Affiliation	Role	Date(s) interviewed
Rob Wilson	NCC	Director, Conservation Finance	28-30 August 2017, 13 December 2017
Tom Swann	NCC	Senior Director, Strategic Initiatives and Major Gifts	28-30 August 2017

Individual	Affiliation	Role	Date(s) interviewed
Mike Vitt	3GreenTree	Managing Director	24 August 2017, 28-30 August 2017
Brad Seely	3GreenTree	Managing Director	16 August 2017, 17 August 2017
Adrian Leslie	NCC	South Selkirk Project Manager	29-31 August 2017
Nancy Newhouse	NCC	Program Manager, Canadian Rocky Mountains Program, BC Region	29 August 2017

2.4.2 Interviews of Other Individuals

The process used in interviewing individuals other than project personnel was a process wherein the audit team made inquiries to confirm the validity of the information provided to the audit team. The following personnel not associated with NCC and/or implementing partner were interviewed.

Individual	Affiliation	Role	Date(s) interviewed
Lawrence Bowdidge	Ministry of Forests, Lands and Natural Resource Operations, BC Wildfire Service	Manager of Wildfire Risk	16 August 2017
David Cunnington	Environment and Climate Change Canada	Habitat Protection Biologist, Canadian Wildlife Service	19 October 2017

2.5 Site Inspections

The objectives of the on-site inspections performed were to:

- Select samples of data and information from field observations in order to meet a reasonable level of assurance and to meet the materiality requirements of the project, as required by Section 5.1.3 of the VCS Standard;
- Perform a risk-based review of the project area and project activities to ensure that the project conformed to the requirements of the verification criteria throughout the monitoring period;
- Confirm the validity of information presented in the non-permanence risk report; and
- Assess the extent to which any monitoring was conducted in accordance with the requirements of the validated monitoring plan.

In fulfilment of the above objectives, the audit team performed an on-site inspection on and around the project area on the dates 29 August 2017 through 31 August 2017. The main activities undertaken by the audit team were as follows:

- Interviewed project personnel at the Darkwoods office in Nelson, BC on 29 August 2017 (see Section 2.4.1 of this report) to gather information regarding the monitoring procedures and project implementation
- Carried out field reconnaissance of the project area, during a helicopter overflight on 30 August 2017 and ground-based transportation on 31 August 2017, in order to
 - Ensure the absence of any unreported disturbance (looking for natural disturbance >4 ha and human-caused disturbance of any size, per Section 13.2 of the methodology)

- Assess accuracy of updates to the project's GIS data and current stratification
 - Visually assess harvest activities carried out during monitoring period for consistency with description in Section G3.2 of CCBS PDD /2/
 - Visually assess road network within project area and any other mitigation activities carried out to reduce fire risk (per Section 2.4 of the AFOLU Non-Permanence Risk Tool)
- Carry out a thorough review of the process for field-based inventory measurements and carry out a replication of inventory measurements on one sample plot, to ensure compliance with Section 13.3 of the methodology and the monitoring plan in the VCS PD /4/, on 31 August 2017

2.6 Resolution of Findings

Any potential or actual discrepancies identified during the assessment process were resolved through the issuance of findings. The types of findings typically issued by SCS during this type of verification engagement are characterized as follows:

- **Non-Conformity Report (NCR):** An NCR signified a discrepancy with respect to a specific requirement. This type of finding could only be closed upon receipt by SCS of evidence indicating that the identified discrepancy had been corrected. Resolution of all open NCRs was a prerequisite for issuance of a verification statement.
- **New Information Request (NIR):** An NIR signified a need for supplementary information in order to determine whether a material discrepancy existed with respect to a specific requirement. Receipt of an NIR did not necessarily indicate that the project was not in compliance with a specific requirement. However, resolution of all open NIRs was a prerequisite for issuance of a verification statement.
- **Observation (OBS):** An OBS indicates an area where immaterial discrepancies exist between the observations, data testing results or professional judgment of the audit team and the information reported or utilized (or the methods used to acquire such information) within the GHG assertion. A root cause analysis and corrective action plan are not required, but highly recommended. Observations are considered by the audit team to be closed upon issuance, and a response to this type of finding is not necessary.

As part of the verification process, 51 NCRs, 10 NIRs and no OBS were issued. All findings issued by the audit team during the verification process have been closed. In accordance with Section 5.3.7 of the VCS Standard, all findings issued during the verification process, and the inputs for their closure, are described in Appendix A of this report.

2.6.1 Forward Action Requests

This section is not applicable, as no forward action requests have been issued.

2.7 Eligibility for Validation Activities

This section is not applicable, as SCS holds accreditation for validation for the relevant sectoral scope (scope 14; AFOLU).

3 VALIDATION FINDINGS

3.1 Participation under Other GHG Programs

This section is not applicable, as the project is not, at this time, seeking registration under the VCS Program and an approved GHG program.

3.2 Methodology Deviations

The below table identifies each methodology deviation applied to the project were validated as part of the verification engagement described in this report. The audit team concludes, in summary, that all such deviations are valid.

Identification of deviation	Assessment column 1*	Assessment column 2**
#1 (timing of plot re-measurement)	Clearly relates to data and parameters monitored	Deviation has no impact on the conservativeness of the quantification of GHG emission reductions or removals, as plots have still been measured in a relatively timely manner
#2 (one plot per analysis unit)	Clearly relates to data and parameters monitored	Audit team agrees that sensitivity analysis in MR is sufficient to show that the deviation has no impact on the conservativeness of the quantification of GHG emission reductions or removals
#3 (Equation 60b)	Relates to quantification of uncertainty, which is effectively treated as a monitored parameter by the methodology	Audit team agrees that deviation results in increased accuracy, since Equation 60b, as written, results in erroneous quantification of uncertainty
#4 (re-measurement of plots in non-productive landbase)	Clearly relates to data and parameters monitored	Deviation has no impact of the quantification of GHG emission reductions or removals
#5 (harvested wood)	Clearly relates to data and parameters monitored	Audit team agrees that deviation results in increased accuracy, as it entails use of a more direct measurement (harvested volume) as a proxy for market leakage, rather than "back-calculating" from other data

- *Assessment column 1 contains information regarding assessment of whether the deviation meets with the criteria and specifications for permitted methodology deviations.
- **Assessment column 2 contains information regarding assessment of whether the deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals (except where it results in increased accuracy)

3.3 Project Description Deviations (*Rules 3.5.7 – 3.5.10*)

3.3.1 Project Description Deviations Validated As Part of this Verification Engagement

The below table identifies each project description deviation applied by the project that was validated as part of the verification engagement described in this report.

The audit team concludes, in summary, that all such deviations are valid.

Identification of deviation	Assessment column 1*	Assessment column 2**	Assessment column 3***
1	This minor correction in mapping has caused no impacts to the applicability of the methodology	This minor correction in mapping has caused no impacts to additionality	This minor correction in mapping has caused no impacts to the appropriateness of the baseline/without-project scenario
2	Use of literature values for wood densities has caused no impacts to the applicability of the methodology	Use of literature values for wood densities has caused no impacts to additionality	Use of literature values for wood densities has caused no impacts to the appropriateness of the baseline/without-project scenario
3	N/A (see Section 3.3.2 below)	N/A (see Section 3.3.2 below)	N/A (see Section 3.3.2 below)
4	Failure to measure one plot in every analysis unit has caused no impacts to the applicability of the methodology	Failure to measure one plot in every analysis unit has caused no impacts to additionality	Failure to measure one plot in every analysis unit has caused no impacts to the appropriateness of the baseline/without-project scenario
5	Failure to re-measure all plots within five years has caused no impacts to the applicability of the methodology	Failure to re-measure all plots within five years has caused no impacts to additionality	Failure to re-measure all plots within five years has caused no impacts to the appropriateness of the baseline/without-project scenario

- *Assessment column 1 contains information regarding assessment of whether the proposed deviation impacts the applicability of the methodology.
- **Assessment column 2 contains information regarding assessment of whether the proposed deviation impacts additionality
- ***Assessment column 3 contains information regarding assessment of whether the proposed deviation impacts the appropriateness of the baseline/without-project scenario

Each of the deviations identified above is appropriately described and justified and, in respect of each of the above deviations, the project remains in compliance with the CCB Version 2 and VCS rules.

3.3.2 Project Description Deviations Not Validated As Part of this Verification Engagement

Deviation #3 was applied to the project in quantifying the GHG emission reductions and/or removals for the 1 January 2011-31 December 2012 monitoring period (“the prior monitoring period”), and is described in the monitoring report applicable to that monitoring period /8/. To summarize briefly, the deviation entails the re-modeling of baseline carbon stock changes and harvested volumes based on updated inventory data, which resulted in revisions to the parameters $f_{BSL,HARVEST,i,t}$, $G_{BSL,AG,i,t}$, $G_{BSL,BG,i,t}$ and $SNAG_{BSL}$ (which are considered “Data and Parameters Not Monitored” per Section 12 of the methodology) along with the parameter $THLB$ (which is considered a parameter that is “Available at Validation” per Section 3.1 of the VCS PD /4/). Proceeding from the understanding (which the audit team has not independently confirmed) that the deviation solely involves the validated baseline model being re-run with the same parameters (aside from those named above) that were assessed and confirmed at validation, the audit team concludes that there is nothing in the deviation that negatively affects the applicability of the methodology, additionality or the appropriateness of the baseline/without-project scenario.

The verification engagement for the prior monitoring period (also performed by SCS) included an assessment of the deviation, insofar as it specifically affected the quantification of GHG emission reductions and/or removals as reported for the prior monitoring period. However, deviation #3 was not specifically identified as a project description deviation in the monitoring report for the prior monitoring period and, as such, a formal validation of this deviation was not undertaken.

The scope of the verification engagement described in this report includes review to confirm that deviation #3 is appropriately described and justified but, as allowed by guidance from the VCSA (as conveyed in an email from Andrew Beauchamp dated 15 December 2017), such scope excludes validation of deviation #3. In terms of its review of the data and parameters identified above, SCS' obligation was limited to reviewing the quantification of the parameters identified above (i.e., $f_{BSL,HARVEST,i,t}$, $G_{BSL,AG,i,t}$, $G_{BSL,BG,i,t}$, $SNAG_{BSL}$ and $THLB$) and confirming that such quantification was consistent with the quantification as submitted for review as part of the verification services conducted for the prior monitoring period, as documented in more detail in Section 4.4.1 below.

3.4 Minor Changes to Project Description (Rules 3.5.6)

No minor changes to the project design were validated as part of the verification engagement described in this report.

3.5 Monitoring Plans (CL3.2, CM3.3, B3.3)

Not applicable, as the monitoring plans have already been validated.

4 VERIFICATION FINDINGS

4.1 Public Comments (Rules 4.6)

Not applicable, as no public comments were submitted during the public comment period (as confirmed by Christopher Chapman, of the VCSA, via email received 12 September 2017).

4.2 Summary of Project Benefits

The summary of project benefits has been correctly provided in Section 1.2 of the MR. Most of the items either do not apply to the project or cannot be quantified under the circumstances of the project, but the audit team has reasonable assurance that the all applicable and quantifiable information has been provided in an appropriate manner. The section is completed appropriately, according to the template requirements. The audit team can verify that all achievements reported are substantiated with information provided in the body of the document.

4.3 General

4.3.1 Implementation Status (G3.4, CL1.5)

4.3.1.1 Implementation Status of the Project Activity(s)

The implementation status of the project activities can be identified as follows:

- As part of the audit team's site visit (see Section 2.5 above), the audit team was able to interview project personnel regarding project activities and undertake a review of the project area to verify information received

- The main project activity, as described in Section 1.7 of VCS PD /4/, is avoiding release of carbon caused by baseline-scenario forest management operations and substituting this management approach for a “low level of ongoing forest management activity by NCC (averaging 10,000 m³/year)”
- During office meetings conducted as part of the site visit, project personnel were interviewed regarding the management activities undertaken as part of the project activities; a sample of harvest operations (from harvest during the monitoring period) was also visited during the helicopter overflight on 30 August 2017
- Based on inspections and interviews, the audit team was able to confirm that the project activities were entirely consistent with activities as described under Section G3.2 of the CCBS PDD /2/ (further detail is available in the field trip report found in the audit team’s internal working papers)

The steps taken by the audit team to assess each of the following items is specified below.

Steps taken to asses...	
Existence of any material discrepancies between project implementation and the project description	• Interviews with project personnel and independent review and independent review and testing of monitored data to confirm that, with the exception of the project description deviations identified in Section 3.3 above, no such discrepancies were identified; all project activities have been implemented as described in project description
The implementation status of the monitoring plan and the completeness of monitoring, including the suitability of the implemented monitoring system (i.e., process and schedule for obtaining, recording, compiling and analyzing the monitored data and parameters)	• Interviews with project personnel and independent review and independent review and testing of monitored data to confirm the completeness and suitability of the implemented monitoring system (with the exception of the methodology and project description deviations described under Sections 3.2 and 3.3 above, the monitoring plan was found to be completely implemented)
The existence of any material discrepancies between the actual monitoring system, and the monitoring plan set out in the project description and the applied methodology	• Interviews with project personnel and independent review and testing of monitored data to confirm that there have been no material discrepancies between the actual monitoring system, and the monitoring plan set out in the project description and the applied methodology, other than the methodology and project description deviations described under Sections 3.2 and 3.3 above
Whether the GHG emission reductions or removals generated by the project have become included in an emissions trading program or any other mechanism that includes GHG allowance trading	• General knowledge of governmental schemes to combat global warming in Canada to confirm that the forestry sector

Steps taken to asses...	
	is not within the scope of any emissions trading program General knowledge of forest carbon markets in North America to confirm that the likelihood that the project's involvement in another mechanism that includes GHG allowance trading, without the knowledge of the audit team, would be highly unlikely
Whether the project has received or sought any other form of environmental credit, or has become eligible to do so since validation or previous verification	General knowledge of forest carbon markets in North America to confirm that the likelihood that the project's involvement in another environmental crediting marketplace, without the knowledge of the audit team, would be highly unlikely
Whether the project has participated or been rejected under any other GHG programs since validation or previous verification	General knowledge of forest carbon markets in North America to confirm that the project's participation in or rejection from any other GHG programs since the previous verification, without the knowledge of the audit team, would be highly unlikely
Sustainable development contributions	Not applicable

4.3.1.2 Previously Validated Methodology Deviations

The following methodology deviations were previously validated:

- Deviation from the requirement to “develop a plot network with representation in every polygon or analysis unit”: This deviation was validated as part of the initial verification (for the reporting period from 1 April 2008-31 December 2010; see Section 3.2 of the corresponding report /7/), but the audit team conducting the subsequent verification determined it did not constitute a methodology deviation after all, because five years had not elapsed since the project start date, and therefore compliance with the requirements as stated in the methodology had been maintained as of the date of issuance of the verification report (see Section 2.2.2 of the verification report for prior monitoring period /9/). However, as of the date of issuance of this verification report, five years has elapsed and, therefore, a gap currently exists between the requirement of the methodology and the current monitoring network. This deviation is described as methodology deviation #2 in Section 2.2.2 of the MR and in Section 3.2 above.
- Lack of integration of “carbon stock monitoring program” with “other standard operating procedures and project documentation maintained by NCC”: This deviation was validated as part of the initial verification (for the reporting period from 1 April 2008-31 December 2010; see Section 3.2 of the corresponding report /7/). From document reviews and interviews as part of the verification engagement described in this report, it appears to the audit team that the carbon

stock monitoring program, at this time, is quite well integrated with other project documentation maintained by NCC. Therefore, the audit team concludes that this methodology deviation has no consequences in respect of monitoring for the monitoring period under review.

4.3.1.3 *Previously Validated Project Design Deviations*

The only previously validated project description deviation is the one pertaining to the requirement to “develop a plot network with representation in every polygon or analysis unit” (it was also described as a project description deviation in Section 2.2.3 of the verification report for the prior monitoring period /9/); this deviation is still relevant and is included as project description deviation #4 in Section 2.2.4 of the MR.

4.3.1.4 *Previously Validated Minor Changes to the Project Description*

As there exist no previously validated minor changes to the project description, this section is not applicable.

4.3.1.5 *Activity-Shifting Leakage*

The audit team assessed the claims made in Section 1.8.3 of the MR pertaining to activity shifting leakage. The audit team agrees that the steps required in Section 10.1 of the methodology have been duly followed, as follows:

Step	Audit Team Comments
1	Audit team was provided with “the locations and descriptions of all forestlands within the project country over which NCC has ownership, management, or legally sanctioned rights of use” during the monitoring period. This included an Excel workbook and four accompanying maps /13-17/ containing information on all properties over which NCC held the aforementioned rights that contained >5% forest (the audit team agrees that this is a reasonable threshold for “forestlands” in the absence of a methodology-specific definition).
2	Audit team was provided with a demonstration that “there is no activity shifting leakage to areas that are outside the project area but within NCCs operating areas, and that the management plans and/or land-use designations of all other lands operated by NCC [termed “the controlled lands” within this section] have not materially changed as a result of the project activity (e.g., harvest rates have not been increased)” through the following means: • As stated in Table 4 of MR, no harvest on the controlled lands occurred in any of the calendar years comprising the monitoring period, as further substantiated through the following evidence: ○ Verbal attestation from top management of NCC (Rob Wilson), during office meeting held 28 August 2017, that the Darkwoods property is the only property within the controlled lands upon which commercial timber harvest (defined as harvest of timber that is sold for revenue) has occurred during the monitoring period ○ Management plans for a sample of properties, which contained no mention of any timber harvest activities having been completed: ▪ Management plan for property ON-982 (Bell, Halcyone) /19/ indicates in Section 13 that commercial timber harvest is not permitted ▪ Management plan for property MB-627 (Swan Lake Wetlands-Parklands Complex) /20/ indicates in Section 13 that commercial timber harvest may be permitted starting 1 February 2016 (but that such harvest “must be aligned with the vision and goals of the Property Management Plan”); however, timber harvest is not described as a “conservation action” in Section 16 and so it appears that, while commercial timber harvest is being considered in the future (in order to “reduce woody species encroachment into native prairie” per action 2.2.5), no such harvest occurred during the monitoring period

	▪ Management plan for property BC-400 (Ogilvie Nature Sanctuary) /21/ indicates in Section 13 that commercial timber harvest is not permitted ▪ Management plan for property PE-1200 (Governor's Island) /22/ indicates in Section 13 that commercial timber harvest is not permitted • Based on this claim, audit team agrees that, given that no harvest had occurred on the controlled lands in the years after project start and before the monitoring period (as documented in Sec. 4.3 of PD /1/ and Sec. 3.3 of first monitoring report /2/ and second monitoring report /3/), and that no harvest was planned on the controlled lands (other than the Darkwoods property) prior to the project start, there has been no deviation from planned harvest levels on properties within the controlled lands other than the Darkwoods property
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Based on the information presented, the audit team agrees that no activity-shifting leakage has occurred during the monitoring period.

4.3.1.6 Overall Conclusion

With the exception of the project description deviations discussed in Sections 4.3.1.2 and 4.3.1.3 above, the audit team can confirm that the project has been implemented as described in the validated project description.

4.3.2 Risks to the Project (G3.5)

The audit team was able to confirm the information presented in Section 2.2.5 of the MR while on-site. The audit team agrees that fire, pest and disease and extreme weather pose the greatest risk to the project benefits, and this is also borne out by the analysis in the NPRR (see Section 4.4.3 below for the audit team's assessment of such). The audit team agrees that the potential for human-induced risks is relatively limited.

Regarding mitigation activities, the understanding of the audit team (which was bolstered by on-site observations) is that there are relatively few access points to the project area, and a stout gate on one key access point was witnessed by the audit team during the 31 August 2017 field day. Interviews with project personnel indicated that the presence of lessees at Tye have also been helpful in mitigating the impact of any unauthorized access, as they will tend to notify project personnel when suspicious behavior is observed. The information provided in the MR is consistent with the description of the on-site monitoring program as described to the audit team in meetings with project personnel. Furthermore, during on-site inspections (see Section 2.5 above) and follow-up reviews of remotely sensed imagery, the audit team was on active alert for the presence of any unreported disturbance and no such disturbance was identified. As documented in the NPRR, mitigation activities have also been specifically undertaken to address risks to project benefits caused by fire, pest and disease and extreme weather. Additional information regarding how these activities were assessed by the audit team may be found under "Natural Risk" in Section 4.4.3 below.

In conclusion, given the robust monitoring program in place, NCC's process of adaptive management to assess and address emerging risks, and the track record of risk mitigation since project commencement, the audit team concludes that reasonable steps have been taken to mitigate the identified risks.

4.3.3 Enhancement of High Conservation Values (G3.6)

The audit team agrees that, as stated in Section 2.2.6 of the MR, no specific steps were necessary to ensure the maintenance or enhancement of the high conservation values identified in the CCBS PDD /2/. As documented in Section 5.1.2 of the MR, the timber harvest activities undertaken as part of the project activity were specifically designed so as to avoid impact to the high conservation values. This was discussed with project personnel in an office meeting held 29 August 2017, wherein it was indicated to

the audit team that harvesting was designed to avoid old-growth areas and to mimic the natural disturbance regime in the “mixed severity zone”. The audit team was able to confirm, during a site inspection on 30 August 2017 (see Section 2.5 above), that the timber harvest during the reporting period was carried out away from old-growth areas and riparian zones.

In conclusion, given that timber harvest is the only project activity with a remote possibility of negatively impacting high conservation value attributes, and that such harvest has been specifically designed to avoid such negative impacts, the audit team agrees that the measures taken to ensure the maintenance or enhancement of the high conservation value attributes are consistent with the precautionary principle.

4.3.4 Benefit Permanence (G3.7)

Based upon interviews with project personnel, the audit team agrees that, as stated in Section 2.2.7 of the MR, “The Darkwoods project is based around the conservation of the property in perpetuity and no additional measures were necessary to maintain or enhance the climate, community, and biodiversity benefits during this monitoring period.” As evidence of this, the project is enrolled in the Ecological Gifts program (see “Internal Risk – Opportunity Cost” in Section 4.4.3 below) which requires continued protection of the project area in perpetuity.

Based on the clear intent of NCC to manage the project area for conservation purposes in perpetuity, and on the legal requirement to do so as a precondition for enrollment in the Ecological Gifts program, the audit team concludes that reasonable measures have been taken to enhance project benefits beyond the project lifetime in accordance with the validated project description.

4.3.5 Stakeholder Engagement (G3.8 – G3.9)

Indicator G3.9 requires that steps are “taken, and communications methods used, to publicize the CCBA public comment period to communities and other stakeholders and to facilitate their submission of comments to CCBA.” It is additionally required that “Project proponents must play an active role in distributing key project documents to affected communities and stakeholders and hold widely publicized information meetings in relevant local or regional languages.”

While the two sentences of G3.9 are often interpreted as being related (i.e., that the distribution of “key project documents” and the “widely publicized information meetings” must pertain specifically to the public comment period), it is also possible to read the requirements as being separate.

Because questions arose regarding compliance with G3.9 due to the somewhat unique circumstances of the project, guidance was sought from the VCSA regarding interpretation of G3.9 under these circumstances. The following guidance was provided by Christopher Chapman, of the VCSA, via an email dated 21 November 2017:

“G3.9 of the second edition of the CCB Standards is written to ensure that the communities and other stakeholders are provided project documentation, information about the project and the audit process. The intent of this indicator is to ensure that communities or other stakeholders have the opportunity to understand how the project is designed and implemented and understand that they have the ability to raise any issues they have with the project.

The specific language of the CCB Standards are written in the context of projects being implemented in developing counties where active distribution of materials and public meetings are often necessary in order to inform interested communities and other stakeholders, or give them the opportunity to provide feedback. These actions may not be necessary in other places with developed communication channels, therefore, if a project can demonstrate that interested community members are informed about the project, where to find information about the project and about the audit process the intent of G3.9 is satisfied.”

Based on this guidance, the audit team undertook independent checks to confirm that “communities or other stakeholders have the opportunity to understand how the project is designed and implemented and understand that they have the ability to raise any issues they have with the project”, as described below, in order to confirm conformance with G3.9.

The audit team verified that NCC communicated with and consulted stakeholders on project implementation in accordance with G3.8 – G3.9 through the following steps:

Steps taken to assess whether...	
Communication and consultation was carried out in accordance with the communication and consultation plan	- Through interviews with project personnel (during office meeting held 29 August 2017), the audit team received evidence to support the claims communication and consultation with recreational groups and scientific researchers, as documented in Tables 23 and 24 of MR - Through review of this evidence /42/-/47/ and /63/, audit team agrees that sufficient documentary evidence has been presented to support the claims that NCC has been highly responsive to stakeholder requests for communication and that NCC has continued “to make external communications and community relations a priority” and “maintained and strengthened [relationships] through regular contact with key stakeholders and partners” as planned for in the communication and consultation plan (see page 54 of CCBS PDD /2/) - Through interviews with a sample of community stakeholders, audit team was able to further confirm the claims regarding stakeholder engagement (see the audit team’s internal working papers for more details)
If needed adjustments were made to the communication and consultation plan	Not applicable, as no adjustments were required
The public comment period for verification was publicized to communities and other stakeholders using the communication methods identified in the validated project description and their submission of comments to VCS was facilitated	Through independent checks of NCC’s webpage, the audit team confirmed that the following procedure, as described on page 54 of CCBS PDD /2/, has been duly followed: “NCC has placed a prominent posting on the Darkwoods website with a link to the CCBA comment website” (see the audit team’s internal working papers for evidence)
Project implementation and monitoring information, and other key documents, were distributed to communities and other stakeholders during the monitoring period	- Through interviews with project personnel (during office meeting held 29 August 2017), the audit team received evidence of distribution of monitoring information to key stakeholders; for example, the audit team was provided with evidence of /43/ an annual “NCC South Selkirk Researchers meeting” (during every year of the monitoring period) and /42/ a delegation to a meeting of the Regional District of Central Kootenay (RDCK), during which in which monitoring information was shared with interested parties - Through interviews with a sample of community stakeholders, audit team was able to further confirm the claims regarding availability of key documents to

	interested stakeholders (see the audit team's internal working papers for more details)
Widely publicized information meetings were held in relevant local or regional languages	As indicated above, this requirement has been interpreted by the VCSA under the circumstances of this particular project; as described above, project personnel have clearly been active in holding meetings with interested stakeholders, and these meetings have been "widely publicized" within the circles of interest

In conclusion, the stakeholder engagement carried out by the project has been sufficiently effective to result in conformance to G3.8 and (as interpreted by the VCSA) G3.9.

4.3.6 Stakeholder Grievance Redress Procedure (G3.10)

In order to confirm that, as stated in Section 2.3.4 of the MR, "No specific conflicts or grievances related to Darkwoods project implementation have been noted during this monitoring period", the audit team conducted interviews with a sample of community stakeholders (see the audit team's internal working papers for more details). While the audit team has been able to confirm an absence of conflicts or grievances during the monitoring period, the audit team was told of one instance in which a concern was raised to project personnel by a stakeholder and quickly and effectively addressed by project personnel, and evidence of this exchange was provided to the audit team /42/. This documentation supports the audit team's impression based on on-site observations, which is that NCC has an active presence within the local community, with a key employee (Adrian Leslie) who is locally based, and is thus highly responsive to any feedback from stakeholders.

During the office meeting held 30 August 2017, discussions were held regarding interactions with mineral claim holders, which may be particularly prone to conflict. It was reported to the audit team that no formal grievances had been filed against NCC.

In summary, because no specific conflicts or grievances arose during the monitoring period, it logically follows that the grievance redress procedure has been implemented according to the project's validated design. In addition, NCC appears to have robust informal procedures to receive and address concerns and feedback provided by stakeholders.

4.3.7 Worker Relations (G4.3 – G4.6)

The audit team verified that NCC has taken actions and implemented measures to ensure that the relationship between the project and workers meet the requirements of G4.3 – G4.6 through the following steps:

Steps taken to assess whether actions were taken or measures implemented that ...	
Build the capacity of the communities through job training and employment	- Training opportunities for Adrian Leslie, the employee most directly responsible for implementation of project activities, were discussed at length during office meeting held 29 August 2017 - The audit team was provided with evidence of Mr. Leslie's training in chainsaw safety /51/, first aid /52/, fire suppression /53/, occupation health and safety awareness /54/, and harassment prevention /55/ - In addition, it was indicated to the audit team that there was an overlap of approximately one month between Mr. Leslie and the individual who previously worked in his position; given the importance of on-the-job training in forest management work, the audit team agrees that

	this is an appropriate mechanism to pass training on to Mr. Leslie so that that local capacity would not be not lost (per G4.3)
Ensure people from the communities are given an equal opportunity to fill work positions	- It was pointed out to the audit team that Mr. Leslie being hired as a local person from the communities served as primary evidence of conformance to G4.4; the audit team exercised professional judgment to agree with this assessment - The audit team also reviewed an email which was provided as evidence that the position now filled by Mr. Leslie was advertised in the local community via the Kootenay Conservation Program /59/ - As evidence of NCC's commitment to equity in hiring, the audit team reviewed the human resources policies /60/, which indicate in Section 8 that "The Nature Conservancy of Canada is committed to the principles of employment equity in all recruitment and hiring. As such, NCC will honour and respect all relevant federal and provincial legislation in regards of both employment equity and human rights more broadly."
Ensure the project is in compliance with all relevant laws and regulations regarding worker's rights and workers are informed of their rights	- Regarding employees of NCC, NCC, as a major non-profit organization, appears to have robust employment policies /60/ which cover items such as compensation, whistle blowing, harassment and other items of potential import to workers; these policies serve as strong documentary evidence of compliance with relevant laws and regulations and also of how workers are informed of their rights - Regarding employees of firms retained by NCC for forest management work, see below
Inform workers of risks and how to minimize risk	- Regarding employees of NCC, the audit reviewed a draft "Darkwoods Occupational Health & Safety Program" /61/; while only in draft form, the documents appears to comprehensively address all risks that might potentially arise in the conduct of forestry work and also describes how such risks can be minimized; additionally, Mr. Leslie's training in chainsaw safety, fire suppression and forest aid (see above) support claims of conformance - Regarding employees of firms retained by NCC for forest management work, see below
Minimize workplace risk using best work practices	From working with Mr. Leslie, the employee most directly responsible for implementation of project activities, over the course of several days during the site inspection, the audit team was able to observe Mr. Leslie's driving habits and conduct in the field and confirm that Mr. Leslie is well acquainted with best practices for minimizing risks in a forestry context

Given that many project activities during the monitoring period have been implemented with the assistance of contract labor (i.e., labor performed by individuals employed by firms retained by NCC for forest management work), and given the workplace risks inherent in forestry work, the means by which the project ensures that (1) workers are informed of their rights, (2) workers are informed of risks and how to minimize risk and (3) workplace risk is minimized using best work practices, in respect of contract

workers (who are considered “workers” per footnote 29 of the Climate, Community & Biodiversity Standards), was discussed in detail during the office meeting held 29 August 2017. It was explained to the audit team that, in accordance with contract law, NCC is not allowed to “give management”; that is, to directly interact with workers so as to inform them of their rights, inform them of risks, etc.

However, regarding how it has been ensured that the project is in compliance with all relevant laws and regulations regarding worker’s rights and workers are informed of their rights, the audit team was provided with NCC’s standard contract template for working with contractors /48/, as well as a sample of contracts with contractors who performed work on the project area during the monitoring period /49/, /50/. Section 11 in the contract template contains language clearly requiring compliance with all applicable laws and regulations, and requiring that employees are knowledgeable and compliant with employment laws. This language was found to be present in Section 10 of the two contracts examined. Thus, the audit team has reasonable assurance that the project complies with the requirements in question.

Regarding how contract workers are informed of risks and how to minimize risk, and how workplace risk is minimized using best work practices, the audit team agrees that the WorkSafeBC program is sufficient to ensure that these items are covered. Based on the audit team’s on-site impressions and the professional experience of one member of the audit team (Tyson Ehlers), WorkSafeBC is a far-reaching program that covers every aspect of forestry work in British Columbia. Given the heavily regulated status of forestry work in British Columbia (from WorkSafeBC and other programs), the audit team agrees that these programs ensure that the requirements of G4.6 are addressed, and that no additional action is required on the part of NCC (other than ensuring participation in these programs by contractors).

In conclusion, given that the mechanisms for protection of workers described in Section G4.5 of the CCBS PDD /2/ evidently remain in place, and that due diligence in contracting has been carried out as described in the same section, the audit team concludes that the relationship between workers and the project upholds the intent and design presented in the validated project description.

4.3.8 Technical and Management Capacity (G4.2, G4.7)

The audit team verified actions and implemented measures to ensure the capacity exists to implement the project over the project lifetime through the following steps:

Steps taken to assess whether actions were taken or measures implemented that ...	
Demonstrate the project possesses, or is acquiring through partnerships, and is maintaining the key technical and management skills required to implement the project successfully	- Through interviews with Rob Wilson and Tom Swann, the audit team has confirmed that these individuals possess the necessary skills for high-level management of the project area as a protected area - The audit team has been able to confirm that Adrian Leslie possesses the necessary technical skills required to perform on-the-ground management of the project area through the following means: - Interviews with Mr. Leslie - Observation of Mr. Leslie in the field during site inspections - Review of Mr. Leslie’s resume /62/ - Application of professional judgment to confirm that, while Mr. Leslie does not hold the registered forest technologist credential held by his predecessor, an individual holding this credential could readily be contracted out (and that NCC has a means for such contracting), if necessary

	Through interviews with personnel from 3GreenTree, the audit team has been able to confirm that this organizations possesses the necessary technical skills for carbon stock monitoring and quantification see also the discussion under “Internal Risk - Project Management” in Section 4.4.3 below)
Demonstrate the financial health of the implementing organization is adequate to support project implementation	The audit team reviewed NCC's audited financial statements /33/-/35/ and confirmed that they show NCC to have had a cash-flow-positive position over the last few years (see audit team's internal working papers for more details)

In conclusion, because the same core management and technical capacity is currently place as was in place when the project was validated to the Climate, Community & Biodiversity Standards, and because the financial health of NCC is adequate to support continued implementation of the project activities, the project has the capacity to implement the project in accordance with the validated project design.

4.3.9 Legal Status (G5.1)

During the office meeting held 29 August 2017, it was indicated to the audit team that project management is required to annually attest that NCC's human resources policies (which require legal compliance) are being followed. In support of this assertion, the audit team was provided with a PDF document /70/ with documentary evidence that, according to NCC's internal records, Rob Wilson had attested to conformance with NCC's human resources policies for the period 2013-2016, and Adrian Leslie had done the same for 2016 (the year of his hire). Evidence was provided that Tom Swann made the attestation in question for the years 2014-2016 but, perhaps due to a record-keeping glitch, it was indicated to the audit team that it would not be possible to provide evidence that Mr. Swann made the attestation in question for 2013.

Nonetheless, based on the evidence provided and the understanding of the audit team that noncompliance with any national and local laws and regulations relevant to the project activities is extremely unlikely, the audit team concludes, with reasonable assurance, and the assurances provided by the project are genuine and that the implementation of the project activities has not resulted in noncompliance with any law.

In addition, note that the findings of the audit team regarding employment law, in Section 4.3.7 above, apply here as well.

4.3.10 Rights Protection and Free, Prior and Informed Consent (G5.3-G5.5)

The audit team verified actions taken and measures implemented by NCC to protect the rights of Indigenous Peoples, communities and other stakeholders through the following steps:

Steps taken to assess whether...	
Existing property rights are recognized, respected and supported	Audit team undertook risk-based checks to confirm that the project area continues to be held in fee simple ownership by NCC (see “External Risk – Land Tenure and Resource Access/Impacts” in Section 4.4.3 below) and, therefore, that there are no other “existing property rights”
The project does not encroach uninvited on private, community or government property	As per the above, given that the project area is held in fee by NCC, the project cannot encroach uninvited on private, community or government property except by denying lawful claimants access for mineral exploration

	and extraction purposes (since mineral rights are reserved to the Crown in right of British Columbia) • Audit team undertook checks documented in Section 4.3.6 above to confirm that no grievances had been filed regarding mineral rights, thus confirming that the project has not encroached uninvited on government property
The free, prior and informed consent has been obtained of those whose property rights are affected by the project	• As per the above, there are no instances of property rights being affected by the project; therefore, this item is not applicable
Appropriate restitution or compensation has been allocated to any parties whose lands have been or will be affected by the project	• As per the above, there are no instances of anyone's "lands" being affected by the project; therefore, this item is not applicable
Project activities do not lead to the involuntary removal or relocation of property rights holders from their lands or territories, and does not force them to relocate activities important to their culture or livelihood	• As NCC is the sole property rights holder, project activities have not led to any removal or relocation of property rights holders from their lands or territories, or forced any property rights holders to relocate activities important to their culture or livelihood

Section 4.1.1 of the MR states the following: “. This usage is declining (from 35 in 2013) as leases expire and are not renewed, but these leases were not affected by project activities during the monitoring period.” The audit team expressed concerns, during the office meeting held 30 August 2017, that this referred to agreements not being renewed on an involuntary basis (i.e., to the opportunity to renew agreements not being extended to lease holders), because this would potentially constitute a violation of G5.4. However, the audit team was assured that the only circumstance under which agreements would not be renewed is the circumstance under which an individual lease holder does not wish to renew the agreement, and that all lease holders who wish to renew their agreements are given the opportunity to do so. The audit team also learned that lease holders are valued by project personnel inasmuch as they act as an informal monitoring system (see Section 4.3.2 above). Finally, the audit team was provided with evidence of email communication /63/ suggesting that certain leaseholders, who were voluntarily deciding not to renew their lease, were making this decision on good terms (in that they desired to donate a functional trailer to NCC). Therefore, the audit team feels there is a very low risk of any holders having been involuntarily removed.

In summary, given that the project area is located on privately held fee simple land and that no specific instances have been found whereby mining claimants have been denied their rights under law, it is concluded that there have been no instances whereby the project has not protected the rights of Indigenous Peoples, communities and other stakeholders in accordance to the Climate, Community & Biodiversity Standards and the validated project design.

4.3.11 Identification of Illegal Activities (G5.5)

Based on the audit team's understanding of the project and observations during the site visit, the audit team can confirm that there are no possible illegal activities from which project benefits could be derived and therefore, that the requirements of G5.5 are not applicable.

4.4 Climate

4.4.1 Accuracy of GHG Emission Reduction and Removal Calculations

The GHG emission reductions and/or removals have been quantified correctly in accordance with the project description and (with the exception of the methodology deviations discussed in Sections 3.2 and/or 4.3.1.1 above) with the applied methodology.

For all instances in which values were transcribed between datasets (e.g., transcription from the project description to reporting workbooks, or between reporting workbooks), the audit team carefully traced values to ensure the absence of manual transposition errors.

An identification of the data and parameters used to calculate the GHG emission reductions and removals/or, and a description of the steps taken to assess each of them, follows.

4.4.1.1 Data and Parameters Available at Validation

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
THLB	confirmed that quantification of baseline carbon stock changes, as reported in current carbon model /10/, is consistent with information presented in carbon model workbook presented for review as part of verification for the prior monitoring period (this has ensured, by definition, that the delineation of timber harvesting land base is identical to that submitted for review as part of the verification for the prior monitoring period)	N/A (assessment is outside scope of verification engagement)	N/A
ABSL _i	confirmed that quantification of baseline carbon stock changes, as reported in current carbon model /10/, is consistent with information presented in carbon model workbook presented for review as part of verification for the prior monitoring period (this has ensured, by definition,	N/A (assessment is outside scope of verification engagement)	N/A

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
	that the calculation of area of baseline polygons is identical to that submitted for review as part of the verification for the prior monitoring period)		
CF	N/A (confirmed at validation; not monitored)	confirmed that value of 0.5, as provided in Section 3.2 of VCS PD /4/, has been implemented in calculations in worksheets "Tree Data" (column AC) and "CWD Data" (column J) of plot data workbook /11/	N/A (confirmed at validation; not monitored)
R _i	N/A (confirmed at validation; not monitored)	confirmed that approach "based on Li et al. 2003 but modified according to tree age based on Lehtonen et al. 2004", as referenced in Section 3.2 of VCS PD /4/, has been implemented in calculations in worksheet "BG Conversion" of plot data workbook /11/	N/A (confirmed at validation; not monitored)
BEF	N/A (confirmed at validation; not monitored)	confirmed that the root:shoot ratio specified for variable R _i has been used in place of a BEF in calculations in worksheet "BG Conversion" of plot data workbook /11/	N/A (confirmed at validation; not monitored)
Allometric equation parameters	N/A (confirmed at validation; not monitored)	traced a sample of equation parameters in worksheet "Standish Biomass Equation" in plot data workbook /11/ to confirm that parameters were sourced from (Standish, Manning & Demaerschalk, 1985); replicated calculation of biomass to confirm that equation form from this publication correctly was used in worksheet "Tree Data" of the same workbook	N/A (confirmed at validation; not monitored)

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
$f_{BSL,BRANCH,i,t}$	confirmed that quantification of baseline carbon stock changes, as reported in current carbon model /10/, is consistent with information presented in carbon model workbook presented for review as part of verification for the prior monitoring period (this has ensured, by definition, that assumptions regarding proportion of branch biomass in the baseline scenario are identical to that submitted for review as part of the verification for the prior monitoring period)	N/A (assessment is outside scope of verification engagement)	N/A
$f_{BSL,BUCKINGLOSS,i,t}$	confirmed that quantification of baseline carbon stock changes, as reported in current carbon model /10/, is consistent with information presented in carbon model workbook presented for review as part of verification for the prior monitoring period (this has ensured, by definition, that modeling of bucking loss in the baseline scenario is identical to that submitted for review as part of the verification for the prior monitoring period)	N/A (assessment is outside scope of verification engagement)	N/A
$f_{BSL,PRODUCTk}$, $f_{BSL,PROCESSk}$, $f_{PRJ,PRODUCTk}$, $f_{PRJ,PROCESSk}$	N/A (confirmed at validation; not monitored)	confirmed that values specified in Table 1 of Annex 2 of VCS PD /4/ /4/ have been correctly transcribed to cells C6:D9, worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
HL _k	N/A (confirmed at validation; not monitored)	confirmed that values specified in Table 1 of Annex 2 of VCS PD /4/ have been correctly transcribed to cells E6:E9 of worksheet "HWP Carbon Model" in current carbon model /10/	
f _{BSL,BARK} , f _{PRJ,BARK}	N/A (confirmed at validation; not monitored)	confirmed that value of 26.5%, as provided in Section 3.2 of VCS PD /4/, has been correctly transcribed to cell I4, worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
f _{BSL,COARSE} , f _{PRJ,COARSE}	N/A (confirmed at validation; not monitored)	confirmed that value of 42.9%, as provided in Section 3.2 of VCS PD /4/, has been correctly transcribed to cell I5, worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
f _{BSL,FINE} , f _{PRJ,FINE}	N/A (confirmed at validation; not monitored)	confirmed that value of 30.7%, as provided in Section 3.2 of VCS PD /4/, has been correctly transcribed to cell I6, worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
f _{TRANSPORTk}	N/A (confirmed at validation; not monitored)	confirmed that values specified in Table 2 of Annex 2 of VCS PD /4/ have been correctly transcribed to cells N9:N14 of worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
CHARVEST	N/A (confirmed at validation; not monitored)	confirmed that value of 0.016, as specified in Table 2 of Annex 2 of VCS PD /4/, has been correctly transcribed to cell N4 of worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
C _{MANUFACTUREk}	N/A (confirmed at validation; not monitored)	confirmed that values specified in Table 2 of Annex 2 of VCS PD /4/ have been correctly transcribed to cells N5:N7 of worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
C _{TRANSPORTk}	N/A (confirmed at validation; not monitored)	confirmed that values specified in Table 2 of Annex 2 of VCS PD /4/ have been correctly transcribed to cells N13:N14 of	N/A (confirmed at validation; not monitored)

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
		worksheet "HWP Carbon Model" in current carbon model /10/	
d _{TRANSPORTK}	N/A (confirmed at validation; not monitored)	confirmed that values specified in Table 2 of Annex 2 of VCS PD /4/ have been correctly transcribed to cells N11:N12 of worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
f _{BSL,NATURAL,i,t}	confirmed that quantification of baseline carbon stock changes, as reported in current carbon model /10/, is consistent with information presented in carbon model workbook presented for review as part of verification for the prior monitoring period (this has ensured, by definition, that the modeling of natural mortality is identical to that submitted for review as part of the verification for the prior monitoring period)	N/A (assessment is outside scope of verification engagement)	N/A
f _{BSL,HARVEST,i,t}	confirmed that quantification of baseline carbon stock changes, as reported in current carbon model /10/, is consistent with information presented in carbon model workbook presented for review as part of verification for the prior monitoring period (this has ensured, by definition, that harvest scheduling in the baseline scenario is identical to that submitted for review as part of the verification for the prior monitoring period)	N/A (assessment is outside scope of verification engagement)	N/A

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
$f_{BSL,DAMAGE,i,t}$	confirmed that quantification of baseline carbon stock changes, as reported in current carbon model /10/, is consistent with information presented in carbon model workbook presented for review as part of verification for the prior monitoring period (this has ensured, by definition, that modeling of damage due to road and landing construction in the baseline scenario is identical to that submitted for review as part of the verification for the prior monitoring period)	N/A (assessment is outside scope of verification engagement)	N/A
$f_{BSL,BLOWDOWN,i,t}$	confirmed that quantification of baseline carbon stock changes, as reported in current carbon model /10/, is consistent with information presented in carbon model workbook presented for review as part of verification for the prior monitoring period (this has ensured, by definition, that modeling of blowdown rates in the baseline scenario is identical to that submitted for review as part of the verification for the prior monitoring period)	N/A (assessment is outside scope of verification engagement)	N/A

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
$f_{BSL,SNAGFALLDOWN,i,t}$	confirmed that quantification of baseline carbon stock changes, as reported in current carbon model /10/, is consistent with information presented in carbon model workbook presented for review as part of verification for the prior monitoring period (this has ensured, by definition, that modeling of snag "fall-down" rates in the baseline scenario is identical to that submitted for review as part of the verification for the prior monitoring period)	N/A (assessment is outside scope of verification engagement)	N/A
$f_{BSL,lwDECAY,i,t}$	confirmed that quantification of baseline carbon stock changes, as reported in current carbon model /10/, is consistent with information presented in carbon model workbook presented for review as part of verification for the prior monitoring period (this has ensured, by definition, that modeling of decay rates in the baseline scenario is identical to that submitted for review as part of the verification for the prior monitoring period)	N/A (assessment is outside scope of verification engagement)	N/A

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
$f_{BSL,SWDECAY,i,t}$	same as for $f_{BSL,lwDECAY,i,t}$	same as for $f_{BSL,lwDECAY,i,t}$	same as for $f_{BSL,lwDECAY,i,t}$, $f_{PRJ,lwDECAY,i,t}$
$f_{BSL,dbgDECAY,i,t}$	same as for $f_{BSL,lwDECAY,i,t}$	same as for $f_{BSL,lwDECAY,i,t}$	same as for $f_{BSL,lwDECAY,i,t}$, $f_{PRJ,lwDECAY,i,t}$
$f_{BSL,PERMHWPk}$, $f_{PRJ,PERMHWPk}$	N/A (confirmed at validation; not monitored)	conducted spot checks to confirm that the calculation set out in Equation 21 of Annex 2 of VCS PD /4/ has been correctly implemented in rows 28, 35, 74 and 81 of worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
$f_{BSL,BARKUSE}$, $f_{PRJ,BARKUSE}$	N/A (confirmed at validation; not monitored)	confirmed that value of 100%, as provided in Section 3.2 of VCS PD /4/, has been correctly transcribed to cell I7, worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
$f_{BSL,COARSEUSE}$, $f_{PRJ,COARSEUSE}$	N/A (confirmed at validation; not monitored)	confirmed that value of 85%, as provided in Section 3.2 of VCS PD /4/, has been correctly transcribed to cell I8, worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
$f_{BSL,FINEUSE}$, $f_{PRJ,FINEUSE}$	N/A (confirmed at validation; not monitored)	confirmed that value of 42%, as provided in Section 3.2 of VCS PD /4/, has been correctly transcribed to cell I9, worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)
$f_{BSL,PROCESSc}$, $f_{BSL,PROCESSf}$, $f_{PRJ,PROCESSc}$, $f_{PRJ,PROCESSf}$	N/A (confirmed at validation; not monitored)	confirmed that value of 85%, as provided in Section 3.2 of VCS PD /4/, has been correctly transcribed to cell I12, worksheet "HWP Carbon Model" in current carbon model /10/	N/A (confirmed at validation; not monitored)

4.4.1.2 Data and Parameters Monitored

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
APRJ,i	interviews with project personnel regarding GIS analysis used to produce this information, detailed assessment of forest typing during aerial overflight, follow-up remote sensing analysis to ensure absence of gross typing errors	N/A (no specific, prescriptive methods/formulae set out in the VCS PD /4/ for this parameter)	N/A
APSP,i	review of how permanent sample plots were laid out in the field, independent remeasurement on a sample of plots to confirm accuracy of measurements	N/A (no specific, prescriptive methods/formulae set out in the VCS PD /4/ for this parameter)	N/A
DBH _{i,t}	field-based review of measurement for this parameter, independent remeasurement of a sample of data to confirm accuracy of measurements	N/A (no specific, prescriptive methods/formulae set out in the VCS PD /4/ for this parameter)	N/A
Height _{i,t}	same as for DBH _{i,t}	same as for DBH _{i,t}	same as for DBH _{i,t}
d _{n,i,t}	same as for DBH _{i,t}	same as for DBH _{i,t}	same as for DBH _{i,t}
N _{i,t}	same as for DBH _{i,t}	same as for DBH _{i,t}	same as for DBH _{i,t}
L _{i,t}	same as for DBH _{i,t}	same as for DBH _{i,t}	same as for DBH _{i,t}
D _{LDW,c,i,t}	review of quantification to confirm that criteria for methodology deviations were complied with (see Sec. 3.2 above)	N/A, as methods set out in VCS PD /4/ have not been followed (see Sec. 3.3.1 above)	review of quantification to confirm that criteria for methodology deviations were complied with (see Sec. 3.2 above)
V _{LDW,c}	replication of calculations in worksheed "CWD Data" in plot data workbook /11/ to confirm accuracy and conformance with methodology	N/A (no specific, prescriptive methods/formulae set out in the VCS PD /4/ for this parameter)	N/A
B _{AGI,t}	replication of calculations in plot data workbook /11/ to confirm accuracy and conformance with methodology	N/A (no specific, prescriptive methods/formulae set out in the VCS PD /4/ for this parameter)	N/A

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
B _{BGi,t}	same as for B _{AGi,t}	same as for B _{AGi,t}	same as for B _{AGi,t}
B _{TOTALi,t}	same as for B _{AGi,t}	same as for B _{AGi,t}	same as for B _{AGi,t}
DOM _{LDW,i,t}	same as for B _{AGi,t}	same as for B _{AGi,t}	same as for B _{AGi,t}
DOM _{SNAG,i,t}	same as for B _{AGi,t}	same as for B _{AGi,t}	same as for B _{AGi,t}
f _{PRJ,NATURAL,i,t}	review of process used to generate ecosystem carbon storage curves in FORECAST, interviews with project personnel	interviews with project personnel to confirm that data is based on yield curves from FORECAST, as required by Annex 2 of VCS PD /4/	N/A
f _{PRJ,HARVEST,i,t}	interviews with project personnel regarding spatial tracking of timber harvests; review of project area during aerial overflight to ensure absence of unreported harvest, ground-based assessment of mapping accuracy for a sample of harvest units	N/A (no specific, prescriptive methods/formulae set out in the VCS PD /4/ for this parameter)	N/A
f _{PRJ,DAMAGE,i,t}	interviewed project personnel, who asserted that no road or landing construction has occurred during monitoring period; field-based checks during site visit to confirm same	N/A (no specific, prescriptive methods/formulae set out in the VCS PD /4/ for this parameter)	N/A
f _{PRJ,BLOWDOWN,i,t}	review of process used to generate ecosystem carbon storage curves in FORECAST, interviews with project personnel, detailed review during aerial overflight to confirm absence of blowdown in excess of monitoring threshold stated in methodology (4 ha)	review of parameter table in Sec. 3.1 of VCS PD /4/ to confirm that all specifications of this table have been met	N/A
f _{PRJ,SNAGFALLDOWN,i,t}	same as for f _{PRJ,NATURAL,i,t}	same as for f _{PRJ,NATURAL,i,t}	same as for f _{PRJ,NATURAL,i,t}
f _{PRJ,IWDECAY,i,t}	same as for f _{PRJ,NATURAL,i,t}	same as for f _{PRJ,NATURAL,i,t}	same as for f _{PRJ,NATURAL,i,t}
f _{PRJ,swDECAY,i,t}	same as for f _{PRJ,NATURAL,i,t}	same as for f _{PRJ,NATURAL,i,t}	same as for f _{PRJ,NATURAL,i,t}
C _{LB,i,t}	same as for f _{PRJ,NATURAL,i,t}	same as for f _{PRJ,NATURAL,i,t}	same as for f _{PRJ,NATURAL,i,t}
C _{DOM,i,t}	same as for f _{PRJ,NATURAL,i,t}	same as for f _{PRJ,NATURAL,i,t}	same as for f _{PRJ,NATURAL,i,t}
Mean tree age	same as for DBH _{i,t}	same as for DBH _{i,t}	same as for DBH _{i,t}

Data/Parameter	Steps taken by audit team to assess...		
	accuracy of GHG emission reductions and removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
E _m	replication of calculations in worksheet "Uncertainty Factor" in plot data workbook /11/ to confirm accuracy and conformance with methodology	N/A (no specific, prescriptive methods/formulae set out in the VCS PD /4/ for this parameter)	N/A
E _i	same as for E _m	same as for E _m	same as for E _m
E _p	same as for E _m	same as for E _m	same as for E _m

4.4.2 Quality of Evidence to Determine GHG Emission Reductions and Removals

The evidence used to determine the GHG reductions and removals was of sufficient quantity and appropriate quality. An identification of the categories of evidence used to determine the GHG emission reductions and removals, and a description of the steps taken to assess the sufficiency of quantity, and appropriateness of quality, of each category of evidence, follows.

Category	Steps taken by audit team to assess...		
	Reliability of the evidence, source and nature of evidence for the determination of GHG emission reductions or removals	Information flow from data generation and aggregation, to recording, calculation and final transposition into the MR	Appropriateness of implemented calibration frequency of monitoring equipment
Forest carbon Inventory data as input to plot data workbook /11/	Re-measurement of a sample of data, comparison against reported information	Same as steps taken to assess "Reliability of the evidence..."	Same as steps taken to assess "Reliability of the evidence..."
Spatial products showing stratification of project area /64/ and "Project Scenario Projection" workbook /12/, as an input to quantification of carbon stock change during the monitoring period	Ground-truthing of stratification during on-site inspections	Recalculation of carbon stock changes in project area during monitoring period; comparison to information presented in the MR	N/A
Current carbon model workbook /10/	Recalculation for all sources deemed important by the audit team	Comparison with information presented in MR (downstream products) and with information sources flowing into the carbon model workbook (upstream products)	N/A

Scaling reports for harvest during monitoring period /24/-/26/	As reports are a product of the government of British Columbia, they are assumed to be reliable for this purpose	Cross-checks against reported information to confirm that information from scaling reports was correctly transcribed	N/A
Information pertaining to quantification of baseline carbon stock changes and emissions	N/A (not assessed; see Section 3.3.2 above)	N/A (not assessed; see Section 3.3.2 above)	N/A (not assessed; see Section 3.3.2 above)

Overall, the evidence used to determine the GHG reductions and removals is of sufficient quantity (i.e., all necessary information has been provided to allow the audit team to trace and, as necessary, recalculate the quantification of GHG reductions and removals), and of appropriate quality (i.e., information presented is free of misstatements, whether material or immaterial) to allow the audit team to render a verification opinion.

4.4.3 Non-Permanence Risk Analysis

The reported value of the overall risk rating, as determined based in the risk analysis reported on in the NPRR, was 10%. The audit team did not perform a re-assessment of the risk analysis from first principles, but did assess the following:

- Whether any circumstances or conditions may have transpired since the previous risk analysis such that a previous determination having bearing on the risk rating is no longer valid
- Whether items meant to address certain risks are in place and functioning as intended

The audit team's conclusions regarding the risk analysis are two-fold. The audit team concludes that:

- The assignment of risk scores to risk factors that did not change from the previous risk analysis remains appropriate and in conformance to the AFOLU Non-Permanence Risk Tool, to the extent that such assignment was appropriate and in conformance to the AFOLU Non-Permanence Risk Tool at the time of the prior risk analysis.
- The assignment of risk scores to risk factors that did change from the previous risk analysis is appropriate and in conformance to the AFOLU Non-Permanence Risk Tool.

In this case, the audit team has confirmed, through review of Appendix B of the verification report for the prior monitoring period /9/, that in no case was there any change in assignment of risk scores, to risk factors, relative to the previous risk analysis.

Internal Risk - Project Management

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(a)	- During on-site inspection, audit team observed reforestation in a previously harvested site and confirmed, from visual inspection, that native species were used - Audit team is unaware of any circumstances that would make use of non-native species necessary or desirable in the circumstances of the project - During on-site inspection, audit team carefully observed species composition and no non-native species were identified	N/A	Risk rating is appropriate
(b)	- During on-site inspection, audit team observed a gate and signage that seemed to be effective in limiting unauthorized access - From professional experience, audit team agrees that timber theft in region in which project is located is rare, and risk is further reduced with locked gates	N/A	Risk rating is appropriate
(c)	- Through interviews with project personnel, and observing personnel in action during the site visit, audit team agrees that the core management capacity has been retained since the time of the previous risk analysis - While a registered forest technologist is no longer on staff locally, audit team is reasonably assured that NCC has processes in place to contract out for this expertise as necessary (see Section 4.3.8 above)	As evidence that 3GreenTree continues to fall under the category of "carbon project development partners who have contractual commitments to support the activities of the project", audit team was provided with a fully executed contract for provision of services to support the activities of the project /18/	Risk rating is appropriate

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(d)	- Through in-person visits at NCC's Vancouver, BC and Nelson, BC offices, audit team can confirm that NCC maintains a presence in the country and within a day of travel from project site - Through discussion with project personnel, audit team understands that 3GreenTree maintains a presence in Vancouver, BC - Through personal experience, audit team can confirm that Nelson, BC is a 1.25 hour flight from Vancouver, BC, and that the project area is therefore within a day of travel from Vancouver, BC	Same as for (c) above	Risk rating is appropriate
(e)	Through interviews with project personnel, audit team agrees that both NCC and 3GreenTree have retained the individuals who have successfully managed the project through "validation, verification and issuance of GHG credits" since project commencement	N/A	Risk rating is appropriate
(f)	- In interviews, project personnel highlighted the five-year planning cycle (with property management plans updated every five years) as meeting the requirement for an adaptive management plan - It was pointed out that the shift from focus on mountain pine beetle management to wildfire management, as the relative threat from mountain pine beetles has decreased and the relative threat of wildfire has increased, is an example of the existence of "a process for monitoring progress and documenting lessons learned or corrections that may be needed, and incorporating them into project decision-making in future monitoring periods" - Audit team agrees with this assessment	The management plan for the Darkwoods property /23/ is of high quality and contains evidence of assessment of threats (see Section 8) and corresponding effectiveness monitoring and conservation actions (see Sections 14 and 15, respectively)	Risk rating is appropriate

Internal Risk – Financial Viability

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(a)	N/A	N/A	N/A
(b)	N/A	N/A	N/A
(c)	N/A	N/A	N/A
(d)	N/A	- Audit team confirmed that project has continued to maintain breakeven status through review of a financial analysis /31/ and VCU sales summary /32/ and interviews with Rob Wilson (see Section 2.4.1 above) regarding said analysis - Audit team reviewed records /36/-/38/ from a sample of transactions (i.e., instances of sale of VCUs) and traced data to ensure absence of misreporting - Therefore, audit team concludes that the financial analysis is of high quality and well-substantiated - As additional evidence, audit team reviewed audited financial statements /33/-/35/ (which are reviewed by an independent financial auditing firm and can be assumed to be of high quality) and confirmed that they show NCC to have had a cash-flow-positive position over the last few years (See audit team's internal working papers for more details)	Risk rating is appropriate
(e)	N/A (project has reached breakeven)	N/A (project has reached breakeven)	N/A
(f)	N/A (project has reached breakeven)	N/A (project has reached breakeven)	N/A
(g)	N/A (project has reached breakeven)	N/A (project has reached breakeven)	N/A
(h)	N/A (project has reached breakeven)	N/A (project has reached breakeven)	N/A
(i)	N/A (project has reached breakeven)	N/A (project has reached breakeven)	N/A

Internal Risk – Opportunity Cost

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(a)	N/A	N/A	N/A
(b)	N/A	N/A	N/A
(c)	N/A	N/A	N/A
(d)	- Through review of verification report for the prior monitoring period /9/, audit team can confirm that the score is unchanged from the previous risk analysis - Through risk-based review of financial model /65/, audit team has been able to confirm that no changes have occurred, since the previous risk analysis, such that the previous risk analysis is no longer valid	The financial model /65/ is well-documented and prior version of the same workbook have been extensively reviewed by prior audit teams; thus the document can be judged to be of high quality	Risk rating is appropriate
(e)	N/A	N/A	N/A
(f)	N/A	N/A	N/A
(g)	N/A	- Through a search of https://www.canada.ca/en/r-evenue-agency/services/charities-giving/charities-listings.html (accessed 15 December 2017), audit team was able to confirm that “THE NATURE CONSERVANCY OF CANADA - LA SOCIÉTÉ CANADIENNE POUR LA CONSERVATION DE LA NATURE” is a registered charity in Canada (and, thus, that this organization meets the definition of a non-profit organization as defined in Section 2.2.3(3) of AFOLU Non-Permanence Risk Tool) - The website quoted above is an official product of the Canadian government and can be assumed to be of high quality (See audit team's internal working papers for more details)	

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(h)	- Through review of verification report for the prior monitoring period /9/, audit team can confirm that the prior verification team was able to review the agreement enrolling the project in the Canadian Ecological Gifts Program and confirm that it constitutes “a legal agreement to continue the management practice for over 100 years” (and further confirm that it requires continuation of management activities in perpetuity) - In order to assess whether there have been any changes in circumstance since the prior risk assessment, audit team interviewed David Cunningham, Habitat Protection Biologist with the Canadian Wildlife Service (see Section 2.4.2 above) in order to confirm that the continued enrollment of the Darkwoods property in the Canadian Ecological Gifts Program has not been terminated; Mr. Cunningham confirmed that the six individual legal lots included in the property remain enrolled in the Canadian Ecological Gifts Program and that no changes in use or dispositions of these lots have been recorded with his office	N/A	Risk rating is appropriate

Internal Risk – Project Longevity

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
	- See risk item (h) under “Internal Risk – Opportunity Cost” above; project remains enrolled in the Canadian Ecological Gifts Program - Per Non-Permanence Risk Tool, Section 2.2.4(5), “Any project with a legally binding agreement that covers at least a 100 year period from the project start date shall be assigned a score of zero for project longevity”; therefore a score of zero is justified	N/A	Risk rating is appropriate

External Risk – Land Tenure and Resource Access/Impacts

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(a)	Through review of verification report for the prior monitoring period /9/, audit team can confirm	It was indicated to audit team, during office meeting held 30 August 2017, that	Risk rating is appropriate
(b)			
(c)			

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(d)	that the score is unchanged from the previous risk analysis - In order to assess whether there have been any changes in circumstance since the prior risk assessment, audit team was provided with four recently requested title reports /27/-/30/, all dated 5 September 2017, regarding which the audit team undertook the following confirmatory checks: - Confirming that each report names “THE NATURE CONSERVANCY OF CANADA” as registered owner in fee simple - Confirming that the reports covered, collectively, all of the project identifiers included in Table 1 of the VCS PD /4/ - Confirming that, under “Charges, Liens and Interests”, that there are no such deed restrictions that are dated since the previous risk analysis	title reports are a product of Land Title and Survey Authority of British Columbia; as such, they are assumed to be of high quality	
(e)	Audit team can confirm that, as with the previous risk analysis, this risk is not applicable, as the project is not a WRC project	N/A	Risk rating is appropriate
(f)	See risk item (h) under “Internal Risk – Opportunity Cost” above; project remains enrolled in the Canadian Ecological Gifts Program	N/A	Risk rating is appropriate
(g)	Not applicable, as no “disputes over land tenure, ownership or access/use rights exist” have been identified since previous risk analysis (see above)	N/A	Risk rating is appropriate

External Risk – Community Engagement

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(a)	Audit team can confirm, based on on-site inspections, that there are still no households living in project area	N/A	Risk rating is appropriate
(b)	Audit team can confirm, based on interviews with project personnel, on-site inspections and application of professional judgment, that there are still no households living within 20 km of the project boundary who are reliant on the project area	N/A	Risk rating is appropriate
(c)	Audit team agrees that this mitigation is still not relevant, as local populations are still not reliant on the project area	N/A	Risk rating is appropriate

External Risk – Political Risk

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(a)	N/A	N/A	Risk rating is appropriate
(b)	N/A	N/A	Risk rating is appropriate
(c)	N/A	N/A	Risk rating is appropriate
(d)	N/A	N/A	Risk rating is appropriate
(e)	- Audit team independently recalculated governance score based on 2012-2016 data, which were available as of the time of the audit team's checks, and calculated a score of 1.64 - While a score of 1.63 is reported in NPRR (based on 2011-2015 data), it seems likely to the audit team that 2011-2015 data were the most recent five years of available data as of the time of initial completion of the NPRR and, in any case, both scores are far greater than the threshold of 0.82 as given in the AFOLU Non-Permanence Risk Tool	The World Bank Institute Worldwide Governance Indicators are required for use by the AFOLU Non-Permanence Risk Tool and can be assumed to be of high quality	Risk rating is appropriate

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(f)	Audit team agrees that this mitigation is still not relevant, as the host country is still not implementing REDD+ Readiness or other activities	N/A	Risk rating is appropriate

Natural Risk

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
Fire			
L	Audit team agrees that "Less than every 10 years" remains appropriate, especially as this is the most conservative assignment	N/A	Risk rating is appropriate
S	Audit team agrees that "Insignificant" remains appropriate since, while fires have recently occurred, they have been very small relative to the size of the project area (thus, the historical record shows that an individual fire affects far less than 5% of average carbon stocks)	N/A	

M	• Audit team examined claim for ongoing application of mitigation score in detail • While claim in NPRR that “The property is fully roaded with all weather access roads” is, in the judgment of the audit team, somewhat misleading (given that several key access roads have been deactivated), audit team was able to confirm during on-site inspections that there are some access roads currently open, and project personnel have argued that more could likely be opened within a fairly short time frame if needed • Audit team agrees that property access is controlled (see Section 4.3.2 above) • To confirm that “NCC has undertaken significant fire risk mitigation steps by entering into a fire protection agreement with the B.C. government”, audit team reviewed said agreement /39/ to confirm that it appeared bona fide and also interviewed Lawrence Bowdidge, BC Wildfire Service (see Section 2.4.2 above) to confirm that the agreement continues to be in place and that there have been no violations or issues with conformance with respect to the agreement • The audit team was provided with access to “equipment and resources” stored at the Darkwoods office and confirm that project personnel have a wide selection of initial attack gear on hand (including hose, pulaskis and pumps) in the office and some basic gear (hand pump, rake, shovel, chainsaw, safety equipment, bar oil, gasoline) in the truck of project employee Adrian Leslie; Mr. Leslie appeared adequately trained in the use of all equipment • Project personnel have argued that harvesting since project start has been targeted at creating strategic firebreaks in the “mixed severity zone”, the area most	• The Wildfire Response Agreement /39/ has been confirmed to be an official agreement between NCC and the “HER MAJESTY THE QUEEN IN RIGHT OF THE PROVINCE OF BRITISH COLUMBIA” and can thus be assumed to be of high quality	
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Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
	prone to stand-replacing wildfire (in some cases, by “anchoring into” the mountain pine beetle cut-blocks), and the audit team agrees with this assessment As an example of how “Project proponent has proven history of effectively containing natural risk”, the 2015 Midgeley Fire (the largest single fire on the project area during the monitoring period) was discussed at length; project personnel provided a description of how the fire was stopped by (1) a “fire guard” that was built to the north and tied into a deactivated road, (2) dropping of retardant all along the line of fire to the west, and a machine-built road connecting into an existing road system to the southwest, and (3) a back-burn to the east; the audit team agrees that this constitutes evidence of a proven history of effectively containing natural risk from fire (and that, due to the Wildfire Response Agreement /39/, the Province of British Columbia rendered the fire containment services on behalf of NCC, and so the containment of risk in this case is rightfully attributed to NCC)		
Pest and Disease Outbreaks			
L	Audit team agrees that “Less than every 10 years” remains appropriate, especially as this is the most conservative assignment	N/A	Risk rating is appropriate
S	Audit team agrees that “Insignificant” remains appropriate since no mountain pine beetle outbreaks have occurred during the monitoring period (as attested to by project personnel and as confirmed during on-site inspections), and the audit team has been able to confirm, during on-site inspections, that no other pest and disease outbreaks have recently occurred	N/A	

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
M	- As salvage is a widely prescribed mechanism for containing mountain pine beetle outbreaks, audit team believes that the proactive salvage of 63 ha of the hardest-hit areas, as documented in Table 8 of the monitoring report for the prior monitoring period /8/, is itself evidence of a “proven history of effectively containing natural risk” - Other prevention and containment mechanisms discussed with project personnel include annual aerial overflights and other monitoring activities to confirm absence of recent mortality (so that quick action could be taken in the event that mortality is detected)	Based on the high quality of data compilation procedures as assessed for the verification engagement documented in this report, audit team believes that the reporting of salvaged areas in Table 8 of the monitoring report for the prior monitoring period /8/ is of high quality	
Extreme Weather			
L	Audit team agrees that “Less than every 10 years” remains appropriate, especially as this is the most conservative assignment	N/A	Risk rating is appropriate
S	Audit team agrees that “Insignificant” remains appropriate in the absence of notable blowdown events during the monitoring period (as attested to by project personnel and as independently confirmed by audit team during on-site inspections)	N/A	

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
M	- As justification that “Prevention measures applicable to the risk factor are implemented” and that “Project proponent has proven history of effectively containing natural risk”, audit team was told that cut-block boundaries are carefully controlled to account for blowdown risk, and was told of a particular area where logging was originally planned but not undertaken, as a site assessment found that soils were too thin - Since this is an area where “the proof is in the pudding”, audit team was able to independently assess implementation of prevention measures and containment measures through aerial overflight (see Section 2.5 above), in which absence of significant spreading blowdown edges was confirmed	N/A	
Geological Risk			
L	N/A	N/A	Risk rating is appropriate
S	N/A	N/A	
M	N/A	N/A	
Other natural risk			
L	N/A	N/A	Risk rating is appropriate
S	N/A	N/A	
M	N/A	N/A	

4.4.4 Dissemination of Climate Monitoring Plan and Results (CL3.2)

The CCBS PDD /2/ states on page 67 that “Monitoring plan updates and results are described in detail in the project’s VCS Monitoring Reports. The results of monitoring are publicly available via the project Monitoring Reports and Verification Reports posted on the VCS Project Database Website.” While this statement applies specifically to the dissemination of results of climate monitoring, the audit team understands that it actually constitutes a description of the plan for disseminated monitoring results for climate, community and biodiversity monitoring.

Section 2.3.3 of the validation report under the CCB Standards /3/ states the following under indicator CL3.2: “The full climate monitoring plan is described in the PDD and will be disseminated along with the VCS monitoring report. The audit team confirmed that the VCS monitoring report, including the monitoring plan are posted on the VCS website as described in the PDD.” Thus, the actions taken to verify the actions taken to disseminate the climate monitoring plan occurred at validation.

In addition, the audit team was able to confirm that a link to the page containing the MR (which contains the results of monitoring) was added to the Darkwoods website at <http://www.natureconservancy.ca/en/where-we-work/british-columbia/featured-projects/darkwoods/> (see the audit team's internal working papers for evidence of confirmation).

Therefore, because a link to the results of monitoring were made available through an internet link as described in the CCBS PDD /2/, the results of climate monitoring were disseminated in accordance with the validated project design.

4.4.5 Optional Gold Level: Climate Change Adaptation Benefits (GL1.4)

This section is not applicable.

4.5 Community

4.5.1 Community Impacts (CM1.1)

From review of Section G1b of the CCBS PDD /2/, the audit team has inferred that the “communities” for the project, as described under “Project Zone Communities” within that section, are those communities (in the typical sense of the word) located within the project zone, which is defined as the Kootenay Lake Timber Supply Area as shown in Figure 6 of the CCBS PDD.

Based on on-site inspections, the audit team agrees that the project activities have not resulted in overall negative impacts to any of the communities within the project zone. While one could speculate that the project activities have theoretically resulted in negative impacts to forestry workers (relative to the baseline scenario), the audit team agrees that these impacts are likely to be indirect. Given that the project zone has a diversified economic base, and that environmental amenities and jobs related to tourism that would theoretically benefit (albeit indirectly) from conservation of the project area, the audit team agrees that the overall impact of the project activities on the communities within the project zone has been positive.

The above assessment is made on the basis of review of the MR as well as observations during the site visit. In conclusion, the assessment of impacts is accurate.

4.5.2 Net Positive Community Well-being (CM1.1)

As described in Section 4.5.1 above, the audit team can verify, on the basis of observations as part of on-site inspections, that the net impacts on each community within the project zone is likely to be positive.

4.5.3 Protection of High Conservation Values (CM1.2)

This section is not applicable, as none of the high conservation values identified in pages 27-29 of the CCBS PDD /2/ pertain specifically to community well-being.

4.5.4 Other Stakeholder Impacts (CM2.2-CM2.3)

The audit team agrees that, as stated in Section 4.2.2 of the MR, the impacts on communities within the project zone serve as effective proxies to other/offsite stakeholders, as on-site observations did not reveal any manner in which impacts on communities within the project zone could be expected to be different from impacts on stakeholders outside the project zone. Because the net impacts of project activities on the well-being of communities within the project zone has been shown to be positive (see Sections 4.5.1 and 4.5.2 above), the audit team concludes that the net impacts of project activities on the well-being of other stakeholders is not negative.

4.5.5 Community Monitoring Plan (CM3.1, CM3.2, GL2.5)

The audit team interviewed Mike Vitt regarding the community monitoring processes during an office meeting held 30 August 2017. The audit team was provided with a step-by-step overview of how each of the community monitoring tasks described in Section CM3 of the CCBS PDD /2/ were implemented. The audit team verified that the community monitoring plan has been carried out in accordance to the validated project design through the following steps:

Steps taken to verify...	
Communities, community groups, other stakeholders, and HCVs related to community well-being identified in the monitoring plan.	Not applicable (specific communities, community groups, other stakeholders, and HCVs related to community well-being are not identified in the monitoring plan)
Community variables monitored.	Comparison between monitoring results in Section 4.3.2 of MR and monitoring plan in Section CM3 to confirm that the communities values monitored are identical to those identified in the monitoring plan
The dates, frequency and sampling methods used are in accordance with the validated project design.	Detailed overview of monitoring process and compilation of results during interview with Mr. Vitt (noting that many of the monitoring results have not changed from those reviewed at validation as part of review of the project community impacts, as described in Section CM1 of CCBS PDD)
The results of monitoring.	Risk-based review of monitoring results to confirm their reasonableness and that the conclusion of monitoring is as expected

In conclusion, since the monitoring has been carried out in accordance with Section CM3 of the CCBS PDD, the community monitoring plan was carried out in accordance to the validated project design.

4.5.6 Community Monitoring Plan Dissemination (CM3.3)

The CCBS PDD /2/ states on page 67 that “Monitoring plan updates and results are described in detail in the project’s VCS Monitoring Reports. The results of monitoring are publicly available via the project Monitoring Reports and Verification Reports posted on the VCS Project Database Website.” While this statement applies specifically to the dissemination of results of climate monitoring, the audit team understands that it actually constitutes a description of the plan for disseminated monitoring results for climate, community and biodiversity monitoring.

Section 2.3.3 of the validation report under the CCB Standards /3/ states the following under indicator CM3.3: “The PDD contains a full monitoring plan for the community component of the Project. The audit team confirmed that the monitoring plan, as part of the PDD was made public on the CCB website and publicized as described on the NCC website.” Thus, the actions taken to verify the actions taken to disseminate the biodiversity monitoring plan occurred at validation.

In addition, the audit team was able to confirm that a link to the page containing the MR (which contains the results of monitoring) was added to the Darkwoods website at <http://www.natureconservancy.ca/en/where-we-work/british-columbia/featured-projects/darkwoods/> (see the audit team’s internal working papers for evidence of confirmation).

Therefore, because a link to the results of monitoring were made available through an internet link as described in the CCBS PDD /2/, the results of community monitoring were disseminated in accordance with the validated project design.

4.5.7 Optional Gold Level: Barriers to Benefits (GL2.3)

This section is not applicable.

4.5.8 Optional Gold Level: Protections for Poorer and the more Vulnerable (GL2.4)

This section is not applicable.

4.6 Biodiversity

4.6.1 Biodiversity Changes (B1.1)

The audit team verified the reported changes in biodiversity in the project zone due to project activities through the following steps:

Steps taken to verify...	
The accuracy and appropriateness of monitored data.	The audit team confirmed that all monitoring was duly carried out in accordance with the project's validated design (see Section 4.6.8 below)
The justification used to attribute biodiversity changes to the project's activities.	- All indicators outlined in Table 25 of the MR fall into one of two categories: - For indicators pertaining to the percentage of area in certain categories, biodiversity changes are certainly attributable to project activities, because forest management as part of project activities has guided the condition of the project area (e.g., the proportion of old forest in ICHdw has increased because stands of ICHdw forest >140 years old have not been scheduled for harvest during the monitoring period) - For indicators pertaining to infrastructure improvements (e.g., deactivating roads at risk of failure), biodiversity changes are certainly attributable to project activities, because such changes have been the result of active efforts on the part of project personnel

In conclusion, because the monitoring indicators in the validated monitoring plan have been carefully selected to adequately characterize progress toward a desired future condition (as confirmed at validation), and because the reported results have been monitored in accordance with the validated plan (as discussed in Section 4.6.8 below), and because changes in the monitored indicators may be reasonably attributed to project activities, the project's assessment of changes in biodiversity resulting from project activities in the project zone during the monitoring period are accurate.

4.6.2 High Conservation Values Protected (B1.2)

As described in detail in Section 3.6 above, the only project activity that could potentially negatively affect the identified high conservation values is timber harvesting, and the audit team performed a detailed review of the timber harvest that occurred during the monitoring period in order to verify that no high conservation values were negatively affected by the project.

4.6.3 Invasive Species (B1.3)

The audit team reviewed the information in Section 5.1.3 of the MR and this information appears to appropriately substantiate claims regarding the impacts of project activities on spread of invasive species. Through application of professional judgment, the audit team can confirm that the only circumstances under which the project activities could result in the spread of invasive species are those by which seeds are carried to new areas on boots or vehicle tires. The audit team agrees that maintaining an active control program (particularly along forest roads, where the risk of spread is highest) is the best means to ensure that the population of invasive species is not increasing as a result of project activities. In addition, as noted in Section 4.6.4 below, the audit team confirmed, through on-site inspections, that only native tree species are planted as part of project activities (and, as there are no native tree species that are also invasive, this also means that the project has not introduced invasive species into any area affected by the project. Further, the audit team did not observe any notable population of invasive species during the site visit.

4.6.4 Impacts of Non-native Species (B1.4)

Based on site inspections (see Section 2.5 above), the audit team can confirm that non-native species are not being used by the project. During an observation of a recent cut-block (harvested during the monitoring period), the audit team noted that it was replanted with a mix of lodgepole pine, Douglas-fir and ponderosa pine, all of which are native to the project area. During the site inspection the audit team identified no evidence of non-native species. The audit team is unaware of any other context in which non-native species could be “used” by the project.

4.6.5 GMO Exclusion (B1.5)

The audit team reviewed the information in Section 5.1.5 of the MR and confirmed that the actions described were adequate to ensure that no GMOs were used to generate GHG emission reductions or removals.

4.6.6 Negative Offsite Biodiversity Impacts and Mitigation (B2.2)

Based on application of professional judgment and site inspections, the audit team agrees that, as stated in Section 5.1.5 of the MR, it is extremely unlikely that implementation of project activities would result in negative impacts on biodiversity outside the project zone, given the size of the project zone (as shown in Figure 6 of the CCBS PDD /2/). Therefore, as there are no negative offsite biodiversity impacts, the audit team concludes that the project has adequately identified all negative offset impacts.

4.6.7 Net Biodiversity Benefits (B2.3)

Given the absence of negative impacts on biodiversity outside the project zone (see Section 4.6.6 above) and that the net impact on biodiversity within the project zone has been overwhelmingly positive (see Section 4.6.1 above), the audit team exercised logic to determine that the project’s net biodiversity impacts are positive.

4.6.8 Biodiversity Monitoring Results (B3.1, B3.2)

The validated biodiversity monitoring plan is provided in Table 23 of the CCBS PDD /2/ and the audit team understands, from discussion with project personnel, that this monitoring plan is equivalent to the monitoring plan included in a prior version of the property management plan. While this table is illegible, the audit team was provided with a more legible version of the same table /66/ and, through careful comparison with Table 23 of the CCBS PDD, the audit team was able to confirm that this is, in fact, the same table.

The audit team interviewed Nancy Newhouse regarding the biodiversity monitoring processes during an office meeting held 29 August 2017. Most of the required validated monitoring plan involves spatial analysis NCC’s in-house data, and implementation of monitoring is unlikely to fail in a material manner, so

long as the underlying data are of high quantity and are maintained and updated periodically. In some cases monitored results are based on field observations (e.g., observations of the number of high-risk bridges, and interviews with field staff (e.g., Adrian Leslie) provided the audit team with reasonable assurance that there is a high level of diligence involved in making such observations and reporting monitored data. Supporting evidence of monitoring was provided in the forms of NCC's internal monitoring results /67/-/69/, which are compiled on a yearly basis.

The audit team verified that the biodiversity monitoring plan has been carried out in accordance to the validated project design through the following steps:

Steps taken to verify...	
That the dates, frequency, biodiversity variables and sampling methods used are in accordance with the validated project design.	Confirmation that the biodiversity variables reported in Section 5.3.2 of MR are equivalent, in all material respects, with corresponding variables in Table 23 of CCBS PDD
The results of monitoring.	Interviews with project personnel to have a reasonable level of assurance regarding accuracy of monitoring results
The effectiveness of measures taken to maintain or enhance all identified high conservation values.	See above, noting that the monitored variables relate directly to the identified high conservation values old growth forests, ICH forests, hydro-riparian areas and caribou habitat

In conclusion, since the monitoring has been carried out in accordance with Table 23 of the CCBS PDD, the biodiversity monitoring plan was carried out in accordance to the validated project design.

4.6.9 Biodiversity Monitoring Plan Dissemination (B3.3)

The CCBS PDD /2/ states on page 67 that "Monitoring plan updates and results are described in detail in the project's VCS Monitoring Reports. The results of monitoring are publicly available via the project Monitoring Reports and Verification Reports posted on the VCS Project Database Website." While this statement applies specifically to the dissemination of results of climate monitoring, the audit team understands that it actually constitutes a description of the plan for disseminated monitoring results for climate, community and biodiversity monitoring.

Section 2.3.3 of the validation report under the CCB Standards /3/ states the following under indicator B3.3: "The PDD states that the full monitoring plan for the biodiversity component of the Project is in place and will be updated through time. The audit team reviewed the plan, as well as the results during the site visit and throughout the validation process and confirmed that this plan is in accordance with the requirements of this indicator. In addition, the audit team interviewed community members who confirmed that the plan, as well as the results of monitoring is communicated during community consultation meetings. Moreover, the plan, as part of the PDD was made publicly available on the CCB website." Thus, the actions taken to verify the actions taken to disseminate the biodiversity monitoring plan occurred at validation.

In addition, the audit team was able to confirm that a link to the page containing the MR (which contains the results of monitoring) was added to the Darkwoods website at <http://www.natureconservancy.ca/en/where-we-work/british-columbia/featured-projects/darkwoods/> (see the audit team's internal working papers for evidence of confirmation).

Therefore, because a link to the results of monitoring were made available through an internet link as described in the CCBS PDD /2/, the results of biodiversity monitoring were disseminated in accordance with the validated project design.

4.7 Additional Project Implementation Information

This section is not applicable.

4.8 Additional Project Impact Information

This section is not applicable.

5 VERIFICATION CONCLUSION

The audit team asserts that:

- The project complies with the verification criteria for projects set out in CCB Version 2 and VCS Version 3.
- The project has been implemented in accordance with the validated project description and any subsequently validated changes.
- To the extent that the verification engagement described in this report has included validation activities, the project complies with the validation criteria for projects set out in CCB Version 2 and VCS Version 3

The first and second of the above bullet-pointed statements are made without qualification or limitation. The third of the above bullet-pointed statements is limited to those aspects of the project specifically assessed by the audit team as part of validation activities undertaken as a part of the verification engagement described in this report.

Verification/monitoring period: From 1 January 2013 to 31 December 2016

Verified GHG emission reductions and removals in the above verification period:

Year	Baseline emissions or removals (tCO ₂ e)	Project emissions or removals (tCO ₂ e)	Leakage emissions (tCO ₂ e)	Net GHG emission reductions or removals (tCO ₂ e)*
2013	(241,227)	130,376	(44,150)	327,452
2014	(285,826)	119,893	(44,099)	361,620
2015	(316,975)	50,274	(42,433)	324,816
2016	(257,335)	157,455	(44,240)	370,550
Total	(1,101,363)	457,997	(174,922)	1,384,438

*Note: These quantities have been calculated by following the explanatory text in Section 11.2 of the methodology indicating that “The annual net carbon emissions reductions is the actual net GHG removals by sinks from the project scenario minus the net GHG removals by sinks from the baseline scenario”. This is the correct method of calculation because the baseline emissions/removals are negative (indicating emissions) and the project emissions/removals are positive (indicating removals). While this is correct, it conflicts with Equation 54 of the methodology (which requires subtraction of project-scenario GHG removals from baseline-scenario GHG removals). This does not represent a methodology deviation because it is indicative of an internal inconsistency within the methodology (i.e., the methodology does not clearly indicate that either approach is preferred). These quantities are not directly reported in the MR, but can be recalculated (less rounding error) by summing the values under the “Ann. Gross Emissions Reductions” and “Uncertainty Risk Discount” columns in Table 15 of the MR.

In conclusion, the implementation of the project has followed the plan as set out under the CCBS PDD /2/ and, therefore, to the extent that the planned activities would result in the stated community and biodiversity objectives, those objectives have therefore been achieved during the monitoring period.

APPENDIX A: FINDINGS ISSUED UNDER THE VERIFIED CARBON STANDARD

Please see Section 2.6 above for a description of the findings issuance process and the categories of findings issued. It should be noted that all language under "Project Personnel Response" is a verbatim transcription of responses provided to the findings by project personnel.

NCR 1 Dated 19 Sep 2017

Standard Reference: Climate, Community & Biodiversity Standards, Second Edition, G3.9

Document Reference: N/A

Finding: The Climate, Community & Biodiversity Standards require that "[during the public comment period] Project proponents must play an active role in distributing key project documents to affected communities and stakeholders and hold widely publicized information meetings in relevant local or regional languages." As discussed with project personnel during the office meeting held 29 August 2017, it key project documents (such as the monitoring report) were not distributed to affected communities and stakeholders. In addition, widely publicized information meetings were not held. The audit team understands the perspective of project personnel that a posting on the NCC website pertaining to the public comment period is sufficient to satisfy the intent of this requirement, given that the project is located in a region in which internet access is widely available. However, the audit team remains concerned that the plain text of the requirement has not been adhered to.

Project Personnel Response: NCC has provided additional details and explanation of the activities undertaken by the project to meet the community communication requirements of the CCB Standards. In addition to the descriptions and details provided in the Monitoring Report document, NCC provided an additional submission document "Final Submission to VCS re CCB Requirement for Public Information Meetings - FINAL - 09-25-17". SCS has indicated these materials do not resolve this NCR. In subsequent discussions the VCS has indicated these materials should suffice to meet the intent and requirements of the CCB Standard. Therefore, the project team has created additional documentation of the issue and rationale in the file "Request for VCS Guidance on Unresolved VCS v2.pdf", which has been provided to SCS and then provided to the VCS for additional guidance for resolution of this NCR.

This NCR is awaiting further guidance from VCS.

Auditor Response: Subsequent to issuance of this finding, the audit team received the following communication from the VCSA in an email from Christopher Chapman dated 21 November 2017: "G3.9 of the second edition of the CCB Standards is written to ensure that the communities and other stakeholders are provided project documentation, information about the project and the audit process. The intent of this indicator is to ensure that communities or other stakeholders have the opportunity to understand how the project is designed and implemented and understand that they have the ability to raise any issues they have with the project.

The specific language of the CCB Standards are written in the context of projects being implemented in developing countries where active distribution of materials and public meetings are often necessary in order to inform interested communities and other stakeholders, or give them the opportunity to provide feedback. These actions may not be necessary in other places with developed communication channels, therefore, if a project can demonstrate that interested community members are informed about the project, where to find information about the project and about the audit process the intent of G3.9 is satisfied."

Through follow-up interviews, the audit team was able to confirm that interested community members are informed about the project, where to find information about the project and about the audit process. Therefore, the audit team agrees that the requirement of G3.9 has been complied with in the specific context of the project, and the finding may be withdrawn.

NCR 2 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 13.4

Document Reference: N/A

Finding: The methodology requires that "At a minimum, 10% of the measured field plots will be check-cruised using blind checks with 100% re-measurement of all variables". The audit team was informed by project personnel, during web-based meeting held 24 Aug 2017, that the required blind checks were not conducted with respect to the re-measurements that occurred in 2016.

Project Personnel Response: The QA/QC plots were missed in an oversight during the plot re-measurement program. This has been corrected and the required QA/QC plots installed and measured. A total of 7 QA/QC plots have been completed for this verification period and documented in a file entitled "QAQC 2017 Verification.xlsx". The plots were measured by a crew led by Adrian Leslie and scanned copies of the field sheets are available. The results of the assessment show that the accuracy of the field measurements were within the required limits.

Auditor Response: Through review of the workbook "QAQC 2017 Verification" and the supporting field sheets file "Darkwoods carbon QAQC2017 raw datasheets", the audit team can confirm, with reasonable assurance, that seven plots have been re-measured and found to meet the accuracy standards set out in Section 13.4 of the methodology. Therefore, the non-conformity has been resolved.

NCR 3 Dated 22 Sep 2017

Standard Reference: VCS Standard V3.7, Section 3.10.1

Document Reference: KML_607; Darkwoods_VRI_Resultant_Jul2017

Finding: The VCS Standard requires that "Project location shall be specified in the project description as follows... Project location for AFOLU projects shall be specified using geodetic polygons to delineate the geographic area of each AFOLU project activity and provided in a KML file." The KML file uploaded to the VCS project database (http://www.vcsprojectdatabase.org/#/project_details/607, accessed 28 July 2017), entitled "KML_607.kml", appeared to contain the required delineation of the geographic area of the project activity. However, as described in detail in an email sent by the audit team on 23 August 2017, there is a small discrepancy between the area in this KML file and the layer used for quantify project-scenario carbon stocks (the "DARKWOODS_VRI_Jul2017_DistUpdate" layer in the "Darkwoods_VRI_Resultant_Jul2017" database). Project personnel, in response, that the KML file uploaded to the VCS website "appears to be incorrect". If this is the case, it follows that the information uploaded to the VCS project database is not consistent with the specification of the project location as provided in the project description.

Project Personnel Response: Upon closer investigation the project team has determined that there was a small error in the original KML file submitted to VCS. The difference in area was ~ 1.21 ha out of 54,792 ha (< 0.01%) of the area, which is immaterial. However, upon advice from VCS, we will report this as a PD deviation in this Monitoring Report, and have an updated version of the boundary for use in future verifications. In addition, we will provide an updated file to VCS which they may use to update the VCS web materials as necessary. All of the modelling in this verification and the last was done with the correct version of the project area.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", it is clear that Section 2.2.4 of the revised monitoring report does identify this particular discrepancy as a project description deviation. Therefore, the non-conformity has been resolved.

NCR 4 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 12; VCS Standard V3.7, Section 3.6.1

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: During a web-based meeting held with project personnel on 16 August 2017, the audit team was informed that a completely new inventory was acquired in 2011, and the baseline was completely re-modeled using the new inventory data. This has had two impacts on information that was previously validated and presented in the VCS project description:

1. The selection of polygons for baseline harvesting (represented in the parameter $f(\text{BSL}, \text{HARVEST}, i, t)$ which, per the table in Section 12 of the methodology, is considered "available at validation" and not monitored over time) differs from what was validated in the VCS project description.
2. In addition, the calculation of baseline carbon stocks (calculated using the parameters $G(\text{BSL}, \text{AG}, i, t)$, $G(\text{BSL}, \text{BG}, i, t)$, $\text{SNAG}(\text{BSL})$ which, per the table in Section 12 of the methodology, are considered "available at validation" and not monitored over time) differs from what was validated in the VCS project description.

In the areas stated above, a deviation from the data and parameters that are available at validation, and reported in the VCS project description, has taken place. This constitutes a project description deviation and invokes the requirements of Section 3.6.1 of the VCS Standard. Section 3.6.1(2) of the VCS Standard requires that "Where the deviation does not impact the applicability of the methodology, additionality or the appropriateness of the baseline scenario, and the project remains in compliance with the applied methodology, the deviation shall be described and justified in the monitoring report. This shall include a description of when the changes occurred and the reasons for the changes. The deviation shall also be described in all subsequent monitoring reports." The deviation has not been described and justified in the monitoring report.

Project Personnel Response: As has been discussed extensively, the project team does not agree with this finding and submits that a PD Deviation is not warranted nor required. Various submissions and discussions via email have been undertaken between the auditor and the project team, without resolving the issue. Therefore, the project team has documented the issue and rationale in the file "Request for VCS Guidance on Unresolved VCS v2.pdf", which has been provided to SCS and then to the VCS for additional guidance towards resolving this NCR.

This NCR is awaiting further guidance from VCS.

Note that this finding is directly related to NIR 47 & NIR 48, which the project team expects to be resolved by VCS guidance on this NCR 4.

Auditor Response: On 1 December 2017, the audit team received guidance via email from Andrew Beauchamp, of the VCSA, in which the following was stated: "This inventory update and the subsequent update to parameters available at validation should have been included as a project description deviation per Section 3.6.1 of the VCS Standard. VCS therefore agrees with the NCR that these updates should be discussed as a PD deviation with the appropriate section of the monitoring report." Therefore, the finding remains open.

Project Personnel Response 2: A new project description deviation has been added to Section 2.2.4 describing the development of the updated forest inventory database in 2011. We have added detail with respect to the need for the project description deviation and its impact on the calculation of GHG emission reductions for the project.

This NCR is also still the subject of further VCS guidance, including the result of email exchanges between SCS and VCS up to Dec 11th, in which VCS has provided further clarification and guidance to SCS related to NCR 4 and NIR 47 & 48.

Auditor Response 2: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team can confirm that a description of the project description deviation in question has been added, and the specific non-conformity has been resolved. Further gaps in terms of compliance of this description with the audit criteria will be addressed as part of additional findings.

NCR 5 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 13.4; CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The methodology requires under Sec. 13.6 that "Permanent sample plots shall be re-measured at intervals of ≤ 5 years." During a web-based meeting with project personnel on 17 August 2017, it was reported that some of the original plots were installed in March 2011 and then remeasured in September or October of 2016. The definition of "year" in the English language, which must be referenced in the absence of a more specific definition in the methodology, refers to a period of 365 days, more or less. Therefore, the 5-year remeasurement window for the plots originally measured in March 2011 passed in March 2016, and it took more than 5 years to re-measure the plots. While the audit team understands the rationale for waiting to measure the plots until after March 2016, the divergence from the methodology must be considered a methodology deviation.

Section 2.2.2 of the CCB & VCS Monitoring Report Template requires the following:

"Describe and justify any methodology deviations applied during this monitoring period. Include evidence to demonstrate the following:

- The deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals.
- The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology."

The required information is not presented in the monitoring report.

Project Personnel Response: The plots were remeasured within the first available field season 5 years after installation, which has resulted in some of the plots being remeasured a few months after the 5 year period, which is standard and typical practice for the installation and re-measurement of Permanent Sample Plots, and does not result in any material change to carbon stocks or calculations. Although immaterial and de minimis, NCR 5 is technically correct per the exact language of VM0012, and hence a methodology deviation statement has been added to the Monitoring Report in Section 2.2.2.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", the audit team can concur that a description of the methodology deviation is now provided in Section 2.2.2. However, while the deviation is described in detail, a specific justification for the deviation has not been provided. In addition, a demonstration that "The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology" has not been provided. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: Additional detail has been added to Section 2.2.2 describing the reason for the deviation and a demonstration that the deviation relates only to the criteria and procedures for monitoring or measurement, and does not relate to any other part of the methodology.

Auditor Response 2: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team has been able to confirm that an appropriate demonstration that the deviation relates only to the criteria and procedures for monitoring or measurement, and does not relate to any other part of the methodology, as well as a justification for the deviation, has been added in respect of the methodology deviation in question. Therefore, the non-conformity has been resolved.

NCR 6 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 11.4; CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.2

Document Reference: Darkwoods plot data Jun 2017 v1.3;
CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The methodology defines parameter $y(d,h,i)$ as "area-weighted difference between measured and predicted carbon storage in analysis unit, h, plot observation i". This definition appears below Equation 60b and also appears in the text of Step 1 of Section 11.4. The definition of "difference", in mathematical terms, requires that the value of the parameter be calculated, for each analysis unit, by taking the measured carbon storage and subtracting (from that) the predicted carbon storage. This operation has been carried out in reverse (i.e., by taking the predicted, or "modeled", storage and subtracting the measured carbon storage) in column J of worksheet "Uncertainty Factor" of workbook "Darkwoods plot data Jun 2017 v1.3".

While the audit team agrees that subtraction order indicated in Section 11.4 is incorrect, the divergence from the methodology must be considered a methodology deviation.

Section 2.2.2 of the CCB & VCS Monitoring Report Template requires the following:

"Describe and justify any methodology deviations applied during this monitoring period. Include evidence to demonstrate the following:

- The deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals.
- The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology."

The required information is not presented in the monitoring report.

Project Personnel Response: This NCR 6 relates to a known error in the Methodology VM0012 equation, where terms are reversed in error. The calculation has been undertaken correctly in the Monitoring Report. A methodology deviation statement with respect to NCR 6 has been added to the verification report in Section 2.2.2.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", the audit team can concur that a description of the methodology deviation is now provided in Section 2.2.2. However, while the description identifies the error within Equation 60b of the methodology, it does not describe how the quantification of GHG removals has occurred in a manner different from that required under Equation 60b. In addition, while it is stated that "there is a known error", a demonstration of this (or, otherwise, another demonstration that "the deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals") has not been provided. In addition, a demonstration that "The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology" has not been provided. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: Additional detail has been added to Section 2.2.2 describing the change in the manner in which GHG removals are calculated using the corrected version of the equation relative to the incorrect version of the equation. Further, we provided a demonstration that the deviation relates only to the criteria and procedures for monitoring or measurement, and does not relate to any other part of the methodology.

Auditor Response 2: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team has been able to confirm that an appropriate demonstration that "the deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals" has been provided, in that a justification the methodology deviation results in a correct quantification of model error has been provided. The audit team agrees that, given that the predicted values are, on the whole, lower than the measured values, one would logically expect the model error to be quantified as being negative rather than positive (as calculated by Equation 60b as written). Therefore, the audit team agrees that the accuracy of quantification of GHG removals has been increased through the deviation, and that this is appropriately demonstrated in the monitoring report. Therefore, the non-conformity has been resolved.

NCR 7 Dated 22 Sep 2017

Standard Reference: VCS Validation & Verification Manual, Section 2.3; VM0012 V1.0, Section 11.4

Document Reference: Darkwoods plot data Jun 2017 v1.3

Finding: The Validation & Verification Manual states that "While all material errors, omissions and misrepresentations must be addressed for a project to receive a positive validation or verification opinion, if non-material errors are found in the project documents, VVBs should ensure that such errors are addressed by the project proponent where practicable."

During review of the calculations presented in the workbook "Darkwoods plot data Jun 2017 v1.3", which are used to calculate the total project error (as calculated in Equation 60f of the methodology and all upstream calculations), the audit team has identified the following non-material errors:

1. The calculations in column J of the worksheet "CWD Data" are only correct if the total transect length per inventory plot was 200 m. Project personnel indicated, in an email dated 19 August 2017, that "I have confirmed that the 4 transects are (25m each) totalling 100m".
2. The "New C_AU" assignment in column E of the "Plot Description" worksheet contains erroneous data for some inventory plots (seven plots, by the count of the audit team), in that it contradicts the assignment in the "C_AU_post2011_Log" field in the "Plot_Intersect_2017" layer. One of these plots, 103-18, has been erroneously assigned to an analysis unit of 111 (which has been classed as non-productive forest) and, thus, erroneously removed from the project inventory (see NCR 8 for more on this).

Project Personnel Response: 1. The equations used in the spreadsheet to calculate CWD content for each transect have been fixed such that they now reflect 4 - 25m length segments or a total of 100m. Further, all dependent equations have been updated with respect to the calculation of the uncertainty factor. These changes are represented in an updated version of the plot data spreadsheet 'Darkwoods plot data Jun 2017 v1.4'.

2. The 'New C_AU' assignments in column E of the 'Plot Description' worksheet have been corrected to the proper values and are now consistent with the spatial data. These changes have been reflected in the updated calculation of the uncertainty factor in the revised plot data spreadsheet 'Darkwoods plot data Jun 2017 v1.4'.

Auditor Response: Through review of the updated workbook, entitled "Darkwoods plot data Jun 2017 v1.4", the audit team can confirm that all discrepancies identified in the text of this finding have been resolved, as follows:

1. The audit team can confirm (through spot checks) that all calculations in column J of the "CWD Data" worksheet now assume 100m of total line length.
2. Through review of column D of the "Uncertainty Factor" worksheet, the audit team can confirm that the analysis unit assignments for the seven plots in question are now consistent with the respective assignments in the "C_AU_post2011_Log" field in the "Plot_Intersect_2017" layer. For purposes of completeness of documentation, the seven plots in question are, as indicated to Brad Seely in an email dated 18 August 2017:

103-18
102-3
103-15
406b-1
105-2
103-3
101-1

NCR 8 Dated 22 Sep 2017**Standard Reference:** VM0012 V1.0, Section 13.3.2**Document Reference:** CCB_MON_REP_ENG_607_01JAN2013_31DEC2016**Finding:** Section 13.3.2 of the methodology states that "The proponent will develop a plot network with representation in every polygon or analysis unit..."

Page 41 of the monitoring report states that "While a total of 79 plots have been installed since the project start, 8 plots that were determined to be in the non-productive landbase, have been discontinued." However, one of the 8 plots mentioned in the monitoring report, plot 103-18, has been erroneously classed as being located in the "non-productive landbase" and, thus, erroneously discontinued.

Project Personnel Response: Plot 103-18 was erroneously removed from the active plot network and thus not remeasured. This has been corrected, and Plot 103-18 has now been included back into the active plot network, and the plot was re-measured by a field team led by Adrian Leslie in Sep 2017. The data have been incorporated in the most recent version of the plot data file 'Darkwoods plot data Jun 2017 v1.4' and incorporated into the updated calculation of the uncertainty factor.

Auditor Response: Through review of the updated workbook, entitled "Darkwoods plot data Jun 2017 v1.4", the audit team can confirm that information for plot 103-18 has been added to the "Tree Data" and "CWD Data" worksheets within this workbook. Furthermore, the audit team can confirm that field data sheets have been provided, as pages 12-13 (in the PDF) of "Darkwoods carbon plot 103-18 raw datasheets (see pp 12-13)". The audit team was able to spot-check a sample of data on these field data sheets and confirm that it was appropriately transcribed to the updated workbook and included in downstream calculations. Therefore, the non-conformity has been resolved.

NCR 9 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 13.3.2; CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: Section 13.3.2 of the methodology states that "The proponent will develop a plot network with representation in every polygon or analysis unit..."

Page 41 of the methodology states that "While a total of 79 plots have been installed since the project start, 8 plots that were determined to be in the non-productive landbase, have been discontinued."

Thus, it appears that project personnel are interpreting the methodology as merely requiring representation in every analysis unit that is considered to be in the "productive landbase". While this is a sensible approach, it is not actually consistent with the requirement of the methodology, which is to have representation in every analysis unit (whether in the productive landbase or not). Unless a decision is to be made to fully adhere to the methodology, the divergence from the methodology must be considered a methodology deviation.

Section 2.2.2 of the CCB & VCS Monitoring Report Template requires the following:

"Describe and justify any methodology deviations applied during this monitoring period. Include evidence to demonstrate the following:

- The deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals.
- The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology."

The required information is not presented in the monitoring report.

Project Personnel Response: A methodology deviation statement with respect to NCR 9 has been added to the verification report in Section 2.2.2.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", the audit team can concur that a description of the methodology deviation is now provided in Section 2.2.2. However, a demonstration that "The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology" has not been provided. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: Additional detail has been added to Section 2.2.2 describing the reason for the deviation and a demonstration that the deviation relates only to the criteria and procedures for monitoring or measurement, and does not relate to any other part of the methodology.

Auditor Response 2: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team has been able to confirm that an appropriate demonstration that the deviation relates only to the criteria and procedures for monitoring or measurement, and does not relate to any other part of the methodology, has been added in respect of the methodology deviation in question. Therefore, the non-conformity has been resolved.

NCR 10 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0; CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The methodology has a large number of equations pertaining to the quantification of GHG removals. In some cases, such as parameters $G(BSL,i,t)$ and $G(PRJ,i,t)$, the methodology permits quantification (in Sections 8.2.1 and 9.3.1, respectively) "either directly, or from its component parts" from models, which effectively allows the user of the methodology to "bypass" the use of the equations if certain modeling requirements, as set out in Section 8.1, are adhered to. However, the methodology does not allow for such "bypassing" when carrying out the quantification of live biomass loss (as calculated in Sections 8.2.2 and 9.3.2 for the baseline and project scenario, respectively) and dead organic matter dynamics (as calculated in Sections 8.2.3 and 9.3.3 for the baseline and project scenario, respectively). The audit team is unaware of the guidance provided by the methodology indicating that "It will be necessary to employ mathematical models to project annual carbon stock changes over time in the various carbon pools" and that "Although it may be possible to utilize a series of spreadsheet calculations for simple forest situations, in most cases complex forest management models (both at the stand and landscape-level) will need to be employed". However, this language does not provide explicit permission for the user to deviate from the equation structure in the above-named sections, as it could just as easily be read as allowing the user to directly quantify the live biomass gain using models, as described above, but not allowing direct quantification of live biomass loss or dead organic matter dynamics using models.

During the web-based meeting held 16 August 2017, the audit team was told that many of the equations provided in the methodology (including those equations in the sections referenced above) were not directly used but, rather, that the FORECAST model was used to carry out the same "work" for which the equations were intended (i.e., that the FORECAST model was used to achieve the same result as could be achieved using the equations). While the audit team does not take issue with the appropriateness of the use of FORECAST in this context (when considered apart from the methodology requirements), this divergence from the methodology must be considered a methodology deviation.

Section 2.2.2 of the CCB & VCS Monitoring Report Template requires the following:

"Describe and justify any methodology deviations applied during this monitoring period. Include evidence to demonstrate the following:

- The deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals.
- The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology."

The required information is not presented in the monitoring report.

Project Personnel Response: The project team disagrees with this finding, and despite extensive email exchanges and discussion, the auditors and the project team have been unable to reach agreement on interpretation of the methodology language, requirements, and intent. This issue and related justification has been documented in the file "Request for VCS Guidance on Unresolved VCS v2.pdf", which has been provided to the VCS for additional guidance towards resolution of this NCR.

This NCR is awaiting guidance from the VCS.

Auditor Response: On 1 December 2017, the audit team received guidance via email from Andrew Beauchamp, of the VCSA, in which it was stated that "Equations and calculations included within the methodology that are not explicitly included as part of modelling, but for which can be integrated in modelling, are allowed and are not required to be listed as methodology deviations. Therefore, where justification can be provided that these calculations are included in modeling, these findings can be closed." This guidance was issued in response to a request for guidance provided by Mike Vitt, in an email dated 2 November 2017, which specifically addressed this NCR 10 in "Issue 3". Therefore, the audit team understands that the guidance provided by the VCSA is intended to apply specifically to this NCR 10. The audit team agrees, at a high level, that it can be said that the equations in question are "included" in the modeling undertaken by FORECAST. Therefore, the audit team takes the guidance provided by the VCSA as a direct request to close this NCR 10. Therefore, this finding will be formally considered withdrawn.

NIR 11 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 13.3.2

Document Reference: N/A

Finding: Section 13.3.2 of the methodology states that "Permanent sample plots can be located at random or systematically using a plot grid."

During a web-based meeting held 17 August 2017, it was indicated to the audit team that, when the plots were initially installed, the contractor was provided with an ordered list of three potential plot locations per plot. However, it was not clear how the actual plot location was selected from this list was selected and/or what the criteria were for tossing out or skipping plots. It was also not clear how statistical validity was maintained in the selection process (i.e., how it was ensured that the first randomly-selected plot location had to be utilized unless there was a defensible reason to do otherwise.) Please provide this information.

Project Personnel Response: A total of 12 new plots were established in 2014. The contractor was provided the list of randomly selected plots (3 for each AU). They were clearly instructed (as shown in the plot installation SOP, provided) that the 1st plot in the list must be selected unless there was a safety concern with respect to accessing the plot at which point the contractor would either attempt to shift the plot center as per the SOP or move onto the next plot in the list if the issue could not be addressed by shifting the plot center. The first plot in the list was selected in all 12 cases for the 2014 plots.

Auditor Response: As the requested information has been provided, the information request may be closed. The audit team agrees that instructing the contractor to first seek to measure the first plot in the ordered list is a statistically sound approach.

NIR 12 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 13.3.2; VCS Standard V3.7, Section 3.5.1

Document Reference: Darkwoods plot data Jun 2017 v1.3

Finding: The methodology requires, regarding quantification of parameter D(LDW,c), that “Samples of dead wood in each class will... be collected to determine their density in the laboratory”. As described to the audit team during a discussion with project personnel held 16 August 2017, field sampling and laboratory analysis were not carried out in order to quantify density of lying dead wood. Rather, default values from the literature, as shown in worksheet “Decay classes” of workbook “Darkwoods plot data Jun 2017 v1.3”, were used. (The audit team understands that footnote 40 states “Alternatively, projects may use other published decay sampling classifications and methods”, but this appears to refer strictly to other decay classifications rather than allowing decay factors themselves to be sourced from literature.) Given that the prescriptive requirements of the methodology were not followed, it is incumbent upon the audit team to determine whether a methodology deviation is permissible or not. As criteria for determination of whether methodology deviations may be allowed, Section 3.5.1 of the VCS Standard states the following: “Methodology deviations shall not negatively impact the conservativeness of the quantification of GHG emission reductions or removals, except where they result in increased accuracy of such quantification”.

In an email from project personnel dated 17 August 2017, the audit team was informed, that the default factors were derived from the publication “Down Dead Wood Statistics for Maine Timberlands, 1995” (Heath and Chojnacky, 2000), by taking values in Table 20 (which indicates total dry-weight biomass of down wood by decay class), dividing by the respective values in Table 16 (which indicates total volume of down wood pieces by decay class) and converting the result to units of metric tons per cubic meter. The audit team was also informed that the values for “hardwoods” were erroneously sourced from the above tables. In any case, however, it appears highly implausible that the use of data from Maine forestlands results in increased accuracy of the quantification of GHG emission reductions and/or removals (relative to the use of density factors resulting from field measurements carried out within the project area, as required by the methodology). Therefore, please provide evidence that the use of these default factors does not negatively affect the conservativeness of the quantification of GHG emission reductions or removals.

Project Personnel Response: We refer the auditors to a recent research paper by Harmon et al. (2011) that contained a review of regional hardwood and softwood species wood densities for a range of species and decay classes. The species and regions included in the paper include many similar to the species and ecosystems found in the Darkwoods project area. When we summarized the relevant species and controlled for decay classes the mean density values were very close to those used for Darkwoods (see included excel file entitled 'Wood density values from Harmon et al. 2011.xlsx'). Further, we conducted a sensitivity to examine impact of raising and lowering the current density values used for the 3 decay classes used in the calculation of the uncertainty factor by 50% (an extreme sensitivity). In either case the changed wood density values had no impact on the resulting uncertainty factor because the model error term (Em) never exceeded the 10% threshold required to increase the uncertainty factor. This is primarily related to the fact that the CWD pools represent a relatively small portion of the net ecosystem C pool (biomass is the largest and dominant component). Thus, the values used in the current version of Darkwoods Plot Data Jun 2017 v1.4.xlsx file are reasonably representative of the conditions on the project area, and therefore appropriate to continue using. Any change or update would not materially affect the project results, or improve, the project accuracy.

Further, this NCR has been included in a request for guidance to the VCS, as outlined in the document “Request for VCS Guidance on Unresolved VCS v2.pdf”.

This NIR 12 is resolved by this response, but also awaiting further guidance from the VCS.

Auditor Response: On 1 December 2017, the audit team received guidance via email from Andrew Beauchamp, of the VCSA, in which the following was stated: "Though not explicitly stated, where a methodology allows other methods from literature to be applied by a project to derive a given parameter value, values determined from literature may also be used where they can be justified as appropriate. Where justification can be provided that the values determined from literature are appropriate, no methodology deviation is required to be applied, and these findings can be closed." This guidance was issued in response to a request for guidance provided by Mike Vitt, in an email dated 2 November 2017, which specifically addressed this NCR 12 in "Issue 4". Therefore, the audit team understands that the guidance provided by the VCSA is intended to apply specifically to this NCR 12. Given that "Where justification can be provided that the values determined from literature are appropriate, no methodology deviation is required to be applied", the emphasis of this finding then shifts to a request for evidence that the values determined from literature are appropriate. From review of the finding response, it appears that the described sensitivity analysis is likely adequate to demonstrate the propriety of wood density values sourced from Maine timberlands. However, the audit team is unable to review the work undertaken in detail, as the audit team has not been provided with the workbook entitled "Wood density values from Harmon et al. 2011". Please provide the referenced workbook (and any accompanying source material) to the audit team.

Project Personnel Response 2: A copy of the requested document 'Wood density values from Harmon et al. 2011.xlsx' has been provided in the dropox folder for NCR 12.

Auditor Response 2: Through review of the workbook entitled "Wood density values from Harmon et al. 2011", the audit team can confirm that evidence has been provided of the appropriateness of the values determined from literature. The audit team concurs that the values used are "appropriate" in that they are similar to more accurate species-specific wood densities and that, even where more accurate values are substituted in the uncertainty calculations, no change to the calculated uncertainty results. Therefore, the information request has been satisfied.

NCR 13 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 13.3.2; CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: As described in NIR 12, the requirements of the methodology regarding the creation of project-specific decay factors have not been complied with. This divergence from the methodology must be considered a methodology deviation.

Section 2.2.2 of the CCB & VCS Monitoring Report Template requires the following:

"Describe and justify any methodology deviations applied during this monitoring period. Include evidence to demonstrate the following:

- The deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals.
- The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology."

The required information is not presented in the monitoring report.

Project Personnel Response: The project team disagrees with this finding and the need for a deviation, and despite extensive email exchanges and discussion, the auditors and the project team have been unable to reach agreement on interpretation of the methodology language, requirements, and intent. The project team believes the methodology language in Footnote 40 is clear enough and been followed correctly. This issue and related justification have been documented in the file "Request for VCS Guidance on Unresolved VCS v2.pdf", which has been provided to the VCS for further guidance towards resolving this NCR.

Note this relates directly to findings NCR 12, 30, 31 which have been included in the request for guidance from the VCS.

This NCR 13 is awaiting further guidance from the VCS.

Auditor Response: On 1 December 2017, the audit team received guidance via email from Andrew Beauchamp, of the VCSA, in which the following was stated: "Though not explicitly stated, where a methodology allows other methods from literature to be applied by a project to derive a given parameter value, values determined from literature may also be used where they can be justified as appropriate. Where justification can be provided that the values determined from literature are appropriate, no methodology deviation is required to be applied, and these findings can be closed." In response to NIR 12, the audit team was provided with justification that "the values determined from literature are appropriate". Therefore, per guidance from the VCSA, "no methodology deviation is required to be applied". Therefore, the finding is withdrawn.

NCR 14 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 12; VCS Standard V3.7, Section 3.6.1

Document Reference: Darkwoods plot data Jun 2017 v1.3;

CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: Section 3.1 of the VCS project description provides the following description regarding the value applied for the parameter R(i): "Conifers range in value from 0.19 to 0.25 depending [sic] age. Hardwoods range in value for [sic] 0.18 to 0.24". However, in the worksheet "BG Conversion" in the workbook "Darkwoods plot data Jun 2017 v1.3", the ranges applied are 0.18-0.23 and 0.16 to 0.25 for conifers and hardwoods, respectively.

Therefore, a deviation from the data and parameters that are available at validation, and reported in the VCS project description, has taken place. This constitutes a project description deviation and invokes the requirements of Section 3.6.1 of the VCS Standard. Section 3.6.1(2) of the VCS Standard requires that "Where the deviation does not impact the applicability of the methodology, additionality or the appropriateness of the baseline scenario, and the project remains in compliance with the applied methodology, the deviation shall be described and justified in the monitoring report. This shall include a description of when the changes occurred and the reasons for the changes. The deviation shall also be described in all subsequent monitoring reports." The deviation has not been described and justified in the monitoring report.

Project Personnel Response: The values for the proportion of below ground biomass have been corrected to the original values used at validation. These changes have been used to update belowground biomass and the dependent uncertainty factor in the updated version of the plot data file 'Darkwoods Plot Data Jun 2017 v1.4.xlsx'.

Auditor Response: Through review of the updated workbook, entitled "Darkwoods plot data Jun 2017 v1.4", the audit team can confirm that the explanatory text in column H is consistent with the project description. However, while the values for hardwood species in cells C6 and D6 are now consistent with those specified in the project description, the values for softwood species in cells C7 and D7 (0.23 and 0.18, respectively) still differ from those set out in the project description. Therefore, the quantification methods utilized continue to diverge from the project description.

Project Personnel Response 2: The BG ratios for conifer species have been updated in the plot data spreadsheet. The model error term and inventory error terms have also been updated in the monitoring report. A new version of the file has been created 'Darkwoods plot data Jun v1.5.xlsx' and uploaded for review. All references to the old version number have been updated in the text.

Auditor Response 2: Through review of the updated workbook, entitled "Darkwoods plot data Jun 2017 v1.5", the audit team can confirm that the values in cells C6:D7 are now consistent with what is stated in the VCS project description. Therefore, there is no longer a variation from the project description in this respect, and a project description is not required. This finding is withdrawn.

NCR 15 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Sections 9.4 and 10.2.2; CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.2

Document Reference: Darkwoods Carbon Model 2013-16 v1.0;
CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: There has been a variation from Equation 47, Equation 50 and other equations in the methodology that pertain to the calculation of carbon stock in harvested wood products in the project scenario (in Section 9.4). These equations calculate carbon stock in harvested wood products using the pre-harvest live biomass in a given polygon and certain parameters that are available at validation. As described to the audit team during the web-based meeting held 16 August 2017, the calculation of carbon stock in harvested wood products in "Darkwoods Carbon Model 2013-16 v1.0" uses monitored (scaled) harvest volumes from the BC Ministry of Forestry instead of "back-calculating" from biomass values as required by the methodology. A similar variation has been noted regarding the calculation of Equation 56c.2 in Section 10.2.2. While the approach utilized may be more accurate than the approach set out in the methodology, it does diverge from the methodology and, therefore, the requirements for methodology deviations are invoked.

Section 2.2.2 of the CCB & VCS Monitoring Report Template requires the following:

"Describe and justify any methodology deviations applied during this monitoring period. Include evidence to demonstrate the following:

- The deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals.
- The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology."

The required information is not presented in the monitoring report.

Project Personnel Response: We have used harvest values from the delivered log scaling reports for each verification period and for the validation, as it represents the best and most accurate source of data for these calculations. No previous audit has raised the use of this data as an issue, and hence the validation and previous verifications have been concluded using this data. The methodology specifically allows for this as indicated in Section 8.2.10 Step 1: "Determine the carbon contained within harvested timber removed from the project landbase. This can be calculated from measures of total merchantable volume generated during the harvest period h using species-specific wood densities and standard carbon conversions or estimated from live biomass removals after accounting for removal of belowground components, branches, and bucking losses (equation 48)." The 'or' in this statement clearly indicates that either approach may be used, not just the back calculation method the finding suggests. And hence, the project has followed the methodology requirements and a deviation is not required.

Auditor Response: The audit team has been unable to locate the source of the quote, as provided in response to this finding, within Version 1.0 of the methodology (the version against which this assessment is being conducted). No such Section 8.2.10 exists within that version, and a search of that version for "Determine the carbon" yielded no results. Therefore, this finding must be left open.

Project Personnel Response 2: A new methodology deviation description has been added to Section 2.2.2 describing the fact that the method used to determine harvested wood biomass in the project scenario is different from the approach implied by version 1 of the VM0012 methodology. We explain that this has been clarified in v1.2 of the methodology. Further, we provided a demonstration that the deviation relates only to the criteria and procedures for monitoring or measurement, and does not relate to any other part of the methodology.

Auditor Response 2: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team has been able to confirm the methodology deviation has been described, following the requirements of Section 2.2.2 of the CCB & VCS Monitoring Report Template and referencing Section 8.2.10 of Version 1.2 of the VM0012 methodology. Therefore, the non-conformity has been resolved.

NIR 16 Dated 22 Sep 2017

Standard Reference: AFOLU Non-Permanence Risk Tool V3.3, Section 2.2.2(2)

Document Reference: VCS Risk Report Calculation Tool, v3.1-DW 2013-2016 v1

Finding: The AFOLU Non-Permanence Risk Tool requires the following:

"The cash flow breakeven point is the year in which the cumulative cash flow is positive (ie, cash flow in exceeds cash flow out) and stays positive. Breakeven should be calculated on a cash flow basis based on generally accepted accounting principles. Cash flow in may include commercial revenue streams associated with the project, secured revenue and conservatively projected revenues from the sale of GHG credits, other funding sources such as donor funds, upfront investments, or carbon prepayments, equity or loans. Cash flow out shall include, at a minimum, project implementation costs, costs associated with GHG credit generation (eg, validation, verification and registration), and, where applicable, interest expenses, repayment of loans or forward purchase agreements, and any required equity distributions."

The selection in the VCS Risk Report Calculation Tool suggests that the project cash flow breakeven point is 4 years or less from the current risk assessment. During the office meeting held 28 August 2017, it was indicated to the audit team that sufficient revenue had certainly been achieved for the project to reach breakeven, but an analysis evidencing such was not presented to the audit team. Please present such an analysis.

Project Personnel Response: The project team has provided an improved cash flow breakeven analysis in the file: "Item 4(a) re Break Even Analysis - Carbon Project Profitability - Final For SCS Audit - September 20, 2017.xls". The risk assessment document has been updated. There is no change to the risk rating.

Auditor Response: Through review of the workbook provided, the audit team can confirm that it provides evidence that the project has reached (and sustained) a breakeven status, in accordance with the AFOLU Non-Permanence Risk Tool. Therefore, the information request has been satisfied.

NCR 17 Dated 22 Sep 2017

Standard Reference: AFOLU Non-Permanence Risk Tool V3.3, Section 2.2.3(1)

Document Reference: "NCC Financial Model - Baseline Valuation 2017 Update"

Finding: The AFOLU Non-Permanence Risk Tool ("the Risk Tool") requires the following:

"The opportunity cost analysis shall include a net present value (NPV) analysis, covering the project crediting period, of [alternatives to the project activities] as compared to the project, taking into consideration a conservative estimate of revenue from GHG credit sales and other project revenue streams, and potential price fluctuations of commodities impacted by the project. The financial discount rates used shall be based on published sources and represent the appropriate risk for the relevant land use scenario. Estimates of prices for GHG credit sales shall be based on published sources such as market intelligence reports. The analysis shall be undertaken in a transparent manner and shall provide all relevant assumptions, parameters, and data sources such that a reader may reproduce the analysis and determine the same results."

The audit team reviewed the workbook "NCC Financial Model - Baseline Valuation 2017 Update", which sought to provide an opportunity cost analysis, during the office meeting held 28 August 2017. The audit team noted the following gaps relative to the requirements of the Risk Tool:

1. Net present value was not used as the metric of comparison.
2. The analysis presented did not uniformly cover the project crediting period.
3. Certain revenue assumptions could not reasonably be considered conservative (e.g., projected VCU pricing assumed participation in the ARB market participation).

Project Personnel Response: The project team has provided an improved NPV analysis in the file: NCC Financial Model - NPV Valuation 2017 update v2. The Non-Permanence Risk Report has been updated. There has been no change to the risk assessment rating or score.

Auditor Response: Through review of the revised analysis, provided in the workbook "NCC Financial Model - NPV Valuation 2017 update v2", the audit team can confirm that said analysis does address all of the discrepancies identified in the finding (net present value is now used as the metric of comparison, the analysis uniformly covers the 100-year crediting period and clearly non-conservative assumptions have been removed). Therefore, the non-conformity has been resolved, noting that NIR 50 has been issued regarding the pricing estimates.

NCR 18 Dated 22 Sep 2017

Standard Reference: AFOLU Non-Permanence Risk Tool V3.3, Section 2.3.2(1)

Document Reference: VCS Risk Report Calculation Tool, v3.1-DW 2013-2016 v1

Finding: The AFOLU Non-Permanence Risk Tool requires that "Where local populations are not reliant on the project area [such as for essential food, fuel, fodder, medicines or building materials], the risk is not relevant to the project and the risk rating for community engagement (CE) shall be zero." Local populations are not reliant on the project area in the sense in which the term "reliant" is used in the AFOLU Non-Permanence Risk Tool. However, the community engagement score in the VCS Risk Report Calculation Tool is not zero.

Project Personnel Response: The non-permanence risk assessment documentation has been updated to make CE c) = zero in the files: VCS Non-Permanence Risk Report (Short) - Darkwoods 2013-16 Verification v2 and VCS Risk Report Calculation Tool, v3.1-DW 2013-2016 v2. There has been no change to the risk rating/score.

Auditor Response: Through review of the workbook "VCS Risk Report Calculation Tool, v3.1-DW 2013-2016 v2" and accompanying risk report, entitled "VCS Non-Permanence Risk Report (Short) - Darkwoods 2013-16 Verification v2", the audit team can confirm that the mitigation score is no longer claimed, and the non-conformity has been resolved.

NCR 19 Dated 22 Sep 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 5.3.2

Document Reference: CCB_PROJ_DESC_ENG_607_06JUN2014, Table 23;
CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following:

"Present the results of the biodiversity impact monitoring which should include:

- All biodiversity variables identified in the monitoring plan, including HCVs.
- Dates, frequency, locations, sampling methods used and other information regarding the monitoring process.
- Results and evaluation of monitoring.
- Effectiveness of measures used to maintain or enhance HCVs."

As discussed during the office meeting held on 29 August 2017, the biodiversity monitoring data reported in the monitoring report used revised effectiveness monitoring indicators (from the 2016 property management plan) as opposed to using the indicators that were included in the validated monitoring plan as summarized in Table 23 of the CCBS PDD. In addition, it was reported to the audit team by project personnel that the correct monitored data have not been transcribed to the monitoring report.

Project Personnel Response: The Monitoring Report has been updated to reflect the correct effectiveness monitoring and monitoring results data, in the file: DW CCB_VCS_Monitoring_Report 2013-2016 v2.

Auditor Response: Through review of Table 25 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", the audit team can confirm that it has been significantly modified from its prior format. However, the formatting of the information in Table 25 does not follow the formatting of the validated monitoring plan in Table 23 of the CCBS PDD. For example, the first row of Table 23 of the CCBS PDD reads "Mountain Caribou; Intact suitable Mountain Caribou habitat". While this monitoring indicator is presented in Table 25, it is not presented as the first indicator. Given the difficulty in illegibility of the information in Table 23 of the CCBS PDD, the fact that the indicators in Table 25 of the monitoring report are not presented in the same order as those in Table 23 of the CCBS PDD makes it unreasonably difficult to confirm that the indicators being monitored are the same as those set out in the monitoring plan. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: The data has been presented in the order that it is collected, recorded, and reported by NCC staff annually and within NCC informational databases, and hence is consistent with the ongoing monitoring and tracking records. Despite the difficulty in reading the blurry Table 23 in the PDD (which we cannot change at this point), reference is provided to Table 23 in the Darkwoods Conservation Area Property Management Plan 2011-2016 document, where the biodiversity monitoring key indicators are clear. These tables refer to only six (6) indicators, which does not seem overly burdensome to cross reference for auditing purposes, despite the different ordering of information.

No changes have been made in order to keep the Monitoring Report data consistent with project data collection and reporting records. Given there are only 6 items on the list, the project team does not agree that it is "unreasonably difficult" to determine if the list of 6 items is the same in each Table, regardless of ordering.

Auditor Response 2: While the data presentation may be consistent with NCC's internal reporting, the main requirement in question is the requirement to report on the indicators contained within the monitoring plan that was assessed and confirmed at validation (unless a new monitoring plan is being submitted for the audit team's assessment). The audit team agrees that the information in Table 13 (not Table 23) of the 2011-2016 management plan is quite legible. However, the information presented in Table 13 of the 2011-2016 management plan does not seem to be entirely consistent with the information presented in Table 23 of the CCBS PDD. From what the audit team can readily decipher, the wording of the indicators is different (if only slightly). Furthermore, the number of indicators differs. The audit team has counted nine indicators in Table 13 of the 2011-2016 management plan, while there are only eight indicators in Table 23. (The following is stated in Section B3.2 of the CCBS PDD: "An Effectiveness Monitoring Plan for all priority questions was completed in 2011. A set of eight indicators have been monitored to date, as listed in Table 18." It is clear, from the context, that Table 23 is being referred to in this text.) Therefore, the legibility of Table 13 of the 2011-2016 management plan does not seem particularly relevant to the topic at hand.

Therefore, upon further review, it is clear that the indicators reported on in the monitoring report are, in fact, different from the indicators identified in Table 23 of the CCBS PDD, and that information has not been reported according to the validated monitoring plan. Accordingly, this finding must remain open.

Project Personnel Response 3: The project team has found the original, legible file for Table 23 in the CCB PDD (and provided it in the supplemental materials), and will retain this as the effectiveness monitoring plan for the project. The 2011 PMP is consistent, but slightly different, and therefore although this provides reference and overall biodiversity monitoring background, we retract it in relation to the biodiversity monitoring in this monitoring report.

The effectiveness monitoring reported in this MR is consistent with the CCB PDD Table 23, although reported in a slightly different sequence. Therefore, this finding should be resolved.

Auditor Response 3: The audit team reviewed the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.5", to see whether the finding could be closed. As some discrepancies in respect to the validated monitoring plan remain apparent, this finding will be closed for administrative reasons and a new finding (NCR 56) will be issued to address further issues.

NIR 20 Dated 22 Sep 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 5.3.2

Document Reference: CCB_PROJ_DESC_ENG_607_06JUN2014, Table 23;
CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following:

"Provide an assessment of substantial risks to worker safety that have arisen due to project implementation. Describe activities and/or processes implemented to inform workers of risks and how to minimize such risks. Show how risks were minimized."

Page 15 of the monitoring report states that "Employees and contractors maintain programs that meet or exceed the B.C. Forest Safety Council requirements and WorkSafe BC Regulations". During the office meeting held 29 August, it was unclear exactly how it is ensured that the requirements cited in the monitoring report have been met by contractors. Please provide this clarification.

Project Personnel Response: Additional details and description have been added to the Monitoring Report to expand the description in 2.4.5.

For further clarity, the WorkSafe BC regulations and BC Forest Safety Council SAFE Company programs are the primary methods in BC to assure worker safety, both include a significant amount of training and procedural materials used widely across the industry and various levels of performance are self-audited by these programs. These programs are extensive and beyond the scope of this audit to describe in further detail, and reference to them should be sufficient.

NCC sets the contractual requirements that all contractors are required to have a valid and active WorkSafe BC number before NCC can proceed with a contract, as shown in every contract provided to SCS. The contractor is then responsible to WorkSafe BC (<https://www.worksafebc.com/en/about-us/who-we-are/mission-vision-values>) to ensure that legal regulations are followed. The BC Forest Safety Council requirements apply to forestry operations (<https://www.bcforestsafecouncil.org/members.html>), which were contracted out to Wynndell Box and Lumber Company during this Monitoring Period. The two timber sale agreements during the monitoring period have, in section 5.00 of the provided agreements 'Viewpoint Saddle 2016 Timber Sale Licence' and 'Wynndell Box and Lumber Co Ltd – Viewpoint Saddle Timber Sale Licence' (from 2014), clauses that all operations must be carried out in strict accordance with WCB regulations and that they must be certified as a BC Forest Safety Council SAFE Company.

And, as discussed in depth with the audit team - it is important to note that in Canada contractors operate as 'independent contractors', a specific legal term that requires contractors to operate and direct their companies and employees independently. Therefore, operational safety procedures (i.e. the "how") are the purview of each contractor (not NCC), and would require auditing individual companies to ascertain. However, WorkSafe BC and the BC Forest Safety Council provide strong guidance and oversight on contractor procedures and worker safety, and these referenced programs are the best representation of all aspects of worker safety in BC.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", it is clear that substantial additional detail has been provided regarding the mechanisms by which compliance with the B.C. Forest Safety Council requirements and WorkSafe BC Regulations has been ensured. Therefore, the information request has been satisfied.

NCR 21 Dated 22 Sep 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.1.8

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following: "Provide the title, reference and version number of the methodology or methodologies applied to the project. Include also the title and version number of any tools applied by the project." Page 11 of the monitoring report indicates that the "VCS Non-Permanence Risk Assessment Tool v.3.1" has been applied by the project. However, the currently prevailing version of the AFOLU Non-Permanence Risk Tool is V3.3.

Project Personnel Response: The Monitoring Report has been corrected in the file: DW CCB_VCS_Monitoring_Report 2013-2016 v2.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", it is clear that the version number of the tool in question is correctly specified. However, the audit team has also noted that the title of the tool is incorrectly stated. The title of the tool is the "AFOLU Non-Permanence Risk Tool" and not, as indicated in the monitoring report, the "VCS Non-Permanence Risk Assessment Tool". Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: The title of the tool has been corrected.

Auditor Response 2: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team has been able to confirm that the name of the AFOLU Non-Permanence Risk Tool has been correctly specified. Therefore, the non-conformity has been resolved.

NCR 22 Dated 22 Sep 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following: "Where a section is not applicable, same must be stated under the section (the section must not be deleted from the final document unless instruction specifically state so)."

The following sections of the CCB & VCS Monitoring Report Template have been deleted from the monitoring report:

Section 2.1.10, Sustainable Development

Project Personnel Response: The Monitoring Report has been corrected in the file: DW CCB_VCS_Monitoring_Report 2013-2016 v2.

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. However, the audit team finds that Section 2.1.10, Sustainable Development, is still omitted from the monitoring report. Therefore, the non-conformity has not been resolved.

Project Personnel Response 2: Section 2.1.10 has been added to the monitoring report document.

Auditor Response 2: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team has been able to confirm that Section 2.1.10, Sustainable Development, is present within the monitoring report. Therefore, the non-conformity has been resolved.

NCR 23 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 13.3.2; CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: Section 13.3.2 of the methodology contains the following requirements:

"The proponent will develop a plot network with representation in every polygon or analysis unit... For practical purposes it is recognized that on large or complex project areas the plot network may need to be developed across several years (no longer than 5 years) to approach the target level of precision." Five years have elapsed since both the project start date and the date in which the first plots were measured. Therefore, the guidance quoted above is currently not being followed, and this must be identified as a methodology deviation.

Section 2.2.2 of the CCB & VCS Monitoring Report Template requires the following:

"Describe and justify any methodology deviations applied during this monitoring period. Include evidence to demonstrate the following:

- The deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals.
- The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology."

While the methodology deviation is described on page 12 of the monitoring report, the information provided does not specifically include a demonstration that the deviation does not negatively impact the conservativeness of the quantification of GHG emission reductions or removals (as it is possible for something to have an impact that is both de minimis and also non-conservative). The description also does not contain evidence to demonstrate that the deviation relates only to the criteria and procedures for monitoring or measurement, and does not relate to any other part of the methodology.

Project Personnel Response: The deviation description on Page 12 of the Monitoring Report has been expanded to discuss and justify the impact of the deviation, including a simple sensitivity analysis.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", the audit team can concur that a description of the methodology deviation is now provided in Section 2.2.2. However, a demonstration that "The deviations relates only to the criteria and procedures for monitoring or measurement, and do not relate to any other part of the methodology" has not been provided. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: Additional detail has been added to Section 2.2.2 describing to provide a demonstration that the deviation relates only to the criteria and procedures for monitoring or measurement, and does not relate to any other part of the methodology.

Auditor Response 2: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team has been able to confirm that an appropriate demonstration that the deviation relates only to the criteria and procedures for monitoring or measurement, and does not relate to any other part of the methodology, has been added in respect of the methodology deviation in question. Therefore, the non-conformity has been resolved.

NIR 24 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0, Section 13.1

Document Reference: N/A

Finding: The methodology requires that "The results of implementing the monitoring plan shall be produced in a project monitoring report for each monitoring period; prior to each verification." The VCS project description references "NCC standard procedures and ongoing QA/QC programs..." under the heading "QA/QC for Data Entry" in Section 3.3. However, during the web-based meeting held 24 August 2017 it was unclear to the audit team what "NCC standard procedures and ongoing QA/QC programs" were being referred to. Please provide the requested information.

Project Personnel Response: The current data entry QA/QC procedure for NCC was provided at the office meeting in the file: Darkwoods Data Standards_28Aug17.doc. It has been re-submitted.

Auditor Response: Through review of the document provided, it appears that it constitutes documentation of "NCC standard procedures and ongoing QA/QC programs" as referenced in the VCS project description. Therefore, the information request has been satisfied.

NCR 25 Dated 22 Sep 2017

Standard Reference: VM0012 V1.0

Document Reference: Darkwoods Carbon Model 2013-16 v1.0

Finding: Equations 56c.1, 56c.2 and 57 of the methodology require that the factor (44/12) be used to convert from tC to tCO₂e. The factor 3.67 is used for the same purpose in the calculations in "Darkwoods Carbon Model 2013-16 v1.0" (e.g., in the calculations in column AY in "Summary Tables & Figures"). While the factor 3.67 is similar to the factor (44/12), the two factors are not identical. Therefore, the factor required by the methodology is not used.

Project Personnel Response: All cases where 3.67 had been used were updated to (44/12) in both worksheets within the "Darkwoods Carbon Model 2013-2016 v1.0". Specifically this includes columns AY and BF in the 'Summary Tables & Figures' sheet and Rows 59, 105, and 109 in the 'HWP carbon Model' sheet. These resulted in some small changes in the tables reported in the monitoring report. These have been updated accordingly. Also, a new version of the spreadsheet called "Darkwoods Carbon Model 2013-2016 v1.1" has been created with the updated figures. The project team submits that this is an immaterial finding that should have been issued as an Observation.

Auditor Response: Through review of the revised calculation workbook, entitled "Darkwoods Carbon Model 2013-16 v1.1", the audit team can confirm that the factor 3.67 is no longer used therein. Therefore, the non-conformity has been resolved.

NCR 26 Dated 25 Sep 2017**Standard Reference:** CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.5**Document Reference:** CCB_MON_REP_ENG_607_01JAN2013_31DEC2016; VCS Non-Permanence Risk Report (Short) - Darkwoods 2013-16 Verification v1**Finding:** The CCB & VCS Monitoring Report Template requires the following under Section 2.2.5:

"Describe actions needed and implemented to mitigate likely natural and human-induced risks to the expected climate, community, and biodiversity benefits during this monitoring period."

The monitoring report briefly mentions the actions taken to mitigate fire-induced risk, stating that "The project's fire detection and fire-fighting processes worked successfully as expected (and outlined in the VCS PDD)." However, this brief mention of these actions is not sufficient to constitute a "description" of them. In addition, the non-permanence risk report identifies specific monitoring and management actions as having been carried out to reduce the risk of carbon stock loss due to pest and disease outbreak and extreme weather, and these measures were described in detail during the office meeting held 29 August 2017. As the risks of carbon stock loss due to pest and disease outbreak and extreme weather are can be considered reasonably likely (and have been classed as such in the non-permanence risk report), it is relevant to discuss them here.

Project Personnel Response: Additional text has been added to Section 2.2.5.**Auditor Response:** Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", the audit team can concur that a description of actions needed and implemented to mitigate likely natural and human-induced risks to the expected climate, community, and biodiversity benefits during this monitoring period has been added. Therefore, the non-conformity has been resolved.

NCR 27 Dated 25 Sep 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.4.5

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 2.4.5: "Provide an assessment of substantial risks to worker safety that have arisen due to project implementation. Describe activities and/or processes implemented to inform workers of risks and how to minimize such risks. Show how risks were minimized."

The monitoring report does not provide an assessment of substantial risks to worker safety that have arisen due to project implementation during the monitoring period. It also does not specifically describe the activities and/or processes implemented to inform workers of risks and how to minimize such risks. While the reference to NCC's policies is helpful, mere reference to policy documents does not completely fulfill the requirement--it is necessary to specifically describe how these policies inform workers of risk and how to minimize such risks (for both NCC employees and employees).

Project Personnel Response: See response for NIR 20. In fact, this finding duplicates NIR 20. Section 2.4.5 has been expanded to better describe procedures related to informing workers around safety which should close this finding as well. Additional supporting documents on informing workers has been provided as files: 2015 - Sept 2016 MacHutchon and Himmer ROL and Permit_Darkwoods.pdf; WynnwoodPeworkSafety.pdf; and General Access Permit 2015.pdf.

However, we take issue with the potentially detailed concept of this finding, which is representative of many other findings in this report:

1. We do not interpret the template guidance to require a full listing of forestry related risks that are standard and typical within the industry. If a project generated new, unique or unusual risks, then a more detailed or exhaustive list might be appropriate - but that is not the case with Darkwoods, where project activities are standard industry practice.
2. The template does not exclude the ability to reference documents and other resources: 'external' documents, websites, and reference materials are referenced as standard practice, and represent the best and most complete description for reader clarity.
3. And finally, this finding is once again evidence of issuing non-conformances that interpret "checklist" requirements from what is actually "guidance" in the template; particularly when there is no evidence of material risk of non-conformance - in this case, there is clear evidence of NCC using professional and industry standard policies and procedures for safety, there is no evidence of abnormal worker safety issues, and the audit team's local forester would have easily been able to confirm these are industry best practices; and if needed, further interviews with contractors could have provided further assurance or detail. In other words, this finding is being issued in a way implying a substantial increase in description and documentation when there is no basis for a concern that this element of the standards and template is at risk. And the finding is being written in a manner that could be interpreted to require a significant amount of work, when a general description with reference to the key policies and programs should absolutely be appropriate here.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", the audit team can concur that a description of activities and/or processes implemented to inform workers of risks and how to minimize such risk has been added to the monitoring report, and the information added is consistent with the description provided to the audit team while on-site. The audit team notes that nowhere does the CCB & VCS Monitoring Report Template require a "full listing of forestry related risks"--it simply requires an "assessment" of such risks. In the judgment of the audit team, the statement that "Darkwoods project activities are typical operations for forestry operations and timberland in BC, and include typical forest operations (logging, road work, etc.) and various forest field work" constitutes the required "assessment". Therefore, the non-conformity has been resolved.

NCR 28 Dated 25 Sep 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.1.1

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.1.1: "Complete the table below for all data and parameters that are determined or are available at validation, and remain fixed throughout the project crediting period (copy the table as necessary for each data unit/parameter)".

There are a number of ways in which the presentation of information in the monitoring report differs from the reporting guidance within the tables in Section 3.1.1. Examples, which should not be considered an exhaustive indication of all non-conformities, are provided below to assist project personnel in systematically identifying and correcting all non-conformities.

- The guidance under "Value applied" states "Provide the value applied". This information is not provided for the following parameters: THLB, A(BSL,i), A(PRJ,i)
- The guidance under "Justification of choice of data or description of measurement methods and procedures applied" states the following: "Justify the choice of data source, providing references where applicable. Where values are based on measurement, include a description of the measurement methods and procedures applied (e.g., what standards or protocols have been followed), indicate the responsible person/entity that undertook the measurement, the date of the measurement and the measurement results. More detailed information may be provided in an appendix." The information for most (if not all) parameters in the monitoring report simply states "Best available data", which is not adequate to provide a justification of the choice of data source.
- The "Purpose of the data" is not provided, for most (if not all) parameters, following the specific guidance given in the parameter tables.

Project Personnel Response: The parameter tables in Section 3.1.1 have been updated accordingly.

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. While strides toward full conformance have clearly been made, some gaps remain, regarding the information required under "Justification of choice of data or description of measurement methods and procedures applied". Examples, which should not be considered an exhaustive indication of all non-conformities, are provided below to assist project personnel in systematically identifying and correcting all remaining non-conformities.

- The values for parameters A(BSL,i) and A(PRJ,i) are "based on measurement". However, the following information is not provided: "a description of the measurement methods and procedures applied (e.g., what standards or protocols have been followed), indicate the responsible person/entity that undertook the measurement, the date of the measurement and the measurement results".
- For parameter R(i), it is stated that "Root biomass is difficult to measure directly." While the audit team agrees with this statement, and this statement could be considered a global justification for using a default value to estimate root biomass, it is not a justification of the specific data source for this parameter.
- For parameters f(BSL,NATURAL,i,t) and f(PRJ,NATURAL,i,t), the following is stated: "Consultation with local experts and long-term experience of modelling team". This does constitute a description (albeit a very brief one) of the source of data for these parameters. However, it does not constitute a justification for the choice of data source.

Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: We have made some minor additional changes to the parameter table in Section 3.1.1 to improve clarity. We would argue, using the same rational as the audit team does for NCR4, that we cannot change this parameter table significantly in terms of content, from the values that were provided in the Darkwoods PD and validated by the auditing team at the time. Doing so results in increasing discontinuity with previous verified documents.

Auditor Response 2: The audit team reviewed Section 3.1.1 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", to assess whether the finding could be closed. The audit team was unable to identify any substantive changes to the section in question that would allow closure of the finding. It is unclear to the audit team why addition of "Justification of choice of data or description of measurement methods and procedures applied" could conceivably invoke a project description deviation, since provision of "justification of choice of data" would simply involve presenting a justification for information already presented in the project description and "description of measurement methods and procedures applied" would conceivably simply involve provision of information regarding measurement methods that is already provided within the project description or other previously validated documents.

As the remaining non-conformities have not been addressed, the finding must remain open.

Project Personnel Response 3: The parameter table in Section 3.1.1 has been updated following the specific guidance provided by the auditor. The effort was focused on providing additional detail on values used, the source of the values provided and the justification of the selection of specific data.

Auditor Response 3: While significant additional information has been added in an effort to resolve this finding, the non-conformity has not been fully resolved. This finding will be closed for administrative reasons and NCR 61 issued in its place.

NCR 29 Dated 25 Sep 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.1.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.1.2: "Complete the table below for all data and parameters monitored during the project crediting period (copy the table as necessary for each data unit/parameter)."

There are a number of ways in which the presentation of information in the monitoring report differs from the reporting guidance within the tables in Section 3.1.2. Examples, which should not be considered an exhaustive indication of all non-conformities, are provided below to assist project personnel in systematically identifying and correcting all non-conformities.

- The guidance provided under "Description of measurement methods and procedures to be applied" states "Specify the measurement methods and procedures, any standards or protocols to be followed, and the person/entity responsible for the measurement. Include any relevant information regarding the accuracy of the measurements (e.g., accuracy associated with meter equipment or laboratory s)." This information is not provided for most (if not all) parameters. For example, for parameter A(PRJ,i), the following information is provided: "GIS inventory data updated from GPS coordinates and Remote Sensing data." This does not provided the measurement methods and procedures, not does it provide the person/entity responsible for the measurement.
- The guidance provided under "Value monitored" states "Provide an estimated value for the data/parameter". The information provided for parameter B(BG,i,t) states "See Plot Data Appendix ?".
- The guidance provided under "QA/QC procedures to be applied" states "Describe the quality assurance and quality control (QA/QC) procedures to be applied, including the calibration procedures where applicable." The information provided in the monitoring report is, without exception, highly vague, such that even the audit team does not understand exactly what is being referred to. For example, the information provided for A(PRJ,i) states "Standard GIS QA/QC procedures. La NCC Standard Operating Procedures (SOP)". It is not clear what "Standard GIS QA/QC procedures" are. It is also not clear what the "La NCC Standard Operating Procedures (SOP)" are. As far as the audit team is aware, the intent is for the monitoring report to be as specific as possible regarding measures undertaken during the monitoring report in question, so a vague reference to the "Standard GIS QA/QC procedures" is unlikely to satisfy the requirements.
- The "Purpose of the data" is not provided, for most (if not all) parameters, following the specific guidance given in the parameter tables.
- The guidance provided under "Calculation method" states "Where relevant, provide the calculation method, including any equations, used to establish the data/parameter." Some parameters are calculated (and, therefore, the calculation method is relevant for such parameters) but the calculation method is not stated. For example, for the values for parameter A(PRJ,i) are calculated using GIS software, but this is not identified.

Project Personnel Response: The parameter tables in Section 3.1.2 have been updated accordingly.

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. While strides toward full conformance have clearly been made, some gaps remain. Examples, which should not be considered an exhaustive indication of all non-conformities, are provided below to assist project personnel in systematically identifying and correcting all remaining non-conformities.

- The guidance provided under "Description of measurement methods and procedures to be applied" states "Specify the measurement methods and procedures, any standards or protocols to be followed, and the person/entity responsible for the measurement. Include any relevant information regarding the accuracy of the measurements (e.g., accuracy associated with meter equipment or laboratory s)." For the parameter A(PRJ,i), the following information has been provided: "Determined as part of the inventory work (see Darkwoods Inventory Update Report Darkwoods_VRIEM_Ecora2012.pdf)". This does not provide information on measurement methods and procedures, or standards or protocols to be followed. It also does not provide information regarding the person/entity responsible for the measurement. For the parameters quantified based on fieldwork (e.g., "DBH(i,t)"), the information provided simply states, "Field measurements in permanent sample plots. Measurement with DBH tape for trees > 5 cm DBH." The gap between the information provided and the requirement to "Specify the measurement methods and procedures, any standards or protocols to be followed, and the person/entity responsible for the measurement" will hopefully be self-evident.

- The guidance provided under "QA/QC procedures to be applied" states "Describe the quality assurance and quality control (QA/QC) procedures to be applied, including the calibration procedures where applicable." The audit team appreciates that the most up-to-date remeasurement SOP is now referenced for most parameters (though not all; the reference is missing for the "Height(i,t)" parameter). However, while the audit team agrees that it is appropriate to reference the SOPs as the source for detailed information regarding the parameters in question, it is still possible to provide, in the Template, some summary information regarding the QA/QC procedures applied, and therefore this information must be provided.

- The guidance provided under "Calculation method" states "Where relevant, provide the calculation method, including any equations, used to establish the data/parameter." Some parameters are calculated (and, therefore, the calculation method is relevant for such parameters) but the equations used to establish the parameters are not provided. For example, it is stated that the parameter B(BG,i,t) is "Calculated from BAGi,t and Ri" but the equation used to perform this calculation is not provided.

Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: We have made some minor edits here including the fact that project team member Brad Seely is responsible for all of these parameters. Honestly, we spent considerable time and effort updating these tables during the previous revision and find the audit team is being unreasonable in their requests for excessive levels of detail in this section. There is nothing more to say about standards being employed beyond specifically listing the SOP document that we referred to. These referenced documents provide the most complete description of the topic and procedures, and therefore attempting to briefly summarize or excerpt section is both repetitive and generating a new source of potential error or inaccurate reference. The point of SOP documents is to create a 'single' source of procedural information and a complete reference. The project team strongly disagrees with attempting to re-state, summarize, excerpt, or otherwise create additional text that is not within the proper SOP.

Auditor Response 2: The audit team reviewed Section 3.1.2 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", to assess whether the finding could be closed. The audit team agrees that it is now clarified that Brad Seely is responsible for all measurements. In addition, the audit team agrees that the relevant descriptions of the "measurement methods and procedures" and/or "any standards or protocols to be followed" are now specified for each parameter. However, the audit team does not agree that the "quality assurance and quality control (QA/QC) procedures to be applied, including the calibration procedures where applicable" are adequately described for the following parameters for which quantification is based on direct field measurements:

- A(PSP,i)
- DBH(i,t)
- Height(i,t)
- Mean tree age

For these parameters, the information presented references the relevant standard operating procedure documents. However, this referencing does not comply with the requirement to "Describe the quality assurance and quality control (QA/QC) procedures to be applied"--these procedures must (at least at a very high level) be described within the monitoring report itself.

In addition, the guidance provided under "Calculation method" states "Where relevant, provide the calculation method, including any equations, used to establish the data/parameter." Some parameters are calculated (and, therefore, the calculation method is relevant for such parameters) but the equations used to establish the parameters are not provided. These parameters are the following:

- B(BG i,t)
- DOM(LDW,i,t)
- V(LDW,i,t)

Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 3: The parameter table in Section 3.1.2 has been updated following the specific guidance provided by the auditor. All of the parameters and associated issues that were identified have been addressed in the updated version.

Auditor Response 3: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.6", the audit team can confirm that all required information is provided in the parameter tables in Section 3.1.2. Therefore, the non-conformity has been resolved.

NCR 30 Dated 25 Sep 2017

Standard Reference: VCS Standard V3.7, Section 3.6.1

Document Reference: Darkwoods plot data Jun 2017 v1.3;

CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: Section 3.2 of the VCS project description provides the following description regarding the value applied for the parameter D(LDW,c,i,t):

- Under "Description of measurement methods..." it is stated that "Pieces of known volume are taken to lab, dried and weighed to calculate density".
- Under "Monitoring equipment", "Drying oven" and "scale" are listed.
- Under "Calculation method", "Mass/Volume" is stated.

The above describes a process whereby decay factors are produced by obtaining pieces of known volume in the field, drying and weighing in a lab and calculating a project-specific average decay factor for each decay class from this information. As described in NIR 12, decay factors have not been calculated in this manner.

Therefore, a deviation from the specification for data and parameters monitored, as provided in the VCS project description, has taken place. This constitutes a project description deviation and invokes the requirements of Section 3.6.1 of the VCS Standard. Section 3.6.1(2) of the VCS Standard requires that "Where the deviation does not impact the applicability of the methodology, additionality or the appropriateness of the baseline scenario, and the project remains in compliance with the applied methodology, the deviation shall be described and justified in the monitoring report. This shall include a description of when the changes occurred and the reasons for the changes. The deviation shall also be described in all subsequent monitoring reports." The deviation has not been described and justified in the monitoring report.

Project Personnel Response: See response to NIR 12 & NCR 13

This finding is awaiting guidance from the VCS.

Auditor Response: On 1 December 2017, the audit team received guidance via email from Andrew Beauchamp, of the VCSA, in which the following was stated: "Though not explicitly stated, where a methodology allows other methods from literature to be applied by a project to derive a given parameter value, values determined from literature may also be used where they can be justified as appropriate. Where justification can be provided that the values determined from literature are appropriate, no methodology deviation is required to be applied, and these findings can be closed." However, no guidance was provided from the VCSA to suggest that use of literature values, where they result in deviation to the monitoring plan in the validated project description, does not constitute a project description deviation. Therefore, the non-conformity has not been resolved.

Project Personnel Response 2: A project description deviation has been added to Section 2.2.4 as requested, including a rationalization for the use of literature values.

Auditor Response 2: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team can confirm that a description of the project description deviation in question has been added, and the specific non-conformity has been resolved. Further gaps in terms of compliance of this description with the audit criteria will be addressed as part of additional findings.

NCR 31 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.1.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.1.2: "Complete the table below for all data and parameters monitored during the project crediting period (copy the table as necessary for each data unit/parameter)."

The information provided in the corresponding section of the monitoring report for parameter D(LDW,c,i,t) does not clearly state that decay factors have been sourced from literature (as described in NIR 12); rather, it suggests that decay factors have been calculated from field measurements.

Project Personnel Response: The source of the data has been updated in the parameter table.

See also, responses to NIR 12 and NCR 13.

This finding is resolved by the update made, but also related to additional guidance from the VCS.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", the audit team can confirm that it is now clearly stated within the parameter table in question that the data for this parameter is "derived from literature values from Heath and Chojnacky (1995) – softwood species". Therefore, the nonconformity has been resolved.

NCR 32 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.1.3

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.1.3: "Describe the process and schedule followed for monitoring the data and parameters set out in Section 3.1.2 (Data and Parameters Monitored) above during this monitoring period, including details on the following:

- The organizational structure, responsibilities and competencies of the personnel that carried out the monitoring activities.
- The methods used for generating/measuring, recording, storing, aggregating, collating and reporting the data on monitored parameters.
- The procedures used for handling any internal auditing performed and any non-conformities identified.
- The implementation of sampling approaches, including target precision levels, sample sizes, sample site locations, stratification, frequency of measurement and QA/QC procedures. Where applicable, demonstrate whether the required confidence level or precision has been met."

While much of the required information is provided in the corresponding section of the monitoring report, the audit team has identified the following non-conformities:

- The organizational structure, responsibilities and competencies of the personnel that carried out the monitoring activities are not provided for any of the monitoring tasks.
- The methods used for generating/measuring, recording, storing, aggregating, collating and reporting are not described in detail for the "Annual inventory change monitoring" task. For fire monitoring, it is stated that "The fire areas were mapped using GPS while flying over in a helicopter" but additional detail is not provided regarding how the fire boundaries were digitized from this information and incorporated into the project inventory data. No detail is provided regarding mapping of harvest units or incorporation of this mapping into the inventory data.
- The methods used for generating/measuring, recording, storing, aggregating, collating and reporting are not provided for the "Activity shifting leakage (annually)" monitoring task.
- The following information is not provided regarding the field data collection process: "... target precision levels... sample site locations, stratification [and] frequency of measurement".

Project Personnel Response: The Details with respect to personnel have been added using initials referenced to Section 2.4.1. Additional detail has been added with respect to methods for mapping fires and harvest block and management of spatial data. There are no methods to report in the activity shifting monitoring as there was clearly no harvesting activities on NCCs other conservation holdings. The field data collections process, information related to precision and similar things are covered in the referenced SOPs if applicable and necessary.

Similar to other responses to findings, we do not agree with the implication that other documents cannot be referenced for additional details. The project team has discussed this with VCS, who made it clear that this is not their expectation, and referencing documents is appropriate to reduce repetition and clutter. The project team can request this specific guidance from VCS if required to resolve these types of exhaustive findings lists.

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. The audit team's comments regarding how each item has been responded to (numbered in the sequence of the original observations) is provided below.

1. No additional detail has been provided regarding the organizational structure, responsibilities and competencies of the personnel that carried out the monitoring activities. The revised monitoring report identifies the individuals who performed specific monitoring activities according to their first and last initials. However, this information will be opaque to any reader of the monitoring report who is not already highly familiar with the monitoring team. Even if the specific responsible individuals were more clearly identified, that would not, in and of itself, provide the required level of detail, as information regarding the organizational structure, responsibilities and competencies of the personnel that carried out the monitoring activities would still be lacking.
 2. Additional information has been provided, adequate to resolve this particular concern as raised by the audit team, regarding the mapping of fires and timber harvest cut-blocks "Annual inventory change monitoring" task.
 3. No additional detail has been provided regarding the methods used for generating/measuring, recording, storing, aggregating, collating and reporting for the "Activity shifting leakage (annually)" monitoring task.
 4. No additional detail has been provided regarding to address the following requirements regarding the field data collection process: "... target precision levels... sample site locations, stratification [and] frequency of measurement".
- Because items 1, 2 and 4 have not been adequately addressed, the non-conformity has not been fully resolved.

Project Personnel Response 2: We have addressed the specific comments raised by the audit team as follows:

1. No additional detail has been provided...

We prefer to use the Initial approach to reduce clutter and improve readability. However following the advice of the audit team we have clarified the reference to Section 2.4.1 where a detailed project team list is provided (including initials for cross-reference). This includes detailed information with respect to organizational structure, general responsibilities, and competencies of all personnel. Each specific activity is in Section 3.1.3 has an individual or individuals assigned to it using the initials. This level of detail in combination with the team description information referred to in Section 2.4.1 should be more than adequate to meet VCS requirements.

3. No additional detail has been provided regarding the methods used for generating/measuring, recording, storing, aggregating, collating and reporting for the "Activity shifting leakage (annually)" monitoring task.

We have added additional detail describing the simple tasks involved in activity shifting leakage monitoring for this project.

4. No additional detail has been provided regarding to address the following requirements regarding the field data collection process: "... target precision levels... sample site locations, stratification [and] frequency of measurement".

We have added detail with respect to each of these issues in part 4 of Section 3.1.3

Auditor Response 2: The audit team reviewed Section 3.1.3 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", to assess whether the finding could be closed. Regarding item 1, the personnel responsible for specific monitoring activities are now clarified (through cross-reference with the table in Section 2.4.1, and that information regarding responsibilities has also been provided. However, information regarding organizational structure and competencies has not (so far as the audit team can tell) been provided.

Regarding item 3, the audit team agrees that the methods used for generating/measuring, recording, storing, aggregating, collating and reporting for the "Activity shifting leakage (annually)" monitoring task are now provided.

Regarding item 4, the audit team agrees that information regarding frequency of measurement has been provided. However, the audit team is unable to identify any information regarding target precision levels, sample site locations and stratification.

Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 3: We have added a description of the organization structure of the NCC team in combination with the 3GT team in Section 3.1.3 as requested. We have added detail with respect to target precision levels, sample site locations and stratification to Section 3.1.3 as requested.

The project team does not see the relevance of including an 'organizational structure chart' as mentioned by the audit team, nor it is a requirement of the standard. The project is managed by a team, not a single organization, and describing the overlap of the combined team is not done through organizational charts. The monitoring report clearly describes the team members directly involved in the project, from technical to leadership roles, along with organizational titles that are descriptive enough to understand the basic structure if necessary. Although neither NCC nor 3GreenTree use or maintain up to date organizational charts as a part of normal business, an NCC chart could likely be procured, if necessary, upon request.

Auditor Response 3: The audit team reviewed the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.5", to see whether the finding could be closed. The audit team agrees that a description of the organizational structure of the personnel that carried out the monitoring activities has been added to the monitoring plan, through the insertion of the following text: "The organizational structure of 3GT is simple in that all members are directors responsible for the tasks outlined in Section 2.4.1. The organization structure for NCC is implicit in the position titles referenced in Section 2.4.1. Specifically, all staff report to Tom Swann and Rob Wilson who subsequently report to Michael Bradstreet." The audit team agrees that the monitoring report is not prescriptive regarding the format in which information regarding the organizational structure is presented.

Additional, the audit team agrees that information regarding the implementation of sampling approaches, including target precision levels, sample sizes, sample site locations, stratification, frequency of measurement and QA/QC procedures is now included in the monitoring report. However, information regarding competencies of the personnel that carried out the monitoring activities is still not provided. Therefore, this finding will be closed for administrative reasons and a few finding (NCR 57) will be issued to address further issues.

NCR 33 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.2.1

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.2.1: "Quantify the baseline emissions and/or removals, providing sufficient information to allow the reader to reproduce the calculation." The information provided in the corresponding section in the monitoring report is not sufficient to allow the reader to reproduce the calculation. For example, the monitoring report states the following: "During the 2011-2012 project verification the inventory was updated and stratified into broad classes necessary to define the harvestable landbase according to regional standards. See the Darkwoods 2011-2012 Monitoring Report for a detailed description of this process." Reference to an external document is not sufficient to fulfill the documentation requirement. The audit team understands that a large amount of information regarding the baseline modeling approach is provided in various locations in the VCS project description and the monitoring report for the 1 January 2011-31 December 2012 monitoring period, but this information is only briefly summarized in the monitoring report.

Project Personnel Response: 1. We believe there is sufficient detail for readers to recreate and understand the nature of the calculations made in the baseline scenario in Section 3.2.1 with respect to calculations made or updated in this monitoring period. First, a reader can easily follow the summarizing calculations (i.e. Table 9) for the baseline scenario in this monitoring period. The reader can trace and replicate further details through the related carbon spreadsheets provided with the Monitoring Report. With further reference detail from the PD and previous Monitoring Reports, the reader can certainly create an excellent understanding of the calculations made, and recreate the summarizing calculations from model output if desired. Note that to fully recreate all of the baseline calculations from scratch would obviously require access to the complete datasets and expert model tools, and related expertise, which is clearly not the intent of this section of the Monitoring Report or the guidance. That said, an expert user using the same tools could recreate all of the calculations from the project documentation. and datasets. Multiple audit teams have sampled the full project modeling to successfully determine the calculations are both understandable and meet the PD and Methodology.

2. The template guidance does not limit or exclude reference to external documentation as indicated in this finding. Discussions with VCS about this and other findings have clearly reinforced it is not their intent to exclude the use of references, nor to make the Monitoring Reports longer and more complicated by attempting to replicate any and all information from the PD and other Monitoring Reports into each subsequent one. Therefore we will continue to reference the most appropriate and complete document for the topic at hand.

3. Similarly, the project team disagrees with the implication that the reader must be able to reproduce the calculation exclusively from Section 3.2.1 - it would be burdensome, inefficient, and ineffective to to repeat other documents in the Monitoring Report document. The intent is clearly to make sure the reader can understand how the data and calculations in this monitoring period were updated and completed. In other words, what new monitored data has been included, and where and how is it being used - which we have provided (particularly in the spreadsheets) along with helpful descriptions of key events affecting calculations in this monitoring period.

Finally, for this finding, there were no changes to the baseline calculations made in this monitoring period, and hence there is no requirement to reiterate details from the 2011-2012 Monitoring Report - the quoted section is simply referencing that inventory update to improve the readers understanding of the project (and particularly to highlight changes from the PD ex-ante tables), but a re-hashing of that previous work is not required in this period, so the reference to the previous report is appropriate and has been retained.

So, in summary, no changes have ben made to Section 3.2.1 because we believe it meets the requirements of the standards, and is consistent with the template guidance. Referencing project documentation is appropriate and the reader can follow/understand and/or recreate the baseline calculations made that are relevant to this monitoring period.

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. As the audit team was unable to locate any substantive modification to Section 3.2.1, Baseline Emissions, in the revised monitoring report, the non-conformity has not been resolved. The audit team does not agree that reference to external work products (such as spreadsheets or the previously validated project description) is sufficient to meet the cited requirements, and the audit team also notes that the requirement to provide "sufficient information to allow the reader to reproduce the calculation" is a clearly stated requirement of the template, and is not merely something implied by the audit team. While it would clearly be impracticable to report on every single aspect of the quantification of baseline emissions and/or removals (e.g., to reproduce the calculations at the polygon or analysis unit level), there is much more information that could reasonably be added to document the quantification of baseline emissions and/or removals, at least at a higher level, such that a reader could reproduce the calculation.

Project Personnel Response 2: Considerable detail has been added to augment the description of the calculations of GHG emissions in the baseline scenario. Specifically detail has been added around the pre-stratification of the landbase following the development of the updated inventory prior to the 2011-2012 verification. In addition, more detail has been added with respect to the models employed and their linkage to the input data. Additional detail was also provided for the table describing regeneration assumptions by analysis unit and the objectives of the baseline scenario. There are still references to external documents but the high-level descriptions requested by the auditors have been added.

Auditor Response 2: Through review of Section 3.2.1 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team can confirm that all of the previously identified information gaps have filled in and the quantification of baseline emissions is provided in sufficient detail that the reader could reasonably be expected to be able to reproduce the calculation. However, one discrepancy in the presentation still exists. The "Ann. Baseline (Emissions) Reductions (tCO₂e)" column in Table 9 contains information that is inconsistent with the information in cells L59:O59 of the "HWP Carbon Model" worksheet in the "Darkwoods Carbon Model 2013-16 v1.1" workbook. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 3: The values Table 9 have been updated to match those in the spreadsheet. These were missed when the conversion was changed from *3.67 to * 44/12.

Auditor Response 3: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.5", the audit team can confirm that the revised values in the "Ann. Baseline (Emissions) Reductions (tCO₂e)" column in Table 9 are now consistent with the information in cells L59:O59 of the "HWP Carbon Model" worksheet in the "Darkwoods Carbon Model 2013-16 v1.1" workbook. Therefore, the non-conformity has been fully resolved.

NCR 34 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.2.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.2.2: "Quantify project emissions and/or removals providing sufficient information to allow the reader to reproduce the calculation." While the quantification of project emissions and/or removals is fairly well documented, there are a few gaps in the discussion of calculation processes that would make it difficult for the reader to reproduce the calculation:

- The process for deriving the transition patterns indicated in Table 10 is not clearly explained.
- The quantification of carbon storage in harvested wood products, carbon storage in waste products and emissions from production and waste in the project scenario, as presented in Table 12, is not clearly explained.
- The "age cap" of 250 years, whereby carbon stocks are no longer incremented in the Atlas runs after 250 years, is not clearly identified.
- While the monitoring report states that "The new fields were updated (including C_AU transitions, age increments, and carbon and volume contents) based upon the timing of the disturbance events and the transition patterns shown in Table 10", the specific fields used for this purpose were not identified. For example, it is not explained that the "Project_Harvest_Year" field was used to identify harvesting that occurred in 2011 or 2012, or that the "Year_" field was used to identify fire or harvest subsequent to that time. It is not explained that the "Disturb_Ty" field indicates the type of disturbance between 2013 and 2016. It is also not explained that the "C_AU" field indicates the analysis unit as of the end of 2010, or that the "C_AU_post2011_Log" field indicates the analysis unit after the 2011 logging season. It also is not clear that the "C_Age_2011" field indicates the age as of the end of 2011.
- The process by which age was reset to 1 for polygons impacted by harvest or fire is not clearly explained.
- The process of looking up the carbon content per hectare of each polygon (including the specific fields from the Atlas output that were looked up as part of this process), and multiplying this quantity by the polygon area, is not clearly described.
- It is not clearly indicated that the results were summarized by year to determine net ecosystem storage as of the end of the monitoring period.

Project Personnel Response: We believe there is sufficient information for readers to follow the logic of the methods employed in the calculation of project emissions and that the Project Scenario Projection v.1.1 spreadsheet with the enhanced comments provides a calculation procedure that can be followed, particularly with reference to the PD and other project documentation.

See also the response to NCR 33, particularly with reference to the lack of template guidance related to the referencing of other documents as needed.

However, we have taken steps to clarify key gaps as a result of this finding:

1. Project Scenario Projection v.1.1 spreadsheet comments upgraded
2. Clarifying details added to Tables 10, 12
3. The quantification of c storage in h woodproducts is referenced to PD for more clarity
4. Added detail to the process by which age is reset

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. The following sentences have been added to the section in question of the report:

- "The transition patterns show which C_AU a specific polygon will transition to following a harvest or fire event. The age of the 'new' stand in the next year following a disturbance event will be reset to 0."
- "The fields related to wood products and associated wastes in Table 12 were calculated using methods described in the Darkwoods PD. Specific calculations are shown in the 'Darkwoods Carbon Model 2013-16 v1.1.xlsx' spreadsheet provided."

The added information provided is not sufficient to address any of the issues identified in the text of the finding. Therefore, the non-conformity has not been resolved.

Project Personnel Response 2: We have address the specific comments raised by the audit team as follows:

- The process for deriving the transition patterns indicated in Table 10 is not clearly explained.

Detail has been added to explain the derivation the fire curves and the associated transition patterns.

- The quantification of carbon storage in harvested wood products, carbon storage in waste products and emissions from production and waste in the project scenario, as presented in Table 12, is not clearly explained.

Detail has been added to explain the quantification of C storage these pools with references to relevant spreadsheets.

- The "age cap" of 250 years, whereby carbon stocks are no longer incremented in the Atlas runs after 250 years, is not clearly identified.

A clarification of the assumption describing the 250-year 'age cap' has been added to both the baseline description and the project descriptions.

- While the monitoring report states that...

Considerable detail has been added to address these specific issues raised by the audit team.

- The process by which age was reset to 1 for polygons impacted by harvest or fire is not clearly explained.

This was addressed as part of the edits made in response to the first bullet point.

- The process of looking up the carbon content per hectare of each polygon (including the specific fields from the Atlas output that were looked up as part of this process), and multiplying this quantity by the polygon area, is not clearly described.

A detailed description of the steps, calculations and associated fields included in the project spreadsheet model and used to determine carbon content in each forest polygon has been added.

- It is not clearly indicated that the results were summarized by year to determine net ecosystem storage as of the end of the monitoring period.

A description of the summarizing process used by the project spreadsheet model has been added

Auditor Response 2: Through review of Section 3.2.2 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team can confirm that all of the previously identified information gaps have filled in and the quantification of project emissions is provided in sufficient detail that the reader could reasonably be expected to be able to reproduce the calculation. Therefore, the non-conformity has been resolved.

NCR 35 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.2.3

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.2.3: "Quantify leakage emissions providing sufficient information to allow the reader to reproduce the calculation." The process for quantification of leakage emissions is not described in the level of detail required by the Monitoring Report Template. The monitoring report states that "The market leakage factors were calculated using Option 2 – CAR Leakage Calculation (see VCS PDD for description)", but does not provide any further information regarding the sourcing of project-scenario harvest volumes or how the leakage calculation was actually carried out.

Project Personnel Response: The Monitoring Report text has been clarified to reference the method details in Section 4.3 of the PDD, then added detail on where the calculation is made in the Darkwoods Carbon Model 2013-16v1.1 (from which a reader can replicate the calculation).

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. As the audit team was unable to locate any modification to Section 3.2.3, Leakage, in the revised monitoring report (other than revisions to the quantities reported in Table 13), the non-conformity has not been resolved.

Project Personnel Response 2: Details that specifically address the issues raised by the audit team have been added to Section 3.2.3.

Auditor Response 2: Through review of Section 3.2.3 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team can confirm that the quantification of leakage emissions is provided in sufficient detail that the reader could reasonably be expected to be able to reproduce the calculation. Therefore, the non-conformity has been resolved.

NCR 36 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.2.4; VM0012 V1.0, Section 11.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016; Darkwoods Carbon Model 2013-16 v1.0

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.2.4: "Quantify the net GHG emission reductions and removals, summarizing the key results using the table below." The referenced table includes a column entitled "Net GHG emission reductions or removals (tCO₂e)". As defined in Equation 58 of the methodology, this quantity is the result of subtracting leakage emissions from the "difference in the overall annual carbon change between the baseline and project scenarios". The information reported under the column in question in the monitoring report is, as calculated in column F of the worksheet "Summary Tables & Figures" of the workbook "Darkwoods Carbon Model 2013-16 v1.0", the difference in the overall annual carbon change between the baseline and project scenarios, and does not include the deduction for leakage emissions.

Project Personnel Response: These calculations are clearly shown in Darkwoods Carbon Model 2013-16 v1.1.xlsx spreadsheet and reported in Tables 14 and 15 as we have done in the PD and previous Monitoring Reports. The deduction of leakage and the uncertainty discount and the buffer set-aside are shown in Table 15. We prefer to keep it this way for clarity and continuity, and have kept the tables as previous.

Note we discussed this with VCS briefly as well, and the Secretariat indicated the tables shown in the template are guidance for how to meet the standards, and minor deviations in arrangement or columns were not a problem. Again, if there is no flexibility in the auditors interpretation, then perhaps VCS can provide further guidance here.

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. As the presentation of information is fundamentally unchanged from that in the prior version of the monitoring report. The audit team notes that this finding is not about whether the exact tabular format of the tables in Section 3.2.4 is adhered to. The issue is that the quantities presented in Table 14 as representing the "Net GHG emission reductions or removals (tCO₂e)" in Table 14 actually do not represent those quantities, as calculated by Equation 58 of the methodology. As the "Net GHG emission reductions or removals (tCO₂e)" are not correctly reported in tabular format, the finding must remain open.

Project Personnel Response 2: Table 14 has been updated to show gross emission reductions, leakage, and net emission reductions that are consistent with Eq 58 from the methodology.

Auditor Response 2: Through review of Section 3.2.4 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team can confirm that the "Net GHG emission reductions or removals (tCO₂e)" column, within the table referred to in the finding (now numbered as Table 14b), now contains the results of quantification of Equation 58 of the methodology. The audit team has been able to confirm that the information within this column is identical to the sum of the quantities in columns AU and AV of the "Summary Tables & Figures" worksheet in the "Darkwoods Carbon Model 2013-16 v1.1" workbook. Therefore, the non-conformity has been resolved. The audit team notes that the quantification exclusive of leakage is now presented as the "Gross GHG emission reductions or removals (tCO₂e)", which is consistent with the terminology used by the methodology.

NCR 37 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.2.4; VM0012 V1.0, Section 11.3

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.2.4: "Include quantification of the net change in carbon stocks." The monitoring report does not specifically include the quantification of the net change in carbon stocks, as referenced in Section 11.3 of the methodology.

Project Personnel Response: See NCR 36

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. The audit team was unable to find anywhere within the revised monitoring report where information on the quantification of the net change in carbon stocks, as referenced in Section 11.3 of the methodology, was specifically included. Therefore, the non-conformity has not been resolved.

Project Personnel Response 2: An additional table (14a) has been added to show the net change in ecosystem carbon stocks. Supporting text has also been added.

Auditor Response 2: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", to see whether the finding could be closed. The audit team notes that a Table 14a has been included that includes quantification of the difference between project and baseline carbon stock change (in units of tC) within the project area itself. However, this is not the same as the net change in carbon stock, as calculated in Section 11.3 of the methodology. The difference lies in the fact that the harvested wood products pool is included in the project boundary, and so carbon stock changes within this pool must be included in the calculation of the net change in carbon stock. This calculation is carried out in cells AY16:AY19 of the "Summary Tables & Figures" worksheet in the "Darkwoods Carbon Model 2013-16 v1.1" workbook, but the calculation is not reported in Section 3.2.4 of the monitoring report. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 3: Equation 59 in Section 11.3 of the Methodology states that VCUs are calculated from ERY (net GHG emissions) removals as calculated in equation 58. Equation 58 states that $ERY = ERY_{gross} - LEY$. This value (which incorporates wood products) is shown in the last column of Table 14b but is not the same as the values shown in cells AY16:AY19. The values in those cells represent ERY_{gross} minus the emissions associated with harvesting and processing activities and are used to calculate annual buffer contributions. Thus, the information in 11.3 is provided and this NCR should be closed.

Auditor Response 3: The audit team reviewed the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.5", to see whether the finding could be closed. As there has been no change to the presentation of information in the monitoring report, the issue remains unresolved. For administrative reasons, this finding will be closed and a new finding (NCR 58) will be opened.

NCR 38 Dated 3 Oct 2017

Standard Reference: VCS Non-Permanence Risk Report Template Short, V3.0

Document Reference: VCS Non-Permanence Risk Report (Short) - Darkwoods 2013-16 Verification v1

Finding: 1. The VCS Non-Permanence Risk Report Template requires that "All items in the box on the title page must be completed using Arial 10pt, black, regular (non-italic) font." The items in the box on the title page have been completed using gray font.

2. "Contact", the following information is required: "Physical address, telephone, email, website". A physical address and telephone are missing from the information provided.

3. The VCS Non-Permanence Risk Report Template requires that "All sections must be completed using Arial 10pt, black, regular (non-italic) font". Font that is noncompliant with this requirement is located in the following locations:

- The table of contents (where italic font is present)
- Table 1 (where information is presented in Arial 11pt font)
- Section 3 (where certain information is presented in Arial 12pt font, and certain information is italicized)

Project Personnel Response: The document has been updated.

Auditor Response: Through review of the revised non-permanence risk report, entitled "VCS Non-Permanence Risk Report (Short) - Darkwoods 2013-16 Verification v2", the audit team can confirm that the required contact information is provided in full, and all (so far as the audit team can tell) all sections have been completed using Arial 10pt, black, regular (non-italic) font. Therefore, the non-conformity has been resolved.

NCR 39 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template contains specific requirements regarding the information that must be provided in the box on the title page of the monitoring report. The following non-conformities regarding these requirements have been identified by the audit team:

1. Under "Project Proponent(s)", the following is required: "Organization and contact name with email address and phone number". A phone number is not provided.
2. Under "Validation/Verification Body", the following is required: "Organization and contact name with email address and phone number". A phone number is not provided. In addition, the email address for auditor Zane Haxtema has been misspelled.

Project Personnel Response: The document has been updated.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", the audit team can confirm that the contact information for the parties in question is now correctly provided. Therefore, the non-conformity has been resolved.

NCR 40 Dated 3 Oct 2017

Standard Reference: VCS Non-Permanence Risk Report Template Short, V3.0

Document Reference: VCS Non-Permanence Risk Report (Short) - Darkwoods 2013-16 Verification v1

Finding: The VCS Non-Permanence Risk Report Template requires the following under Section 1: "Document and substantiate the risk and/or mitigation for each internal risk factor. Include any relevant documentary evidence."

1. For risk factor (c) under Project Management, the non-permanence risk report states "NCC has extensive experience with forest conservation and property management, and directly employs foresters, biologists, and other conservation professionals and technicians on an ongoing basis." While the audit team does not take issue with this statement, it is not provide the factual information required to satisfy the requirement to "document and substantiate the risk".

2. For risk factor (f) under Project Management, the non-permanence risk report states the following: "NCC property management planning is a detailed and active program of adaptive management that is updated on a regular basis to incorporate monitoring and other new information and data over time. NCC continues to monitor, research, and update management plans for Darkwoods, including (for example) recent ongoing work related to key species habitat protection and management (i.e. caribou, grizzly, white bark pine, etc.)." This information is helpful, but does not specifically describe the management planning process itself.

The VCS Non-Permanence Risk Report Template requires the following under Section 2: "Document and substantiate the risk and/or mitigation for each risk factor. Include any relevant documentary evidence".

1. For risk factor (a) under Financial Viability, the non-permanence risk report states "To date (2016), NCC has sold approximately \$6.1 million worth of VCU's, and has an ongoing carbon offset sales program. These revenues have been utilized to cover property operating and management costs; along with partially fund a target endowment fund to provide perpetual funding to the property. An interim \$1.0 million sub-fund has been fully funded to provide carbon project cashflow for the duration of the project. Therefore, the project is cash positive, and fully funded for minimum cashflow needs. Ongoing VCU sales will continue to provide funds to the full property endowment fund until the target of approximately \$12.1 million is reached." While this information is not helpful, it does not directly address the question of whether the project has achieved (and retained) a cash flow breakeven status, as defined in Section 2.2.2(2) of the AFOLU Non-Permanence Risk Tool.

The VCS Non-Permanence Risk Report Template requires the following under Section 3: 'Explain the significance and likelihood of the natural risk and any mitigation activities implemented (create a section for each natural risk). Where a risk is not relevant to the project, please write "Not applicable".' The non-permanence risk report suggests that "geological risk" and "other natural risks" are not relevant to the project. However, the phrase "not applicable" is not used in the non-permanence risk report regarding these risks.

Project Personnel Response: The non-permanence risk assessment documentation has been updated in the files: VCS Non-Permanence Risk Report (Short) - Darkwoods 2013-16 Verification v2, as follows:

- 1.1 c) text has been updated
- 1.1 f) text has been updated
- 1.2 text has been updated
- Section 3.1.10 d) & e) have been updated

No change to the resulting risk assessment scores has been made.

Auditor Response: Through review of the updated non-permanence risk report, entitled "VCS Non-Permanence Risk Report (Short) - Darkwoods 2013-16 Verification v2", the audit team can confirm that information has been provided to address all of the discrepancies identified in the text of the finding. Therefore, the non-conformity has been resolved.

NIR 41 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 4.3.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requests the following under Section 4.3.2: "Present the results of the community impact monitoring which should include... Dates, frequency, sampling methods used..."

While the audit team understands that the request for "sampling methods used" is not relevant, given that the sampling was not carried out as part of the monitoring task, it does seem relevant to include information on "dates" and "frequency" of monitoring. The audit team understands that the word "should" indicates guidance as opposed to a firm requirement. However, it is important to justify any variance from the guidance of the CCB & VCS Monitoring Report Template. Please provide a justification for why information on "dates" and "frequency" of monitoring have not been included.

Project Personnel Response: Text has been added to Section 4.3 to specify the Community Impact monitoring is an analysis undertaken at each verification.

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. The audit team agrees that information regarding monitoring frequency is provided in Section 4.3 of the monitoring report. However, information regarding "dates" of monitoring is not specifically provided. As noted in the text of the finding, the audit team understands that the word "should" indicates guidance as opposed to a firm requirement. However, it is important to justify any variance from the guidance of the CCB & VCS Monitoring Report Template. Please provide a justification for why information on "dates" of monitoring has not been included.

Project Personnel Response 2: The text of Section 4.3 has been updated.

Auditor Response 2: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", to see whether the finding could be closed. The audit team can confirm that the following information has been added to Section 4.3 of the report: "This analysis is not undertaken on a specific date, but completed as needed for a monitoring report. For this monitoring report, the analysis was undertaken in the period of July-August 2017." The audit team agrees that this is sufficient to fulfill the guidance of the CCB & VCS Monitoring Report Template, particularly as there is not a firm requirement involved here. Therefore, the information request has been satisfied.

NCR 42 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 5.1.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requests the following under Section 5.1.2: "Demonstrate that that no High Conservation Values related to biodiversity identified in the validated CCB project description were negatively affected by the project."

The monitoring report states does not provide the required demonstration. Instead, it contains a reference to project activities pertaining to high conservation values. This does not specifically meet the requirement to demonstrate that "no High Conservation Values related to biodiversity identified in the validated CCB project description were negatively affected by the project".

Project Personnel Response: Section 5.1.2 has been updated. An additional supporting example reference file Darkwoods_CarbonAudit_OldGrowth_2017 has been provided

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. The audit team agrees that information provided in Section 5.1.2 of the monitoring report is very useful. However, the information provided is not sufficient as a demonstration that that no High Conservation Values related to biodiversity identified in the validated CCB project description were negatively affected by the project, because the demonstration that no old-growth forest was affected by timber harvest during the monitoring period, while useful in and of itself, does not address all of the High Conservation Values related to biodiversity as identified in Section G1.8 of the validated CCBS PDD. For example, no information is provided in the revised monitoring report regarding the potential impact of the project activities on the "Landscape Level Ecosystems" High Conservation Value, as identified in the CCBS PDD. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: The text of Section 5.1.2 has been updated. On Darkwoods, the existing old growth forests encapsulate any of the high conservation values found on Darkwoods. Therefore, by demonstrating the project activity impact on these old growth areas, the project is demonstrating that these values are not being negatively impacted by the project.

Auditor Response 2: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", to see whether the finding could be closed. While the audit team understands that old growth forests encapsulate many of the high conservation values found on Darkwoods, the audit team does not agree that old growth forests encapsulate all of the high conservation values identified in Section G1.8 of the validated CCBS PDD. The audit team notes that the following features may exist independently of old growth forests:

1. "hydro-riparian ecosystems (rivers, streams, creeks; riparian areas) in the project area" (identified under the "Threatened or Rare Ecosystems" heading) and "hydrological services for water quantity and quality in watersheds feeding into the Kootenay Lake and the Columbia River Basin, along with other important watersheds to the west" (identified under the "Critical Ecosystem Services" heading)
2. "Dry Interior Cedar-Hemlock forests (ICHxw and ICHdw)" (identified under the "Threatened or Rare Ecosystems" heading)
3. "important habitat and refuge for rare and keystone species in the ecosystem, including Caribou, Grizzly Bears, Wolverine, and Western White Pine" (identified under the "Critical Ecosystem Services" heading)
4. "nesting habitat for the native insect pollinators that provide supporting services to agricultural operations in the Creston Valley" (identified under the "Critical Ecosystem Services" heading)

The audit team is aware that timber harvesting does not necessarily negatively affect any of the above high conservation values, and so the audit team is not suggesting it is necessary, per se, to demonstrate that timber harvesting has not occurred in areas that may contain these high conservation values. However, it is necessary to demonstrate that the above high conservation values have not been negatively affected by project activities. The required demonstration has not been provided. Therefore, the non-conformity has not been completely resolved.

Project Personnel Response 3: Additional maps and data have been added to reference the additional mentioned HVF elements from the PD.

Auditor Response 3: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.5", the audit team can confirm that the information that has been added serves as a robust demonstration that no High Conservation Values related to biodiversity identified in the validated CCB project description were negatively affected by the project. Therefore, the non-conformity has been resolved.

NCR 43 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 5.1.3

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requests the following under Section 5.1.3: "Demonstrate that no known invasive species have been introduced into any area affected by the project and that the population of any invasive species has not increased as a result of the project during the monitoring period."

The monitoring report states does not provide the required demonstration. Instead, it contains a reference to project activities pertaining to invasive species. This does not specifically meet the requirement to demonstrate that "no known invasive species have been introduced into any area affected by the project and that the population of any invasive species has not increased as a result of the project during the monitoring period."

Project Personnel Response: Section 5.1.3 has been updated. An additional supporting reference file Darkwoods_IAPP_records.xlsx has been provided.

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. The audit team agrees that the evidence provided constitutes a demonstration that no known invasive species have been introduced into any area affected by the project. However, a simple comparison of the number of invasive species present within the project area at this time with the number of invasive species present within the project area prior to 2013 is not sufficient to demonstrate that the population of any invasive species has not increased as a result of the project during the monitoring period, as the term "population", in this context, pertains more to the total abundance of individuals of invasive species than it pertains the number of invasive species present. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: The project does not survey for invasive species population numbers specifically - instead, the project monitors the occurrence of invasive species, and then maintains an active program for invasive species removal when found on a periodic removal program. The active removal program can be assumed to result in the lowering of invasive species populations (all known populations are removed). A map of the monitoring period invasive removal program has been added. Note that the occurrence of removal sites on the map do not necessarily relate to a trend in population during this monitoring period, as the program is periodic and accumulates removal sites into a grouped package for efficient and cost effective removal. However, the combination of the number of species occurrence monitoring data and this active removal program should demonstrate both a reasonable good faith and active effort to control and remove invasives (regardless of whether they are a result of project activities), and should serve as demonstration the project is actively lowering populations over time (by removing every one they find).

Auditor Response 2: Through review of Section 5.1.3 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team can confirm that an adequate demonstration to the effect that "the population of any invasive species has not increased as a result of the project during the monitoring period", based on sound logic and empirical data, has been added. Therefore, the non-conformity has been resolved.

NCR 44 Dated 3 Oct 2017**Standard Reference:** CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 5.1.5**Document Reference:** CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requests the following under Section 5.1.5: "Guarantee that no GMOs were used to generate GHG emissions reductions or removals." The monitoring report states that "It is NCC's policy that neither Non-native species nor GMOs will be used in the project." However, this does not provide the specific, verbatim "guarantee" that is required by the Template.

Project Personnel Response: Section 5.1.5 has been updated. The following supporting reference files have been provided: no-GMOseeds_email.pdf; seedlings2016.pdf; seedlings2013-2015.pdf.

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed. The audit team notes that a substantive quantity of information has been added as evidence to support the assertion that "no GMOs were used on the Darkwoods property at any time", and the audit team has no concerns regarding the use of GMOs by the project. However, the specific, verbatim "guarantee" required by the CCB & VCS Monitoring Report Template is still missing from the monitoring report. Therefore, the non-conformity has not been resolved.

Project Personnel Response 2: The text of Section 5.1.5 has been updated.

Auditor Response 2: Through review of Section 5.1.5 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team can confirm that guarantee required by the CCB & VCS Monitoring Report Template has been added. Therefore, the non-conformity has been resolved.

NIR 45 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 5.3.2

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requests the following under Section 5.3.2:

"Present the results of the biodiversity impact monitoring which should include:

- Dates, frequency, locations, sampling methods used and other information regarding the monitoring process.
- Results and evaluation of monitoring.
- Effectiveness of measures used to maintain or enhance HCVs."

The monitoring report does not contain information in exactly the format requested by the Template. While the frequency is generally specified, the dates, locations and sampling methods used are not provided. In addition, while the results are provided in the "Value monitored" row in each table, an "evaluation" is not specifically provided (i.e., an assessment of the monitoring results is not specifically provided).

The audit team understands that the word "should" indicates guidance as opposed to a firm requirement. However, it is important to justify any variance from the guidance of the CCB & VCS Monitoring Report Template. Please provide a justification for why the information identified above has not been included.

Project Personnel Response: Section 5.3.2 has been updated.

Auditor Response: The audit team reviewed the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", to see whether the finding could be closed.

The audit team agrees that "Results and evaluation of monitoring" are provided, in that an assessment indicated of how the monitored conditions compares to the desired condition is provided for each indicator. However, information on "Dates, frequency, locations" is still not presented. For example, regarding the "Proportion old forest in ICH" indicator, it is stated that the source data came from "Ecora VRI, Deb MacKillop BGC", but the specific dates of any acquisition of any imagery used in the Ecora VRI (which would be the relevant "dates" in this context) are not provided. As another example, regarding the "Number of bridges on the property at high risk of failure" indicator, the dates, locations and frequency of monitoring are not provided (presumably, it has been required to monitor for this indicator over time, as a bridge can become at increasing risk of failure over time).

As indicated in the text of the finding, the audit team understands that the word "should" indicates guidance as opposed to a firm requirement. However, it is important to justify any variance from the guidance of the CCB & VCS Monitoring Report Template. Please provide a justification for why the information identified above has not been included.

Project Personnel Response 2: A statement has been added to Section 5.3.2 relating to the requested timing details, noting of course that these are suggested (i.e. "should") guidance and not required by the standard.

Auditor Response 2: Through review of Section 5.3.2 of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team can confirm that information has been added to address the request to include "Dates, frequency, locations". The audit team agrees that the decision not to report on specific dates, frequency and locations is warranted, given the justification provided. Therefore, the information request has been satisfied.

NCR 46 Dated 3 Oct 2017

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 5.3.3

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requests the following under Section 5.3.3: "Describe how... any results of monitoring undertaken in accordance with the monitoring plan have been disseminated and made publicly available on the internet". The monitoring report does not specifically address how results of monitoring have been made publicly available on the internet.

Project Personnel Response: Section 5.3.3 has been updated.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.2", the audit team can confirm that a description regarding how results of monitoring have been made publicly available on the internet is now provided in Section 5.3.3. Therefore, the non-conformity has been resolved.

NIR 47 Dated 27 Oct 2017

Standard Reference: VCS Standard V3.7, Section 3.6.2

Document Reference: N/A

Finding: This information request pertains to the project description deviation described in detail in the text of NCR 4.

Regarding project description deviations, Section 3.6.2 of the VCS Standard states the following: "The deviation shall be assessed by a validation/verification body and the process, findings and conclusions shall be reported in the verification report. The assessment shall determine whether the deviation is appropriately described and justified, and whether the project remains in compliance with the VCS rules." In the judgment of the audit team, the information specified below is required in order to confirm, to a reasonable level of assurance, that the project description deviation in question has been appropriately and applied and that the project remains in compliance with the VCS rules. This information was requested by the audit team in an email dated 19 September 2017 and, as of the date of issue of this finding, has not been provided.

The audit team requests a table (in a tabular format that can be read into Microsoft Access) with information provided in the following fields for every polygon included in the project area:

- Unique polygon identifier (that links back to the spatial data)
- Analysis unit associated with polygon
- Polygon age
- Merchantable volume associated with polygon
- Ecosystem carbon stock value associated with polygon

Project Personnel Response: See response for NCR 4. The project team disagrees with this finding in NCR 4 and has provided supporting documentation in the file "Request for VCS Guidance on Unresolved VCS v2.pdf" to seek guidance from the VCS for NCR 4 and also this related NIR.

This NIR is awaiting further guidance from VCS.

Auditor Response: In response to this finding, a series of email exchanges and phone conversation occurred with the VCSA, culminating in the issuance of an email dated 15 December 2017 which stated the following:

"VCS will accept a verification statement from SCS discussing the assessment of this deviation related to any relevant actions that occurred during the previous verification, as well as assessment of any baseline information required for the current verification. In other words, although a deviation has occurred, SCS is not required to validate it for the remainder of the project crediting period as the project is required to re-assess the baseline scenario at the next verification period. Therefore, a verification of information as it related to the current monitoring period is all that is required."

With this guidance, it is the understanding of the audit team that SCS Global Services (SCS) is not obligated to perform a full assessment of the project description deviation as follows: "The deviation shall be... assessed by a validation/verification body and the process, findings and conclusions shall be reported in the verification report. The assessment shall determine whether the deviation is appropriately described and justified, and whether the project remains in compliance with the VCS rules." Specifically, SCS is not required to perform any data ing activities to validate the appropriateness of the information presented regarding baseline carbon stock changes. Therefore, this finding is no longer relevant, and is withdrawn.

NIR 48 Dated 27 Oct 2017

Standard Reference: VCS Standard V3.7, Section 3.6.2

Document Reference: N/A

Finding: This information request pertains to the project description deviation described in detail in the text of NCR 4.

Regarding project description deviations, Section 3.6.2 of the VCS Standard states the following: "The deviation shall be assessed by a validation/verification body and the process, findings and conclusions shall be reported in the verification report. The assessment shall determine whether the deviation is appropriately described and justified, and whether the project remains in compliance with the VCS rules." In the judgment of the audit team, the information specified below is required in order to confirm, to a reasonable level of assurance, that the project description deviation in question has been appropriately and applied and that the project remains in compliance with the VCS rules. This information was requested by the audit team in an email dated 19 September 2017 and, as of the date of issue of this finding, has not been provided.

The audit team requests a detailed walk-through of the process for identification of the timber harvesting land base, as described under "Pre-stratification of Land Area" in Section 4.1 of the 1 January 2011-31 December 2012 monitoring report. Project personnel must be prepared to display, in the GIS software used to delineate the timber harvesting land base, any and all spatial products that were used in such delineation, and to provide the audit team with a detailed explanation of the spatial processes used to delineate the timber harvesting land base.

Project Personnel Response: See response for NCR 4. The project team disagrees with this finding in NCR 4 and has provided supporting documentation in the file "Request for VCS Guidance on Unresolved VCS v2.pdf" to seek guidance from the VCS for NCR 4 and also this related NIR.

This NIR is awaiting further guidance from VCS.

Auditor Response: In response to this finding, a series of email exchanges and phone conversation occurred with the VCSA, culminating in the issuance of an email dated 15 December 2017 which stated the following:

"VCS will accept a verification statement from SCS discussing the assessment of this deviation related to any relevant actions that occurred during the previous verification, as well as assessment of any baseline information required for the current verification. In other words, although a deviation has occurred, SCS is not required to validate it for the remainder of the project crediting period as the project is required to re-assess the baseline scenario at the next verification period. Therefore, a verification of information as it related to the current monitoring period is all that is required."

With this guidance, it is the understanding of the audit team that SCS Global Services (SCS) is not obligated to perform a full assessment of the project description deviation as follows: "The deviation shall be... assessed by a validation/verification body and the process, findings and conclusions shall be reported in the verification report. The assessment shall determine whether the deviation is appropriately described and justified, and whether the project remains in compliance with the VCS rules." Specifically, SCS is not required to perform any data ing activities to validate the appropriateness of the information presented regarding baseline carbon stock changes. Therefore, this finding is no longer relevant, and is withdrawn.

NCR 49 Dated 5 Dec 2017

Standard Reference: VCS Standard V3.7, Section 3.6.1

Document Reference: DW CCB_VCS_Monitoring_Report 2013-2016 v1.2

Finding: Section 3.6.1(2) of the VCS Standard requires, regarding project description deviations, that "Where the deviation does not impact the applicability of the methodology, additionality or the appropriateness of the baseline scenario, and the project remains in compliance with the applied methodology, the deviation shall be described and justified in the monitoring report. This shall include a description of when the changes occurred and the reasons for the changes. The deviation shall also be described in all subsequent monitoring reports."

A project description deviation is documented in Section 2.2.4 of the monitoring report. However, the information presented does not specifically include a description of when the changes occurred.

Project Personnel Response: Additional information has been added to this specific project description deviation in Section 2.2.4 outlining the time when the change was made to the boundary kml file.

Auditor Response: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.3", the audit team can confirm that a description of (very roughly) when the changes occurred, and the reason for the changes, has been added to Section 2.2.4. However, the other relevant requirements are in Section 2.2.4 of the CCB & VCS Monitoring Report Template, wherein the following is stated: "Describe any project description deviations applied during this monitoring period, identify which section(s) of the CCB and/or VCS project description have been updated and explain the reasons for the deviation. Identify whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario and provide an explanation of the outcome." This information is not specifically provided. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: Additional detail has been added to PD deviation 1 in Section 2.2.4 explaining that it has had no impact on the applicability of the methodology, additionality or the appropriateness of the baseline scenario. An explanation of the outcome has also been provided.

Auditor Response 2: Through review of the revised monitoring report, with the file name "DW CCB_VCS_Monitoring_Report 2013-2016 v1.5", the audit team can confirm that an explanation compliant with the requirements of the CCB & VCS Monitoring Report Template and VCS Standard has been provided. Therefore, the non-conformity has been resolved.

NIR 50 Dated 5 Dec 2017

Standard Reference: AFOLU Non-Permanence Risk Tool V3.3, Section 2.2.3(1)

Document Reference: NCC Financial Model - NPV Valuation 2017 update v2

Finding: The AFOLU Non-Permanence Risk Tool ("the Risk Tool") requires the following:

"The opportunity cost analysis shall include a net present value (NPV) analysis, covering the project crediting period, of [alternatives to the project activities] as compared to the project, taking into consideration a conservative estimate of revenue from GHG credit sales and other project revenue streams, and potential price fluctuations of commodities impacted by the project. The financial discount rates used shall be based on published sources and represent the appropriate risk for the relevant land use scenario. Estimates of prices for GHG credit sales shall be based on published sources such as market intelligence reports. The analysis shall be undertaken in a transparent manner and shall provide all relevant assumptions, parameters, and data sources such that a reader may reproduce the analysis and determine the same results."

The opportunity cost analysis has been provided to the audit team in the workbook "NCC Financial Model - NPV Valuation 2017 update v2". As indicated in row 25 of this workbook, the initial price estimate is USD \$6.00/VCU, and this value is increased by 2.5% for each year of the project crediting period on a real basis. The comment in cell B25 states the following:

"For this analysis, carbon prices are assumed to start at USD\$6.00/tco2e in 2008, growing at 2.5%/year on a real basis.

Note these tables are in CDN (converted at F/X 1.30)

This is very conservative in comparison to CA ARB future price schedules, and comparables such as the BC carbon tax (2017 = \$35/tCO2e). The prices are conservative in comparison to VCS IFM projects in state of the market reports in 2015, etc.

This very conservative assumption is for this NPV analysis only, and not representative of the project's expectations of prices going forward. "

While it is stated that the pricing assumptions are "very conservative", evidence is not provided that the estimates of prices for GHG credit sales are based on "published sources such as market intelligence reports". Please provide such evidence. Additionally, please provide evidence that the prices account for expenses associated with VCU issuance (e.g., the VCU issuance levy and any fees charged by the applicable VCS registry).

Project Personnel Response: The monitoring report document has been updated to add a simple reference to a published market price document.

The impact of the VCS issuance and other levies are immaterial to the results of this analysis. Once again the audit team is focused on immaterial details that are not relevant to the actual element being assessed - clearly the auditors can continue to think up minor cost details into an infinite level of business financial modeling, however these details will not add value or affect the broad categories in the risk factor assessment; and further will not affect the risk assessment score for the project. Crossing "t's" and dotting "i's" is important, but the time and effort of the project and audit team should be fully focused on relevant and material standard requirements. A note has been added to simplify the assumption that the modeled VCU prices are net of levies and fees, which adds to the conservativeness of the modeling exercise. As expected, this change has not material impact to the risk assessment or project results.

These changes are noted in the the updated file: NCC Financial Model - NPV Valuation 2017 update v3, cell B25 and cell A41.

Auditor Response: Through review of Table 4 of the "State of Forest Carbon Finance 2016" report (accessed online on 14 December 2017 at http://www.forest-trends.org/documents/files/doc_5388.pdf), the audit team can confirm that the average reported price for projects in North America in 2015 was \$10.10/tonne. The audit team agrees that this is greater than the assumed price in 2015 (\$9.27/tonne), in cell J25 of the worksheet "NPV Comparison" of the workbook "NCC Financial Model - NPV Valuation 2017 update v3". However, depending on how much is charged in the VCU issuance levy and registry fees, it is conceivable that revenue in the amount of \$10.10/tonne could net down to something less than the \$9.27/tonne (in which case the assumed prices would be, effectively, less than those quoted in Table 4). Therefore, it remains unclear whether a "a conservative estimate of revenue from GHG credit sales" has been taken into consideration. Please provide further evidence of the conservativeness of the estimate of revenue from GHG credit sales.

Project Personnel Response 2: First, this is a 100 year NPV analysis, for the sole purpose of determining what broad comparative range in NPV result there is between the project and baseline scenario (i.e. broad categories like +/- 20%...). It is not intended to have explicit annual level detail, and it should not be assessed at an individual annual data point level. Therefore, for example, carbon prices should be evaluated as being relatively conservative, on average, or even on trend, which is the level of precision the analysis is suited for, as opposed to annualized price comparisons on single data points as is being done by this finding. The specific detail of any individual annual price assumption will not affect the 100 year NPV materially, and certainly not affect the intended assessment within the broad % range comparisons being requested. The audit precision needs to match the intended analysis and assessment precision.

Note also that the market price being referenced is an average of various voluntary price points, and it is not clear whether these are net of levies and fees or not - it is simply intended to represent an overall market price point.

That said, the noted 2015 carbon price is clearly conservative as an individual data point, being below the actual market price quoted, even if fees & levies are removed. The VCS levy fees are published as part of the standard documentation, and range from \$0.12-0.17/VCU. Registry fees are variable based on scale and annual fee structures, but lower than this amount. Therefore, the analysis assumed price level is still lower than the market price point used as an example.

Auditor Response 2: Based on the information in the third paragraph of the response, the audit team agrees that sufficient information has been provided regarding the basis of the pricing estimates in published sources such as market intelligence reports, as the 2015 carbon price in the analysis is clearly conservative relative to the \$10.10 indicated in Table 4 of the "State of Forest Carbon Finance 2016" report. One thing previously missed by the audit team is that the \$9.27 figure in cell J25 of the worksheet "NPV Comparison" of the workbook "NCC Financial Model - NPV Valuation 2017 update v3" is in Canadian dollars (CAD), whereas the value in the "State of Forest Carbon Finance 2016" report is in United States dollars (USD). When converting the CAD \$9.27 value to USD, a result of around \$7.40 USD is arrived at. This is clearly lower than the value quoted in the "State of Forest Carbon Finance 2016" report, even when levies and registry fees are taken into account. Therefore, the information request has been satisfied.

NCR 51 Dated 14 Dec 2017

Standard Reference: VCS Standard V3.7, Section 3.6.1(2); CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.4

Document Reference: DW CCB_VCS_Monitoring_Report 2013-2016 v1.3

Finding: Section 3.6.1(2) of the VCS Standard requires, regarding project description deviations, that "Where the deviation does not impact the applicability of the methodology, additionality or the appropriateness of the baseline scenario, and the project remains in compliance with the applied methodology, the deviation shall be described and justified in the monitoring report. This shall include a description of when the changes occurred and the reasons for the changes. The deviation shall also be described in all subsequent monitoring reports."

Section 2.2.4 of the CCB & VCS Monitoring Report Template requires the following: "Describe any project description deviations applied during this monitoring period, identify which section(s) of the CCB and/or VCS project description have been updated and explain the reasons for the deviation. Identify whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario and provide an explanation of the outcome."

In documentation of project description deviation #3, the timing of when the changes occurred has been described. However, while the acquisition of the new inventory is described, the specific deviation to the project description (i.e., the baseline was run with the new inventory, resulting in modification to data and parameters available at validation) is not described. The reason for the changes has also not been specifically described. Furthermore, the specific sections of the CCB and/or VCS project description that have been updated are not identified, and it is not identified whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario.

Project Personnel Response: Additional detail has been added to PD deviation 3 in Section 2.2.4 including a more specific description of the deviation and the reason for the changes. Furthermore, the specific sections of the CCB and/or VCS project description that have been updated have been identified, and an explanation of the fact that the deviation does not impact the applicability of the methodology, additionality or the appropriateness of the baseline scenario has been presented. Lastly, an explanation of the outcome (in as much detail as is feasible) has also been provided.

Auditor Response: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.5", the audit team can confirm that a description and justification of the deviation is provided, and that information regarding "whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario and... an explanation of the outcome" is provided. However, the section(s) of the CCB and/or VCS project description that have been updated are not identified. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: The relevant section(s) updated in the PD have been identified for PD deviation #3 in Section 2.2.4

Auditor Response 2: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.6", the audit team can confirm that the sections of the VCS project description that have been updated by the project description deviation are accurately identified. Therefore, the non-conformity has been fully resolved.

NCR 52 Dated 14 Dec 2017

Standard Reference: VCS Standard V3.7, Section 3.6.1(2); CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.4

Document Reference: DW CCB_VCS_Monitoring_Report 2013-2016 v1.3

Finding: Section 3.6.1(2) of the VCS Standard requires, regarding project description deviations, that "Where the deviation does not impact the applicability of the methodology, additionality or the appropriateness of the baseline scenario, and the project remains in compliance with the applied methodology, the deviation shall be described and justified in the monitoring report. This shall include a description of when the changes occurred and the reasons for the changes. The deviation shall also be described in all subsequent monitoring reports."

Section 2.2.4 of the CCB & VCS Monitoring Report Template requires the following: "Describe any project description deviations applied during this monitoring period, identify which section(s) of the CCB and/or VCS project description have been updated and explain the reasons for the deviation. Identify whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario and provide an explanation of the outcome."

In documentation of project description deviation #2, a description of when the change (relative to the monitoring plan in Section 3.3 of the VCS project description) occurred has not been provided. In addition, it is not identified whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario.

Project Personnel Response: Additional detail has been added to PD deviation 2 in Section 2.2.4 including a more specific description of the deviation, when it occurred, and the reason for the changes. A description of the outcome has also been provided.

Auditor Response: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.5", the audit team can confirm that a description and justification of the deviation is provided, and that information regarding "whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario and... an explanation of the outcome" is provided. In addition, a description of when the change occurred has been provided. Therefore, the non-conformity has been resolved.

NCR 53 Dated 14 Dec 2017

Standard Reference: AFOLU Requirements V3.6, Section 3.7.3; Non-Permanence Risk Report (Short Form) V3.0; Risk Report Calculation Tool V3.1

Document Reference: VCS Risk Report Calculation Tool, v3.1-DW 2013-2016 v2; Darkwoods Carbon Model 2013-16 v1.1

Finding: The AFOLU Requirements states that "The non-permanence risk report shall be prepared using the VCS Non-Permanence Risk Report Template, which may be included as an annex to the project description or monitoring report, as applicable, or provided as a stand-alone document." The cover page of the Non-Permanence Risk Report (Short Form) states the following: "This document is intended to be used in combination with the risk report calculation tool. The risk report calculation tool is a spreadsheet provided to facilitate the calculation of the overall risk rating based on the rating of each risk factor and deductions from mitigations, and it calculates the final buffer withholding amount." The Risk Report Calculation Tool indicates that the "Net change in the project's carbon stocks" is to be pasted into cell G130.

The quantity included in cell G130 of "VCS Risk Report Calculation Tool, v3.1-DW 2013-2016 v2" is not the "Net change in the project's carbon stocks" (i.e., it is not the sum of the values in cells AY16:AY19 of the "Summary Tables & Figures" worksheet in the "Darkwoods Carbon Model 2013-16 v1.1" workbook).

Project Personnel Response: The risk spreadsheet tool has been updated with the corrected tonnes. The updated file has retained the same title "VCS Risk Report Calculation Tool, v3.1-DW 2013-2016 v2"

Auditor Response: Through review of the revised calculation workbook, entitled "VCS Risk Report Calculation Tool, v3.1-DW 2013-2016 v2", the audit team can confirm that the value pasted into cell G130 is equal to the "Net change in the project's carbon stocks" (1,502,003 tCO₂e), which is the sum of the values in cells AY16:AY19 of the "Summary Tables & Figures" worksheet in the "Darkwoods Carbon Model 2013-16 v1.1" workbook. Therefore, the non-conformity has been resolved.

NCR 54 Dated 18 Dec 2017

Standard Reference: VCS Standard V3.7, Section 3.6.1(2); CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.4

Document Reference: DW CCB_VCS_Monitoring_Report 2013-2016 v1.3

Finding: Section 3.6.1(2) of the VCS Standard requires, regarding project description deviations, that "Where the deviation does not impact the applicability of the methodology, additionality or the appropriateness of the baseline scenario, and the project remains in compliance with the applied methodology, the deviation shall be described and justified in the monitoring report. This shall include a description of when the changes occurred and the reasons for the changes. The deviation shall also be described in all subsequent monitoring reports."

Section 2.2.4 of the CCB & VCS Monitoring Report Template requires the following: "Describe any project description deviations applied during this monitoring period, identify which section(s) of the CCB and/or VCS project description have been updated and explain the reasons for the deviation. Identify whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario and provide an explanation of the outcome."

Methodology deviation #2 is described in Section 2.2.2 of the monitoring report as "a minor deviation from the methodology and related monitoring plan elements described in the VCS PDD." While this deviation is formally described as a methodology deviation in Section 2.2.2, it is also a project description deviation, as indicated in the text quoted above. Specifically, it is a deviation from the plan, as stated in Section 3.3 of the VCS project description, to have the plot network design "finalized and implemented in the 2011 field season". However, this deviation is not specifically described as a project description deviation, following the requirements quoted above, in Section 2.2.4 of the monitoring report.

Project Personnel Response: The project team does not agree that each Methodology deviation must also require a duplicating PD deviation, when the PD is simply referencing or repeating the methodology requirement (i.e. if the root requirement is in the methodology, and the PD is complying with that requirement, then a single deviation from the methodology should be suitable to cover the issue without adding unnecessary duplicative text of a methodology deviation and a PD deviation). However, in an attempt to bring this process to a close, a duplicative PD deviation description has been added to Section 2.2.4.

Auditor Response: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.5", the audit team can confirm that a description and justification of the deviation is provided, and that information regarding "whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario and... an explanation of the outcome" is provided. However, the section(s) of the CCB and/or VCS project description that have been updated are not identified. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: The relevant section(s) updated in the PD have been identified for PD deviation #4 in Section 2.2.4

Auditor Response 2: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.6", the audit team can confirm that Section 4.5 of the VCS PD is now referenced. However, while it is tangentially relevant, this is not actually the section of the PD that is updated by the project description deviation. The section of the PD that is updated by the project description deviation is Section 3.3, wherein the following is stated: "...some elements of the monitoring program remain to be finalized and implemented in the 2011 field season... particularly this includes the final design and implementation of the forest carbon permanent field plot network." Therefore, as the section of the VCS PD that is updated is not identified, the non-conformity has not been fully resolved.

Project Personnel Response 3: PD deviation #4 in Section 2.2.4 has been modified to show that Section 3.3 of the PD was also updated.

Auditor Response 3: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.7", audit team can confirm that the section of the VCS project description that has been updated is now clearly stated. Therefore, the non-conformity has been resolved.

NCR 55 Dated 18 Dec 2017

Standard Reference: VCS Standard V3.7, Section 3.6.1(2); CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.4

Document Reference: DW CCB_VCS_Monitoring_Report 2013-2016 v1.3

Finding: Section 3.6.1(2) of the VCS Standard requires, regarding project description deviations, that "Where the deviation does not impact the applicability of the methodology, additionality or the appropriateness of the baseline scenario, and the project remains in compliance with the applied methodology, the deviation shall be described and justified in the monitoring report. This shall include a description of when the changes occurred and the reasons for the changes. The deviation shall also be described in all subsequent monitoring reports."

Section 2.2.4 of the CCB & VCS Monitoring Report Template requires the following: "Describe any project description deviations applied during this monitoring period, identify which section(s) of the CCB and/or VCS project description have been updated and explain the reasons for the deviation. Identify whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario and provide an explanation of the outcome."

Methodology deviation #1 is formally described in Section 2.2.2 of the monitoring report as a methodology deviation. However, it is also a project description deviation, because it is a deviation to the statement, as given in Section 3.3 (page 63) of the VCS program description, that "permanent plots will be re-measured at intervals of not longer than 5 years (beginning at their date of first measurement). However, this deviation is not specifically described as a project description deviation, following the requirements quoted above, in Section 2.2.4 of the monitoring report.

Project Personnel Response: The project team does not agree that each Methodology deviation must also require a duplicating PD deviation, when the PD is simply referencing or repeating the methodology requirement (i.e. if the root requirement is in the methodology, and the PD is complying with that requirement, then a single deviation from the methodology should be suitable to cover the issue without adding unnecessary duplicative text. However, in an attempt to bring this process to a close, a duplicative PD deviation description has been added to Section 2.2.4.

Auditor Response: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.5", the audit team can confirm that a description and justification of the deviation is provided, and that information regarding "whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario and... an explanation of the outcome" is provided. However, the section(s) of the CCB and/or VCS project description that have been updated are not identified. Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: The relevant section(s) updated in the PD have been identified for PD deviation #5 in Section 2.2.4

Auditor Response 2: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.6", the audit team can confirm that the section of the VCS project description that has been updated by the project description deviation is accurately identified. Therefore, the non-conformity has been resolved.

NCR 56 Dated 3 Jan 2018

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 5.3.2

Document Reference: CCB_PROJ_DESC_ENG_607_06JUN2014, Table 23; Summary of Effectiveness Monitoring 2013; DW CCB_VCS_Monitoring_Report 2013-2016 v1.5

Finding: The CCB & VCS Monitoring Report Template requires the following:

"Present the results of the biodiversity impact monitoring which should include:

- All biodiversity variables identified in the monitoring plan, including HCVs.
- Dates, frequency, locations, sampling methods used and other information regarding the monitoring process.
- Results and evaluation of monitoring.
- Effectiveness of measures used to maintain or enhance HCVs."

The audit team reviewed the monitoring results, as provided in Section 1.15.1 of the monitoring report, in order to see whether it included "all biodiversity variables identified in the monitoring plan", as listed in Table 23 of the CCBS PDD (and reprinted more legibly in the document "Summary of Effectiveness Monitoring 2013", as provided to the audit team). While most biodiversity variables identified in the monitoring plan have been included, the indicator variable "Proportion of suitable Mountain Caribou habitat lost to disturbance" has not been included in the results of monitoring.

Project Personnel Response: This finding refers to section 5.1.1 in the repaired section numbering. The finding is correct that Table 23 in the CCB PDD refers to disturbance to caribou habitat from both man-made project activities and natural disturbance, the latter of which has not been reported in Section 5.1.1, although natural disturbance area is reported elsewhere in the report. Footnote 37 has been added to report the total disturbance to caribou habitat.

Auditor Response: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.6", the audit team can confirm that footnote 38 contains the required reporting regarding monitoring for the indicator variable "Proportion of suitable Mountain Caribou habitat lost to disturbance". Therefore, the non-conformity has been resolved.

NCR 57 Dated 3 Jan 2018

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.1.3

Document Reference: DW CCB_VCS_Monitoring_Report 2013-2016 v1.5

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.1.3:

"Describe the process and schedule followed for monitoring the data and parameters set out in Section 3.1.2 (Data and Parameters Monitored) above during this monitoring period, including details on the following... The organizational structure, responsibilities and competencies of the personnel that carried out the monitoring activities."

The competencies of the personnel that carried out the monitoring activities are not reported on in the monitoring report. It is stated in Section 1.8.3 of the monitoring report that "Information regarding the organizational structure, responsibilities and competencies of the personnel that carried out the monitoring activities are provided in Section 2.4.1". It appears that this is intended to be a reference to Section 1.6.1 of the monitoring report (the section numbering appears to have shifted relative to previous versions). In any case, the audit team reviewed Section 1.6.1 (formerly 2.4.1) of the monitoring report and was unable to find any specific information regarding the competencies of the personnel that carried out the monitoring activities.

Project Personnel Response: The outline numbering scheme in the monitoring report was accidentally changed during the formatting of version 1.5. This problem has now been fixed so that the numbers are the same as before. In addition, a description of the competency of the team members has been added in Section 3.1.2. This description also includes a referral to the degrees and titles earned as shown in the table in Section 2.4.1.

Auditor Response: Through review of the revised monitoring report, "DW CCB_VCS_Monitoring_Report 2013-2016 v1.6", the audit team can confirm that the competencies of the competencies of the personnel that carried out the monitoring activities are now clearly described in Sections 2.4.1 and 3.3. Therefore, the non-conformity has been resolved.

NCR 58 Dated 3 Jan 2018

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.2.4; VM0012 V1.0, Section 11.3

Document Reference: DW CCB_VCS_Monitoring_Report 2013-2016 v1.5

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.2.4: "Include quantification of the net change in carbon stocks." The monitoring report does not specifically include the quantification of the net change in carbon stocks. The net change in carbon stocks is referenced in the following text in Section 11.3 of the methodology: "BRy is calculated by multiplying the most current verified permanence risk Buffer Withholding Percentage for the project by the change in carbon stocks (difference between baseline and project scenario) for the project area as shown on p. 24 of the VCS Guidance for AFOLU Projects (Voluntary Carbon Standard, 2008a)."

Project Personnel Response: Table 14b has been updated to include the GHG emission reductions associated with the net change in carbon stocks (column AY of the Darkwoods Carbon Model worksheet).

Auditor Response: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.6", the audit team can confirm that, in conjunction with the explanatory text directly above, the net change in carbon stocks is clearly reported in Table 14b. Therefore, the non-conformity has been resolved.

NCR 59 Dated 3 Jan 2018

Standard Reference: VCS Standard V3.7, Section 3.6.1(2); CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 2.2.4

Document Reference: DW CCB_VCS_Monitoring_Report 2013-2016 v1.5; Darkwoods Carbon Model 2013-16 v1.1

Finding: Table 1 of Annex 2 of the VCS project description indicates that a processing efficiency of 0.445 is to be used for "Veneer, plywood, structural panels" and a value of 0.501 is to be used for "Non-structural panels". However, review of the "HWP Carbon Model" worksheet in the carbon model workbook "Darkwoods Carbon Model 2013-16 v1.1" indicates that values of 0.555 and 0.500 have been used, respectively, for these two categories.

Therefore, a deviation from the data and parameters that are available at validation, and reported in the VCS project description, has taken place. This constitutes a project description deviation and invokes the requirements of Section 3.6.1 of the VCS Standard.

Section 3.6.1(2) of the VCS Standard requires, regarding project description deviations, that "Where the deviation does not impact the applicability of the methodology, additionality or the appropriateness of the baseline scenario, and the project remains in compliance with the applied methodology, the deviation shall be described and justified in the monitoring report. This shall include a description of when the changes occurred and the reasons for the changes. The deviation shall also be described in all subsequent monitoring reports."

Section 2.2.4 of the CCB & VCS Monitoring Report Template requires the following: "Describe any project description deviations applied during this monitoring period, identify which section(s) of the CCB and/or VCS project description have been updated and explain the reasons for the deviation. Identify whether the deviation impacts the applicability of the methodology, additionality or the appropriateness of the baseline scenario and provide an explanation of the outcome."

The deviation has not been described and justified in the monitoring report.

Project Personnel Response: The values for the processing efficiency (for veneer etc. and non-structural panels) were updated during the 2011-2012 verification as a result of the concurrent activities we were engaged in during that time period with respect to updating the methodology. The updated value in the case of the veneer number was selected to represent a more conservative approach to the estimation of the C storage in wood products. The other was simply a significant digits issue (going from .501 to .5). However, we acknowledge that it is prudent to revert back to the values established at verification. This has been done and is represented in an updated version of the file 'Darkwoods carbon Model 2013 v1.2.xlsx'. In this version we have made sure that the emission reduction values reported for previous time periods (2008-2010) and (2011-2012) are consistent with the officially verified values in those documents. This is important to assure the previous buffer contributions in this report are consistent with those in the previous documents.

All dependent tables in the revised monitoring report have been updated with the new values.

Auditor Response: Through review of the revised carbon model workbook, entitled "Darkwoods Carbon Model 2013-16 v1.2", the audit team can confirm that, in the "HWP Carbon Model" worksheet, the previously indicated values of have been replaced with 0.445 and 0.501, respectively, for the categories "Veneer, plywood, structural panels" and "Non-structural panels". Therefore, there is no longer a deviation from the data and parameters that are available at validation. As the finding is no longer relevant, it is withdrawn.

NCR 60 Dated 9 Jan 2018

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 1.2

Document Reference: DW CCB_VCS_Monitoring_Report 2013-2016 v1.5

Finding: Section 1.2 of the CCB & VCS Monitoring Report Template requires the following: "Data included in the Monitoring Period column shall be substantiated in this document as denoted by the corresponding section reference." Under the section "Number of hectares of existing production forest land in which IFM practices have occurred as a result of the project's activities, measured against the without-project scenario", a value of "~3,007 ha" is reported, but the data thus reported is not further substantiated in the monitoring report (so far as the audit team can tell) and a corresponding section is reference is not provided. Similarly, under the section "Total number of people employed in of project activities, expressed as number of full time employees", a value of "57 FTE" is reported, but the data thus reported is not further substantiated in the monitoring report (so far as the audit team can tell) and a corresponding section is reference is not provided.

Project Personnel Response: RE: Finding #60 (provided via email and to be inserted by SCS): Section 1.2: It is not clear where the numbers in the report were from (likely a mis-reading of the section), so the values have been removed and changed to reflect the scenario and baseline hectares as per the ATLAS output files.

The section reference has been added to the FTE row.

Auditor Response: The audit team reviewed the revised monitoring report, "DW CCB_VCS_Monitoring_Report 2013-2016 v1.6", in order to see whether the finding could be closed. For the metric "Number of hectares of existing production forest land in which IFM practices have occurred as a result of the project's activities, measured against the without-project scenario", the audit team agrees that the value provided is well-substantiated. The referenced section (Section 3.1.3) provides substantiation for the project-scenario quantity of 39.6 ha, at least, and footnote 6 provides a reference to "ATLAS Runs updated Dec 2012.xlsx" for further information regarding area harvested under the baseline.

For the metric "Total number of people employed in of project activities, expressed as number of full time employees", a corresponding section reference is provided. However, the referenced Section 4.1 does not contain any further substantiation regarding the estimated quantity of 57 FTE. While this quantity is repeated in Table 16, no substantiating evidence is provided regarding the derivation of the quantity.

Therefore, the non-conformity has not been fully resolved.

Project Personnel Response 2: This is a summarizing table only, and the data used for FTE estimates are simply pulled from the referenced section and Table, where the methods used to estimate FTE are described (supported with further detail in the CCB PDD where reference materials are sourced for calculating assumed FTE from m3 harvested...). However, rather than attempting to re-describe the methods used for this summary table, these data have now been removed.

Auditor Response 2: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.7", the audit team can confirm that the data pertaining to "Total number of people employed in of project activities, expressed as number of full time employees" have been removed, and it is indicated that these data are "not available". However, according to the instructions in the CCB & VCS Monitoring Report Template, the report preparer is to indicate "data not available" where "the metric does apply but there are no means of quantification". Given that the number of full time employees is reported in Table 16, of the monitoring report, it does not seem correct to say that there are no means of quantification. Therefore, the removal of these data from Section 1.2 of the monitoring report does not resolve the non-conformity. The CCB & VCS Monitoring Report Template requires that such data be reported on and substantiated in the monitoring report, "as denoted by the corresponding section reference". As previously noted, the quantification of these data is not substantiated anywhere within the monitoring report.

Project Personnel Response 3: The FTE numbers have been re-inserted into the monitoring report. The calculation of the 57 FTE is described fully in section 4.1 and Section 4.3.2, and calculated in Table 18 and 19 already. However, clarifying footnotes have been added to these sections and to the summarizing table.

Auditor Response 3: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.8", the audit team can confirm that the values 57 FTE and 292 FTE, for achievements during the monitoring period and during the project lifetime, respectively, are now substantiated in the provided footnotes and references. For the value 57 FTE, the audit team agrees, that this value is clearly the sum of the values in Tables 18 and 19 of the monitoring report. For the value 292 FTE, the audit team reviewed the CCBS PDD and confirmed that it was the result of summation of the values in Tables 17 and 18 of that document, multiplied by five to expand across the first five years of the project (2008-2012) and added to the value 57. Therefore, the non-conformity has been resolved.

NCR 61 Dated 19 Jan 2018

Standard Reference: CCB & VCS Monitoring Report Template CCB V2.0 VCS V3.4, Section 3.1.1

Document Reference: CCB_MON_REP_ENG_607_01JAN2013_31DEC2016

Finding: The CCB & VCS Monitoring Report Template requires the following under Section 3.1.1:

"Complete the table below for all data and parameters that are determined or are available at validation, and remain fixed throughout the project crediting period (copy the table as necessary for each data unit/parameter)".

Under "Justification of choice of data or description of measurement methods and procedures applied", the following information is required to be provided: "Justify the choice of data source, providing references where applicable. Where values are based on measurement, include a description of the measurement methods and procedures applied (e.g., what standards or protocols have been followed), indicate the responsible person/entity that undertook the measurement, the date of the measurement and the measurement results. More detailed information may be provided in an appendix." The required information is not provided in all cases. Examples, which should not be considered an exhaustive indication of all non-conformities, are provided below to assist project personnel in systematically identifying and correcting all remaining non-conformities.

- The "responsible person/entity that undertook the measurement, the date of the measurement and the measurement results" are not provided for any of the data and parameters that are based on measurement.

- A justification of the data source is not provided for most (if not all) values not based on measurement. In many cases the information provided under "Justification of choice of data or description of measurement methods and procedures applied" falls more under the category of describing the data source (e.g., for parameter fBSL,BARK it is stated that the values are "Derived from peer-reviewed [sic] literature referenced above" but no specific justification is provided.

Project Personnel Response: The project team has carefully gone through each of the parameters in Section 3.1.1 to make sure that justifications of the methods/parameter values selected have been clearly provided. Only one parameter in that setion (fPRJ,BLOWDOWN,i,t) is actually measured and in that case the person responsible for the measurements has been indicated. No dates were provided as there were no blow-down events to measure during the project validation period (2008-2010).

Auditor Response: Through review of the revised monitoring report, entitled "DW CCB_VCS_Monitoring_Report 2013-2016 v1.7", the audit team has been able to confirm that the guidance of Section 3.1.1 of the CCB & VCS Monitoring Report Template is now followed in full. Therefore, the non-conformity has been resolved.

APPENDIX B: MARKET LEAKAGE ASSESSMENT

In accordance with Section 3.6.4 of the AFOLU Requirements, the quantity of market leakage caused by the project was assessed at verification. The information upon which the market leakage assessment was based is contained within the methodology. The market leakage assessment findings and conclusion are as follows.

The market leakage assessment findings and conclusion are as follows.

The methodology allows three options for accounting of market leakage, and Section 4.3 of the VCS PD /4/ indicates that “Market Leakage Option 2” has been selected. Through risk-based review of the quantification of market leakage, the audit team has confirmed that market leakage attributable to project activities has duly been accounted for, in accordance with the selected option.

In summary, the total quantity of market leakage emissions is estimated to be 174,922 tCO₂e over the monitoring period (see also Section 5 above). The audit team has concluded that the reporting of market leakage emissions is in conformance with the VCS rules and the methodology.